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Welcome Students,

The Duke MBA Consulting Club ("DMCC") is proud to present the official 2011-2012 DMCC Case Book. This case book is the result of several years of development. We created this book to help you prepare for your upcoming consulting case interviews. As you may already know, case interviews are a very important part of the hiring process for consulting firms. These interviews give you the opportunity to showcase your communication, client, creative and analytical skills to your interviewer. This book was developed to complement the Duke MBA Consulting Roadmap curriculum. We hope that using both will help lead you to success during the upcoming recruiting season.

This case book could not have been completed without the valuable contributions of prior DMCC officers and our Executive Cabinet. We would like to thank personally everyone who helped to ensure this book came to fruition. We would also like to thank our friends at other MBA programs for sharing with us their old casebooks in order for us to continue to harvest new material.

Good luck with your preparation and remember that your fellow DMCC members are here to help! Please reach out to anyone on the cabinet if you feel that you are not "cracking the case". Lastly, to the students of other top MBA programs using this case book during their preparation, we warmly welcome you to "Team Fuqua."

Good luck!

Jessica Harris, Phil Johnston & Drew Bagby
DMCC Class of 2012 Officers
www.fuquaconsulting.com

Industry Overviews

Airlines

Overview / Products & Services

- Airlines provide air transport services for passengers and/or freight

Key Trends

- Consolidation - multiple high-profile mergers
- Fare competition – airlines compete to undercut one another on competitive routes
- Low-cost carriers - recent entrance by smaller carriers trying to replicate Southwest Airlines' low-cost model

Competitive Landscape

- Established legacy carriers (e.g., Delta, American, United) compete with each other and with low-cost operators on multiple domestic routes; price is usually the major competitive factor. Some domestic carriers also operate international routes, placing them in competition with overseas airlines

Customers

- Individual consumers
- Corporations/small businesses
- Travel web sites/resellers

Channels

- Internet – airline websites, online ticket resellers
- Telephone – airline call center agents
- Travel agents
- Over-the-counter – walkups at airports

Profit Summary

- Revenue: Ticket revenues, excess/oversize baggage fees, food and beverage sales
- Costs: VC: fuel, food and beverage, ground crew/hourly employees FC: aircraft leases, airport gate leases, IT/admin costs, salaried employees (i.e., pilots)

Consumer Packaged Goods (CPG)

Overview / Products & Services

- CPG companies provide consumers with a range of household products etc. soaps, pet supplies, snack foods etc.

Key Trends

- Lifestyle/consumer behavior: e.g. aging population, social networks, online advertising, go green, economic downturn
- New products critical to success
- Completely new, slightly improved, product line extensions
- In addition, companies driving 'outside-in' product innovation (from outside of R&D division)
- Product mix and Brand management are critical to CPG companies
- Emerging markets – India & China – seen as important source of future growth

Competitive Landscape

- Proctor and Gamble (P&G); Unilever, Clorox, Kellogg's, Campbell's, Frito Lay, ConAgra Foods, Colgate-Palmolive,
- L'Oreal, Estee Lauder

Customers

- Individual Customers
- Discount Wholesalers (Sam's Club, Costco)
- Large box retail (Wal-mart, Target, Safeway)
- Convenience Retail (7-11, Rite-Aid)

Channels

- Retail
- Wholesale
- Direct (web and mail order)

Profit Summary

- Revenue : Volume of goods sold; Price premium on branded goods
- Costs: Branding, Sales and Marketing, COGS (commodity costs – raw & packaging material)

Energy

Overview / Products & Services

- Can involve traditional fossil fuel as well as renewables generation
- Can also involve the delivery of said energy as well as the end-products, including electricity

Key Trends

- Peak Oil – some argue that we have reached the peak amount of recoverable oil; others argue that we will continue to find new ways to recover oil
- Natural Gas – significant technological advancement in the last decade has increased supply and reserves though liquefied natural gas (LNG) and shale development. Nat Gas competes directly w/ renewables.
- Renewables have grown through policy support but are still unprofitable

Competitive Landscape

- Large multinationals like Exxon, Chevron, & national oil companies (i.e. CNOOC)
- Large utilities like ConEd and Duke Energy
- Various manufacturers/service providers ranging from Halliburton to First Solar
- Project developers like Iberdrola

Customers

- Utilities (can encompass many various types of utilities)
- Independent Power Producers (those that try to access the merchant market)
- Project Developers (Independent developers who will try to sell projects to utilities, etc.)

Channels

- Interaction with public mostly through gas pump, utility bills, political agendas, and negative events (i.e. BP spill)—as a result, industry widely misunderstood by much of public.

Profit Summary

- Fossil fuels: Revenues heavily dependent on commodity prices, making hedging very important. Costs tend to track price as it rises/falls.
- Renewables: Profitability improving but not scalable enough to replace FFs.

Financial Services: Consumer Banking

Overview / Products & Services

- Provide deposit-based services, credit cards, consumer loans, payments etc.
- Range of financial products are sold by banks whose main function is to collect money from those who have savings and lend money to those who need it

Key Trends

- Credit crisis / financial meltdown threatened solvency of industry due to illiquid assets difficult to value
- Consolidated, mature industry with primary growth through acquisitions
- Baby boomer aging creating large market for retirement products
- Off-shoring of various functions to reduce expenses (e.g. call centers, back office functions)

Competitive Landscape

- Large national players (Bank of America, Citi) compete with regional banks
- Largest players services extend well beyond commercial banking to investment banking, securitization, proprietary trading, with services that are increasingly opaque

Customers

- Individual consumers
- High net worth consumers (priority segment)
- Small/medium businesses without sufficient size for larger investment banking financing services

Channels

- Still large face-to-face presence with bank branches, tellers, etc
- Increasing use of ATM services, online banking
- Banks increasingly offer credit cards, home loans, etc as means to increase asset base

Profit Summary

- Revenue: Net revenue is the spread between bank's borrowing cost and the rates charged to borrowers; fees
- Costs: Overhead (branches, administration, compliance); Salaries; Bad Debt Expense

Financial Services: Insurance

Overview / Products & Services

- Insurance is fundamentally about underwriting various types of risks. Customers make regular payments (premiums) to the insurer for coverage when unforeseen events, e.g. car crash; fire damage; death; credit default) occur
- The insurer invests premiums to generate sufficient income to match future assets with future liabilities

Key Trends

- Credit crisis / financial meltdown threatened solvency of industry due to illiquid assets difficult to value
- US national healthcare policy changes could completely change the landscape of the health insurance market
- Companies focused on managing risk and controlling costs

Competitive Landscape

- Several large, integrated players operating across multiple parts of the industry (AIG, Prudential, etc)
- Some niche players focusing in a particular segment (Geico)

Customers

- Small/medium/large businesses seeking to manage risks of property damage, liability, etc
- Individual consumers seeking to manage risk at home / on the road

Channels

- Insurance agents (sales force) still manage much of the front-end sales process to businesses/individuals
- Online sales becoming easier with better websites and aggressive marketing
- Direct marketing to employees via in-office demonstrations (Aflac supplemental insurance, etc)

Profit Summary

- Revenue: Net revenue is the spread between premiums collected and claims/payments made over time
- Costs: Overhead (administration, compliance); Salaries; Sales Commissions; Marketing

Manufacturing

Overview / Products & Services

- Manufacturing sector includes companies that are in the business of mechanical, physical, or chemical transformation of materials/substances into new products
- Subsectors include: textile, paper, chemical, computer/electronics, transportation equipment, machinery

Key Trends

- Manufacturing is highly cyclical in most sectors
- US manufacturing, traditional strength of US economic growth, has suffered due to higher cost structure (labor in many cases) as companies outsource manufacturing to lower-cost regions of the world

Competitive Landscape

- General Motors, Chrysler, Ford, Toyota, Honda
- Boeing, Airbus
- GE, Phillips, Siemens
- Honeywell, Dow, Corning

Customers

- Varies by industry, can be end-consumer, OEM (original equipment manufacturer) – B2B (business to business)
- Automotive: Primarily end consumer; Metal: airplane, automotive, tool/die manufacturing; Apparel: end consumer; Plastics: medical industry, machinery manufacturing

Channels

- Retail (Automotive, Apparel – industries where end-consumer is primary customer)
- Wholesale – B2B (Plastics, Chemicals, Pharmaceuticals, Metal, Machinery)

Profit Summary

- Revenue: diversity of customers, volume (automotive: high, airplane mfg: low), emerging markets, adjacent industries, new technologies, end-consumer demands
- Cost: outsourcing (potential quality), process efficiency, supply chain management (inventory turns), labor (unions), raw materials/commodities, channel management (ie. Auto dealers), marketing, capital investment

Media

Overview / Products & Services

- The media sector includes print, audio and video content generation and dissemination. The various subsectors are unique yet have overlapping attributes. Primarily an advertising-supported industry, the media space faces unprecedented challenges as online media continues to disrupt traditional business models.

Key Trends

- The digitization of media has required considerable capital investment by media content generators. The rapidly improving speed of wireless devices creates questions about how media will ultimately be consumed – via internet, via cable, via mobile? Service providers may converge. The proliferation of “free” content has harmed content generators but created opportunities for new channels.

Competitive Landscape

- Landscape is very competitive with a few major players owning integrated portfolios across the entire media universe (Disney, Viacom, News Corp, etc)

Customers

- While individual consumers seem to be the customers, in reality consumers are part of the product. Audience reach, ratings, circulation measures are utilized to sell advertising. Potential advertisers are the real customers in traditional models although individual consumers may be the customers for some subscription models.

Channels

- Print: traditional paper product & online / mobile
- Television: traditional broadcast / cable / satellite & online / mobile
- Movies: traditional theatres, rentals & online (to a growing extent)

Profit Summary

- Revenue Drivers: advertising, subscriptions in some cases (there is talk about moving to higher subscription model for premium content)
- Cost Drivers: VC: production costs (salaries of staff, technology); FC: capital costs (studios, printing presses); overhead, marketing & advertising

Pharmaceuticals

Overview / Products & Services

- Branded/ Ethical/ Originator drug producers produce original patent-protected (for a certain period of time) drugs for human and animal diseases
- Generic drug producers produce 'copy-cat' drugs (with the same medical result) at a lower development cost when the originator drug's patent expires

Key Trends

- Price competition from generic drug manufacturers
- Increasing pressure from health insurance companies and hospital chains to reduce prices
- R&D challenge of finding high revenue drugs ('Blockbusters' have annual sales > \$1B)
- Loss of patent on key drugs for many large Pharma Cos. during 2010-2016

Competitive Landscape

- Key success factor comes down to one thing: products
- Products target various treatment areas (TA): cancer, cardiovascular, psychology
- US, Europe and Japan are largest markets although emerging market opportunity (eg. China) is growing

Customers

- Doctors who prescribe these medicines
- Insurance companies that pay for them
- Patients/consumers who need these drugs/medicines

Channels

- Over the counter ("OTC", can be sold without prescription): Retail outlets – CVS, Walgreens; Mail order
- Prescription drugs: Hospitals; pharmacies
- B2B: Distributors / intermediaries ; hospitals; pharmacies

Profit Summary

- Revenue Drivers: Size of specific treatment area / level of competition; Buy-in from doctors; Speed to market/ expertise in difficult products (for generics)
- Cost Drivers: VC: sales and marketing (doctor visits, sponsored studies); FC: R&D (drug discovery, formulation, clinical trials)

Social Sector

Overview / Products & Services

- Corporate Social Responsibility strategy (for-profit)
- Impact Measurement
- Impact Enhancement

Key Trends

Measurement and quantification of impact, bringing business skills into non-profits, increasing demands and specificity from foundations and major donors, downturn making philanthropy more scarce, online microgiving sites

Competitive Landscape

Hard to differentiate between competing organizations unless impact is measurable, new legislation (L3C/B Corp) and impact investing means that non-profits may start having to compete with for-profit social businesses for funds

Customers

- Non-profits: donors and beneficiaries
- For-profit social businesses: customers, beneficiaries

Channels

Varies widely. For-profit and non-profit organizations span the social sector and deliver all kinds of products in services in a variety of ways

Profit Summary

For-profit social businesses run on the same metrics as any traditional business, non profits generate revenue through grants and donations and some have business operations that generate additional revenue (i.e. the YMCA has a membership fee for its fitness centers, and a cost for its day camps, etc.)

Technology

Overview / Products & Services

- The technology industry broadly consists of the systems (PCs, servers), semiconductors, communications equipment, software, internet and IT services subsectors.

Key Trends

- Increasing M&A Activity: As growth has slowed in certain subsectors (systems, software), leading vendors have utilized M&A for growth, offering customers a one stop shop proposition (ie HP/Compaq, Oracle/Peoplesoft)
- Co-opetition: Leading vendors co-exist as competitors and collaborators. Examples include: Microsoft/Intel, Oracle/IBM
- Cloud Computing: Offering IT as outsourced utility

Competitive Landscape

- Systems: IBM, Hewlett-Packard, Dell
- Semiconductors: Intel, Samsung, Toshiba, Texas Instruments
- Communications Equipment: Cisco, Nokia, Samsung
- Software: Microsoft, IBM, Oracle / Internet Software: Google, Yahoo!, Microsoft
- IT Services: Accenture, IBM, HP/EDS

Customers

- By size: Enterprise, SMB (small/medium businesses), Retail
- By type: Business vs. consumer

Channels

- Varies by customer focus. Business/Enterprise-focused players tend to rely on direct sales force. SMB/Retail/Consumer tend to rely Channels on indirect channels.

Profit Summary

- Software: license/maintenance versus subscription service model; renewal rates; high gross margins, but high R&D expenses
- IT Services: staff utilization; revenue per employee
- Internet: revenue per click
- Semiconductors: High fixed costs and highly cyclical; manufacturing utilization

Telecommunications / Mobile

Overview / Products & Services

- Telecommunications is a mammoth industry, comprising companies that make hardware, produce software, and provide services. Hardware includes a vast range of products that enable communication across the globe.

Key Trends

- The industry has grown and evolved at an incredible pace for the last 20 years. Mobile phone penetration approaching 50% globally; Mobile broadband subscribership has topped 200 million worldwide; rollout of 3G networks in emerging markets causing mobile broadband subscribers to outnumber fixed-line broadband subscribers.
- Many households are giving up their landline, preferring to use a cell phone

Competitive Landscape

- Landscape is very competitive and wireless carriers have undergone a wave of consolidation: In recent times, Cingular acquired AT&T Wireless; Sprint joined Nextel; and ALLTEL acquired Western Wireless.
- Big 4 cellular players are AT&T, Verizon, T-Mobile and Sprint Nextel
- Cable companies attempting to capture wireless customers through wireless service offerings of their own

Customers

- Individuals, companies and governments

Channels

- Carrier-owned stores and leading retailers like Wal-Mart, RadioShack and Best Buy are significant channels for mobile phone sales and service.
- Major carriers have online stores for phone and service purchases.

Profit Summary

- **Revenue Drivers:** Subscriptions, data services (SMS, email and internet access on cell phones), mobile advertising, app stores.
- **Cost Drivers:** VC: marketing & advertising, salaries; FC: capital costs (equipment, infrastructure – cell towers, network maintenance, stores); overhead

CASES

Execution

- Structure 1 2 3 4 5
 ➤Logical approach
 ➤MECE
 ➤Appropriate drive to solution
 Comments:
- Quantitative Ability 1 2 3 4 5
 ➤Speed
 ➤Accuracy
 ➤Comfort, reaction to mistakes
 Comments:
- Business intuition 1 2 3 4 5
 ➤Practical
 ➤Insightful
 ➤Breadth & depth across multiple functions
 ➤Creativity
 Comments:

Communication

- Professionalism 1 2 3 4 5
 ➤Poise
 ➤Confident-Persuasive
 ➤Articulate-concise
 ➤Client ready
 Comments:
- Written 1 2 3 4 5
 ➤Clarity of writing and page layout
 ➤Ability to refer back
 ➤Comfort, reaction to mistakes
 Comments:

Behavioral (optional)

- Quality of star stories 1 2 3 4 5
 - Length 1 2 3 4 5
 - Clarity 1 2 3 4 5
 - Relevance 1 2 3 4 5
- Comments:

Case start time ____:____

Framework development ____ min
 Framework explanation ____ min
 Case discussion ____ min

Case end time ____:____

Overall Rating: 1 2 3 4 5

Strengths

Weaknesses

Key: 1=Bottom 10%, 2= 10th-25th percentile,
 3= middle 50%, 4= 75th-90th percentile, 5=Top
 10%

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ACCOUNTING

Case 1: Southwright Med Device

Accounting

Deloitte

Prompt	A medical equipment manufacturer in the southeastern U.S. has called you in because it feels its working capital requirements are much higher than those of its competitors. How will you help it solve its problem?
Guidance	<i>This is a financial accounting case focused on a medical device company. The basic objective of this case is to test knowledge of the Balance Sheet and how it applies to business operations.</i> Working Capital: Require the candidate to identify Working Capital as Current Assets (CA) minus Current Liabilities (CL). Provide the following information <u>upon request</u>: CA: Cash, inventory, and accounts receivable CL: Accounts payable and short term debts Company: The company is made up of three divisions, one of which was acquired by the client about two years ago. The division manufactures equipment for arthroscopic surgery, namely capital equipment and blades which sell are similar to razors and razor blades, just much more sophisticated and expensive. <i>If the candidate asks about inventory and indicates that the working capital problem could be caused by high inventory, advise that the newest division was acquired with a high inventory problem. If not offered, prompt him/her to discuss possible reasons for the high inventories.</i> <i>An ideal answer would consist of: lagging sales, poor forecasting, product or component obsolescence.</i>

Case 1: Southwright Med Device

Accounting

Deloitte

Guidance	<i>After the candidate has provided his/her proposed reasons for the inventory problem, provide the following actual causes for the high inventory and resulting high working capital:</i> • <i>Rapidly changing technology</i> • <i>Overly optimistic sales forecasts made shortly after the acquisition</i> • <i>Resulting overload of obsolescent finished goods inventory</i> <i>Ask the candidate to recommend some possible solutions to the problem.</i> <i>An ideal recommendation should touch upon these points:</i> ▪ <i>Inventory of obsolete product: confirm whether any demand remains and identify the appropriate level of inventory to carry based on that</i> ▪ <i>Inventory of all other products: make sales forecasts based on realistic assumptions of demand, manufacturing lead time, customer requirements for lead time, and the rapid pace of technological changes</i>
Prompt – Part II	The client has 2.5 years of finished goods inventory . However, none of it needs to be carried since the finished good product is no longer sold. What are the next steps?
Guidance	<i>The candidate should brainstorm here, ideally touching on the following points:</i> • <i>Determine whether there are any parts of the obsolete products that are usable in the newest version. If so, dismantle the finished goods and reuse what is needed to manufacture new products.</i> • <i>Look into selling off the inventory to distributors in less advanced healthcare markets.</i> • <i>Write off any finished goods or component parts that cannot be utilized for either of the above solutions or any other (as a write off is likely to be the least profitable option).</i>

Case 1: Southwright Med Device

Accounting

Deloitte

Performance Evaluation

Expected:

- Identifies WC = CA-CL, asks for components of each
- Identifies Inventory as the problem and can identify some possible causes
- Recommends some corrective actions for high Inventory with prompting
- Able to provide some next steps for Prompt II

Good:

- Completes all "Expected" requirements
- Identifies components of CA & CL on his/her own
- Identifies Inventory as the problem and provides possible reasons for high inventory
- Provides most corrective actions listed with minimal prompting
- Provides most or all next steps for Prompt II and reaches a conclusion with minimal prompting

Excellent:

- Completes all "Good " requirements
- Immediately identifies WC=CA-CL
- Explains all possible elements of CA & CL as well as their relevance to the problem
- Quickly identifies Inventory as the problem and provides explanation of all possible causes in a structured way
- Provides all corrective actions listed
- Provides all next steps listed in Prompt II
- Suggests some creative solutions not mentioned in the case

Market Sizing

Case 2: Polly Publishing

Market Sizing

Prompt	Your client is the CEO of a publishing company producing a line of educational magazines and a line of women's magazines. Both businesses are profitable but not growing quickly. He wants to start a third monthly magazine in the US targeted at 25- to 55-year-old men (e.g. GQ Magazine). His stated goal is \$12 million in circulation revenues in the first year. Is this possible?
Guidance	<i>This is a market estimation case. The below analysis is one way that it could be solved, and the information may be provided if requested. It is also acceptable for the candidate to make many of these assumptions for his/herself, as long as you find them reasonable.</i> <i>Either way, ask the candidate to walk you through his/her thought process for solving the problem before embarking on the calculations. Once you are comfortable with his/her approach, ask him/her to find the answer, explaining as he/she goes.</i>
Analysis	The following details may be provided <i>upon request</i>: <u>Population Data</u> ▪ The total US population is approximately 300M ▪ Based on a normal distribution with the average life span of 80 years, approximately 1/2 of the population falls between 25-55: $300M / 2 = 150M$ people ▪ Approximately 1/2 of them are male: $150M / 2 = 75M$ males <u>Market Size</u> ▪ Of the 75M 25- to 55-year-old men in the country, assume that at least 1/2 would read a magazine: $75M / 2 = \text{approx } 40M$ (allow rounding here) ▪ Given the wide range of magazines on the market assume that only 10% of magazine readers would want to read a men's journal: $40M \text{ magazine readers} * 10\% = 4M \text{ target customers}$ ▪ As a new magazine assume that you can generate a 5% share of the men's magazine market in year one: $4M \text{ target customers} * 5\% \text{ share} = 200k \text{ customers}$

Case 2: Polly Publishing

Market Sizing

Analysis	<u>Pricing / Purchasing Assumptions</u> - Based on other magazines selling for \$2.50-\$5.00, assume a cover price of \$4/magazine at the newsstand and \$2/magazine for a subscription. - Assume 50% subscribe (100,000 customers) and 50% buy at the newsstand (100,000 customers). For simplicity assume that all target customers buy a magazine every month. Monthly revenues amount to \$200,000 (subscription) + \$400,000 (newsstand) = \$600,000. This would generate total annual revenues of \$600,000 X 12 or \$7.2 million. Conclusion: In this case, given the CEO's stated goal of \$12 million in circulation revenues, it does not make good business sense to launch the magazine. If the candidate doesn't offer it, prompt him or her for additional considerations – other markets, demographics, types of magazines, etc.
Performance Evaluation	Expected: The candidate recognizes that this is a market estimation case and makes the appropriate assumptions and proceeds in a logical and structured way. Good: The candidate has a good plan to tackle the problem. The candidate explains his/her plans at the start and provides reasoning behind the approach. The candidate's assumptions are realistic and the candidate reaches some conclusion. The candidate begins to approach other possibilities for the magazine without prompting. Excellent: Apart from the criteria above, the candidate also reaches a very sound conclusion based on the data unearthed. The candidate's assumptions and estimations are very realistic and the candidate is quick in identifying all the elements of the problem. The candidate proceeds with the assumptions in the right direction and estimates the market size without any prompts from the interviewer. The candidate delves into other avenues that the company might explore given the failure of this one to meet the goal.

Case 3: Japanese Golf Ball Market

Market Sizing

Prompt	You are going to visit a client who sells golf balls in Japan. Having had no time for background research, you sit on the plane wondering about the size of the market for golf balls in Japan, and what drives demand. Your plane lands in fifteen minutes. How do you answer these questions?
Guidance	<i>This is a market estimation case. The below analysis is one way that it could be solved, and the information may be provided if requested. It is also acceptable for the candidate to make many of these assumptions for his/herself, as long as you find them reasonable.</i> <i>Either way, ask the candidate to walk you through his/her thought process for solving the problem before embarking on the calculations. Once you are comfortable with his/her approach, ask him/her to find the answer, explaining as he/she goes.</i>
Analysis	If asked, the population of Japan is 125 million. <u>There is no one right answer. The analysis below is an example. The candidate should make reasonable assumptions (ask for logic behind assumption) to arrive at the answer.</u> Proportion that play golf: 1/5. Purchase Frequency: the average golfer plays 20 times per year and uses four balls per time. $125 * 1/5 * 20 * 4 = 2,000$ million. The estimated market size for golf balls in Japan is 2 billion.
Performance Evaluation	Expected: The candidate will use a logical linear thought process to arrive at a market size and recognized the golf ball sales are driven by end user demand. The candidate will demonstrate confidence in his logical thought process. Good: The candidate is able to point out specific weaknesses in his approach and how those would affect his answer. Excellent: The candidate will show poise and confidence and quick business intuition. He will also recognize other potential drivers of demand such as golf course needs, business advertising, etc.

Case 4: Disposable Diapers

Market Sizing

Prompt	You have been retained jointly by Pampers and a federal commission on waste management. They would like you to estimate the volume percentage of disposable diapers in the total US household garbage.
Guidance	<i>This is a market estimation case. The below analysis is one way that it could be solved, and the information may be provided if requested. It is also acceptable for the candidate to make many of these assumptions for his/herself, as long as you find them reasonable.</i> <i>Either way, ask the candidate to walk you through his/her thought process for solving the problem before embarking on the calculations. Once you are comfortable with his/her approach, ask him/her to find the answer, explaining as he/she goes.</i>
Analysis	The candidate should generate the below equation. If he/she is stuck, assist him/her in arriving at this equation. $\text{Volume percentage} = \text{Diapers (volume)} / \text{US household garbage (volume)}$ Numerator - Population of the United States: 300 million - Proportion of population that are disposable diaper-wearing children: 10% = 30 million - Number of diapers used per day: 4 = 120 million diapers per day. - Volume per diaper: 500 mL (or use another number in gallons/oz if you prefer) - Volume thrown away per day = 500mL * 120 million = 60,000 million mL = 60 million liters Denominator - Population of the United States: 300 million - Average volume of household garbage can: 10 liters (or use gallons if preferred) - Average number of emptied bags per day: 1 = 10 liters per day - Total volume of garbage/day: 300M * 10L = 3,000 million liters Ratio 60 million liters of diapers/ 3,000 million liters of garbage = 2%

Case 4: Disposable Diapers

Market Sizing

Performance Evaluation	Expected: Candidate will develop a structured approach to finding a solution. Assumptions will be clarified and based on reasonable logic. Good: Candidate will use numbers or round appropriately to simplify calculations. He/she will correctly and clearly walk the interviewer through the calculations. Excellent: In addition to the above, the candidate will evaluate his/her final number and provide explanation as to how changes to assumptions would affect the estimation.
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Case 5: Chewing Gum

Market Sizing

Prompt	How would you estimate the size of the annual U.S chewing gum market?
Guidance	<i>This is a market estimation case. The below analysis is one way that it could be solved, and the information may be provided if requested. It is also acceptable for the candidate to make many of these assumptions for his/herself , as long as you find them reasonable.</i> <i>Either way, ask the candidate to walk you through his/her thought process for solving the problem before embarking on the calculations. Once you are comfortable with his/her approach, ask him/her to find the answer, explaining as he/she goes.</i>
Analysis	• Population of the US: 300 million • The heaviest users are between the ages of 10-20. They comprise roughly 20% of the population, or 60 million. • Estimate that these people chew two packs per week. Estimate number of packs/year: 2 packs/week * 60 million people * 50 weeks = 6,000 million packs. • For all other users, (80% of 300 million population, or 240 million) estimate a usage rate of one half pack per week: 0.5 packs/week * 240 million people * 50 weeks = 6,000 million packs. • Adding these two figures, estimate the total chewing gum market to be 6,000 + 6,000 = 12,000 million (or 12 billion) packs per year. • Now check for reasonableness. We have the volume, what about the revenue? How much is 12,000 million packs in terms of dollar sales? Estimate for average price of pack: \$0.75. 12 billion packs * .75 = \$9 billion

Case 5: Chewing Gum

Market Sizing

Performance Evaluation

Expected:

Candidate will develop a structured approach to finding a solution. Assumptions will be clarified and based on reasonable logic.

Good:

Candidate will use numbers or round appropriately to simplify calculations. He/she will correctly and clearly walk the interviewer through the calculations.

Excellent:

In addition to the above, the candidate will evaluate his/her final number and provide explanation as to how changes to assumptions would affect the estimation.

VALUATION

Case 6: Scotch Bar

Valuation

Prompt	You are sitting in one of Chicago's oldest scotch bars with a fellow intern. It is a Friday night after a busy week at your summer internship. The weather is mild—a perfect summer evening. While enjoying one of the bar's finest stogies and sipping an 18-year old McCallen single malt, your friend asks you how much you think the bar is worth. Using a back-of-the-envelope calculation, how would you go about determining the value of this bar?
Guidance	<i>This is an estimation case. Because the candidate does not know much about the bar he/she should ask for details. To estimate cash flow, a “Revenue – Cost” framework is useful. The value of the bar is the present value of future cash flows.</i> <i>The following information should be given if requested:</i> ▪ <u>Product Mix and Pricing:</u> The bar sells two things, liquor and cigars. The average cost of a cigar is \$9 and the average cost of a drink is \$12. (Note: these average cost numbers will prove irrelevant, but in cases one is sometimes given irrelevant info.) ▪ <u>Capacity:</u> The maximum capacity is 100 people. ▪ <u>Location:</u> The bar is located on one of Chicago's busier streets for foot traffic. ▪ <u>Hours:</u> The bar is open Tuesday thru Sunday from 5 pm until 2 am. ▪ <u>Staff:</u> A bartender, a waiter, and a waitress. All three were there the entire evening. ▪ <u>Tax Rate:</u> 40% ▪ <u>Discount Rate:</u> 13% ▪ <u>Annual Growth Rate of Cash Flows:</u> 3% <i>The candidate will most likely not ask for all of this information upfront. Allow the candidate to make some assumptions about revenues. One way to project revenues is to estimate the number of customers per day or per week and multiply that by the average expenditure of each customer. Watch for realistic assumptions and logical thought progression.</i>

Case 6: Scotch Bar

Valuation

Prompt – part II

Ask the candidate what might drive variation in these numbers. The answer is days of the week (Fridays and Saturdays are typically busier than other days) and seasonality (people tend to be out more during summer than winter).

Guidance

*While the candidate talks you through his/her approach, but before the candidate does a substantial amount of calculation, hand the candidate **Exhibit 1**. If the candidate does the math correctly, the revenue should add up to \$568,000.*

Calculations	Fridays and Saturdays	Rest of Week
Spring and Summer (Equals 25 weeks. 50 weeks in a year)	$\$4,800 * 2 \text{ Days} = \$9,600 \text{ for Friday \& Sat.}$ $\$9,600 * 25 \text{ Weeks} = \$240,000 \text{ Total}$ \$240,000 Total	$*16.667 \text{ is } 1/6. \text{ Use fractions whenever possible}$ $\$4,800 * 1/6 * 4 \text{ days (Monday is closed)} = \$3,200$ $\$3,200 * 25 \text{ weeks} = \textbf{\$80,000 Total}$
Fall and Winter	$3/4 * \$240,000 = \$180,000$ \$180,000 Total	$0.85 * \$80,000 = \textbf{\$68,000 Total}$
Total	\$420,000	\$148,000

The candidate should then proceed to costs. There are two components: fixed costs and variable costs. Have the candidate brainstorm possible fixed costs and variable costs. Under fixed costs the candidate might consider rent, general maintenance, management, insurance, liquor license, and possibly employees. The only real variable cost is the cost of goods sold. Allow the candidate to brainstorm costs before revealing the following data:

Variable costs are 20% of total revenues, and fixed costs are \$120,000.

Case 6: Scotch Bar

Valuation

Guidance Cont'd...	<i>After the candidate has subtracted costs from revenues, he/she should have an income of \$334,400. Do not forget that we need the after-tax cash flow number (approximately $\\$334,000 * (1 - 40\%) = \\$200,400$ (or \$200,000 for ease of calculation in next prompt). You now have the annual cash flows generated by the bar.</i> <i>At this point a great candidate will drive the process forward and recognize that they need to figure out a stream of cash flows going forward. The interviewer may have to nudge less-savvy candidates toward the next step (discounted cash flow analysis).</i>
Prompt	How does one perform a valuation of the business?
Analysis	To perform a valuation in this case, the candidate must estimate the cash flows from the business and discount them back using a perpetuity formula. The discount rate typically used for bars of this genre is 13%. When the candidate inquires about growth rates, say the bar's cash flow is growing at 3%--the rate of inflation. Thus, whatever numerator the candidate arrives at should be divided by $.13 - .03 = .10$, an easy calculation. Use the $CF / (r - g)$ formula for a perpetuity. In this case, the answer is around $\\$200,000 / .10$, or \$2 million.
Performance Evaluation	Expected: Accurate arithmetic, able to proceed through the process to the answer with some prompting. Good: Candidate is able to drive the process forward, covering the necessary points with minimal prompting. The candidate performs accurate arithmetic and is able to walk the interviewer clearly through the math. Excellent: A great candidate will drive the process forward and recognize that they need to figure out a stream of cash flows going forward. He/she performs an accurate valuation given assumptions.

Case 6: Scotch Bar

Valuation

Exhibit 1: Daily sales

	Fridays and Saturdays	Rest of Week
Spring and Summer	\$4,800	16 2/3% of Fri a (Spring and Sur
Fall and Winter	3/4 of Spring and (Fridays and Satu	85% of Spring an (Rest of week

Case 7: Chemical Brothers Int.

Valuation

Prompt	Your client Chemical Brothers International (CHEMBRO), is a major chemical producer, has retained your firm's services to evaluate the feasibility of acquiring another major player in the industry, Plastics of America (POA). Both companies are bulk commodity chemical producers. Your task is to analyze the future prospects of POA's major product line, a chemical used in the production of plastics. Should Chembro acquire POA?
Guidance	<i>There are two issues in this case that should be addressed separately in the suggested order:</i> 1. <i>What issues need to be addressed in evaluating an M&A proposal? (Qualitative)</i> 2. <i>What is the valuation? (Quantitative)</i>
Prompt – Part II	What strategic issues need to be addressed in evaluating an M&A proposal?
Guidance	<i>A strong candidate will recognize that this case deals with internal factors (synergies and economies of scale) as well as some external factors (opportunity costs and industry attractiveness). The candidate should include some of the following elements in his framework:</i> ▪ <i>Market Attractiveness / Industry Potential</i> ▪ <i>Operational Analysis (Synergies/Economies of Scale/ Network Externalities)</i> ▪ <i>Organizational and cultural compatibility</i> ▪ <i>Capability to enact acquisition: Financial, legal, and perceptual barriers</i>

Case 7: Chemical Brothers Int.

Valuation

Analysis

The candidate's framework should cover the following buckets. Allow the candidate to ask for information about the major categories before giving the information. If the candidate is missing one of the buckets, prompt them with a question to get them on track.

Market Analysis

- End-users come primarily from the automotive industry
- Market size has been slowly declining over the last five years
- Within the last couple of years, prices have declined rapidly

Competition / Industry Analysis

- There are 10 major producers; the largest one with a 35% share; number two has 25%, and POA is third with 20%; the remaining share is divided amongst others
- The two largest competitors earn a small return; POA is slightly above break-even; the rest are operating at break-even or at a loss
- Relative capacity utilization in the industry is 60 to 70 % and has been so for the last 3 years. POA is also currently working at 75% of capacity
- The two largest competitors are highly diversified with this particular product line representing no more than 20% of their revenues
- Highly regulated industry with expensive pollution control equipment
- High barriers to entry because of the low profits and high investments required

Product value proposition / brand portfolio

- The price has been driven by self-destructive cuts from the leaders to gain temporary share points
- We do not foresee the development of any significant byproducts.
- Other possible uses: None.
- Complementary Assets: 50% of POA's sales are to the automobile industry

Case 7: Chemical Brothers Int.

Valuation

Analysis	Finance and Operations • Cost is based on size/efficiency/age of plant, etc. Within the industry, POA is in an above average position. • There are several operational improvements that could be implemented, and management has not been aggressive in its pursuit of quality and cost controls. • Great economies of scale exist in marketing and transportation. (Not quantifiable) • Operational synergies could represent an additional \$30 million in profits
Prompt – Part III	After discussing the above-mentioned qualitative aspects in some detail, provide the candidate with Exhibit 1 when the conversation shifts to the topic of valuation. Ask candidate to compute the present value of acquisition.
Guidance	<i>You may allow the candidate to use 10% rate of return and not 9% (12% Return on Capital – 3% Growth Rate) if requested. However ask him the effect on NPV of a higher vs. lower discount rate, to gauge his understanding of the concept. Answer: Higher discount rate means lower valuation.</i>

Case 7: Chemical Brothers Int.

Valuation

Analysis	NPV analysis: Based on the information from Exhibit A, the net present value of the target company is = $\\$90M / (10\%) = \\900 million (assume perpetuity), which is less than the purchase price tag of \$950 million. A more comprehensive NPV would include the new cash flow from synergies, as well as the previously calculated NPV. Therefore the $\\$900$ million + [Synergies $30M / (12\% - 3\%) = 333M$] = \$1,233M value of target > 950 price tag. In addition to the cash flows expected from synergies, the potential economies of scale and tax advantages from funding the acquisition with debt could be seen as other sources of revenue. These considerations further improve the deal. ▪ Competitive and regulatory responses to block the merger are reasonable to assume due to concerns over industry concentration. ▪ Benchmarking the value of the POA acquisition to other similar M&A in the industry. ▪ Consider what multiple of operating profits other acquisitions been valued at? Industry Attractiveness: not particularly attractive, unless the larger competitor can use economies of scale and dominant position for economic gain.
Performance Evaluation	Expected: Candidate identifies that the purchase price is higher than the NPV. Recommendation wrap-up should clearly include a “go / no go” decision followed by quantitative (valuation) and qualitative (industry and compatibility analysis) facts.. Good: A strong candidate will recognize that this case deals with internal factors (synergies and economies of scale) as well as some external factors (opportunity costs and industry attractiveness). Excellent: An excellent candidate will include recognize all factors indicated, and will perform the entire NPV analysis, including synergies, without prompting.

Case 7: Chemical Brothers Int.

Valuation

Exhibit 1 – Selected Information about Plastics of America

Purchase Price	\$950 M
Annual operating income before tax	\$90 M
Cash	\$30 M
No. of employees	<i>2000</i>
Return of capital	<i>12%</i>
Market risk premium	<i>7%</i>
Growth rate	<i>3%</i>
Tax rate	<i>40%</i>

Case 8: Cinemas

Valuation

Bain

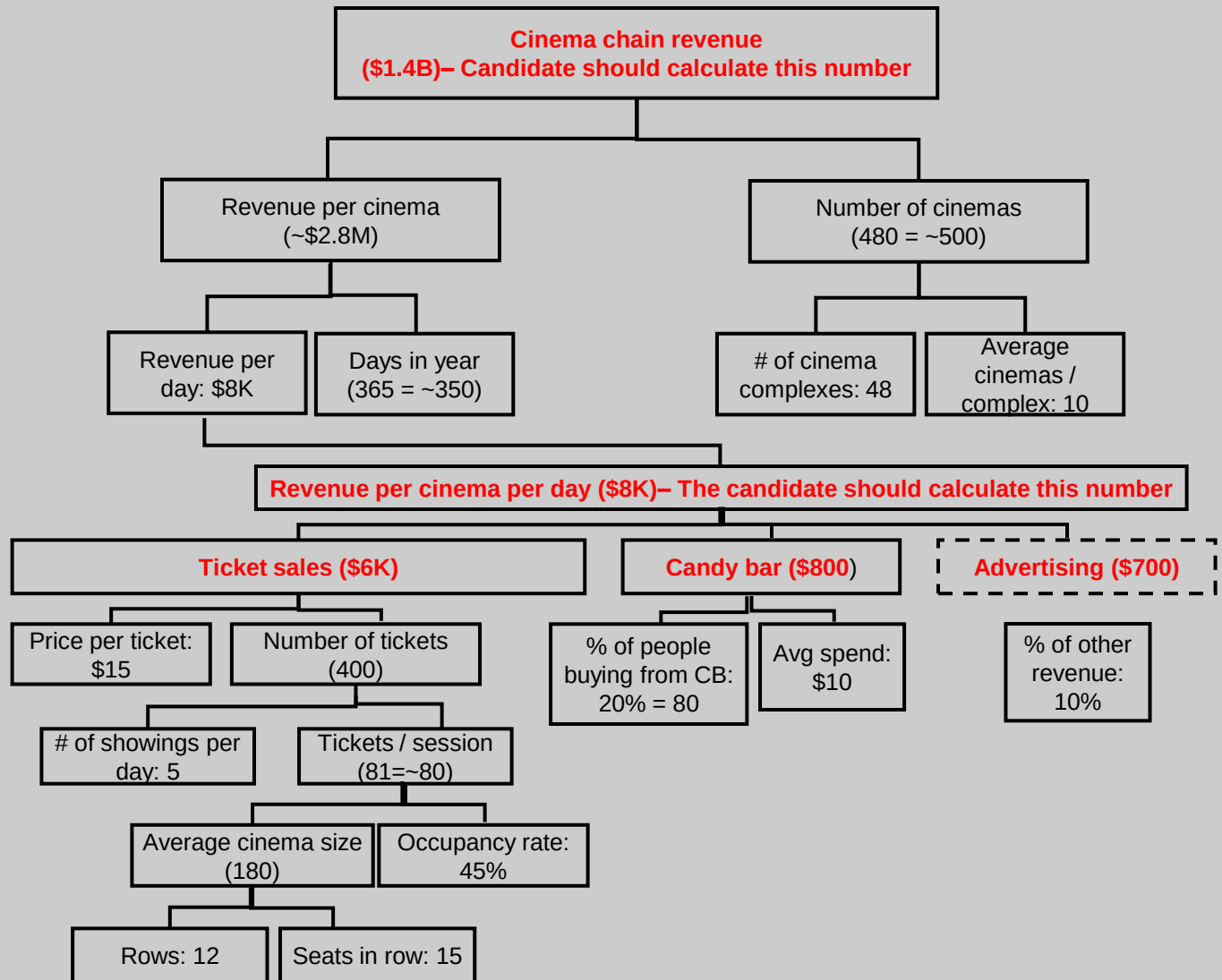
Prompt	Our client is a global cinema chain with \$20B in revenues. Growth options in the current business are limited. The CEO has been given the opportunity to acquire a private Australian cinema chain, which has exhibited poor growth in recent years. The CEO has asked Bain to determine whether this could be an attractive opportunity. The other Bain work streams have calculated that the business will need to generate \$2.0B per year in revenues for the next 5 years for the deal to generate a profit. The opportunity to bid for the cinema chain closes in 2 hours and you need to recommend to the client whether they should proceed with the acquisition or not.
Guidance	Key questions the candidate should ask: What is the annual revenue for the cinema chain? What revenue improvement opportunities or risks exist? Make the candidate build up to an annual revenue. Ask them to brainstorm revenue streams before giving them details. After brainstorming, you can provide the following details (let the candidate lead you): <u>Ticket Sales:</u> • Rows per cinema = 12 • Seats per row = 15 • Average occupancy = 45% • Number of movie showings per day = 5 • Price per ticket = \$15 <u>Chain Size:</u> • Number of cinema complexes: 48 • Average cinemas per complex: 10 <u>Snack Bar Revenue:</u> • Number of ticketholders buying snacks from the snack bar = 20% of ticketholders • Average spending at snack bar = \$10 per snack bar goer <u>Other Revenue (Advertising prior to movie, and in theatre hallways):</u> • 10% of all other revenue

Case 8: Cinemas

Valuation

Bain

Analysis



Case 8: Cinemas

Valuation

Bain

Analysis

Candidate should now push on to test the market dynamics and future revenues.

Revenue drivers

- Occupancy
 - Sessions per day
 - % patrons who buy at Concession Booth (CB)
 - Average spend at CB
 - Other new revenue sources
 - Price per ticket
 - Market share
- } Future popularity of movie-going
- } Ability to extract additional discretionary spend
- } Competition, from both competitors as well as substitutes

Next, the candidate should discuss the feasibility of changing the factors noted above.

- External factors – note that these would be difficult for the CEO to influence
 - Market size would be stable, or declining
 - Market share is difficult to change, but not impossible
- Internal factors – easier to influence
 - Increase revenue from 'up-selling' candy bar snacks
 - Offer more expensive tickets (premium seating)
 - Increase the prices of advertising
- Candidate should then suggest **rough** magnitude of changes
 - E.g. if you could get 20% of customers to buy **from the** candy bar, it would be worth \$800 per cinema, or an extra 10%

Case 8: Cinemas

Valuation

Bain

Performance Evaluation

Expected: Candidate is able to recognize 90% of the inputs that would make up annual revenue. He/She is able to drive to the revenue answer without being prompted to move from one number to the next.

Good: Candidate does the above while also recognizing the levers that could either increase or decrease the annual revenue recognizing which levers would be easier to influence and which would be more difficult.

Excellent: Candidate starts to assess the magnitude of change, i.e. if we could increase the % of customers that buy from the candy bar it would be worth \$800 per cinema. This is showing a true understanding of the case and the client's goals.

PROFITABILITY

Case 9: Slick Hick Farm Equipment

Profitability

Prompt	Your client is Slick Hick, a large agricultural equipment manufacturer. Its primary product line, farming tractors, is losing money. What questions would you ask of your client to help them solve their profitability problem?
Guidance	<i>The candidate should outline a general profitability framework ($P*Q - (FC + VC*Q)$) and identify competitors as a necessary piece of understanding.</i> <u>Competitors:</u> Two direct competitors. <u>Current Market Share:</u> • Client has 40% of the market • Competitor #1 has 30% • Competitor #2 has 15% • The remaining 15% belongs to many small manufacturers <u>Market Share 5 Years Ago:</u> • Client had 60% of the market • Competitor #1 had 15% • Competitor #2 had 10% • Your client has lost significant market share to its two main competitors over the last few years. <u>Customers</u> - All three competitors sell to the same customers. <u>Price</u> Client's product is priced higher than others. This has always been the case. Differences that allow for a premium price: Client has a strong reputation/image of quality in the market and the market has always been willing to pay a premium for that reputation because it implied a longer lasting more reliable product. This is critical for some farmers because they cannot afford to have a piece of equipment break down. <u>Features</u> The products all have the same basic features. However, tractors are not commodity items and a few differences do exist.

Case 9: Slick Hick Farm Equipment

Profitability

Analysis	$(PQ - (FC + VC \cdot Q))$ <i>Revenue insight: Quantity decrease driven by market share loss has driven revenues down</i> <i>Costs insight: VC increases are driving unprofitability. The specific VC driving this is finished part prices. The client assumed customers would pay more for better products, but they are not.</i>
Guidance	<u>Candidate should explore reasoning for profitability decline by asking the following questions:</u> <i>Change in sales revenues: Revenues are down.</i> <i>Change in sales quantities: Quantity is down.</i> <i>Change in price: Prices are up.</i> <i>Change in costs: Costs are up</i> <i>Change in fixed costs: Unchanged.</i> <i>Change in variable costs: Variable costs have increased tremendously. The client does not know why material prices have gone up so staggeringly.</i> <u>Candidate should deep dive on variable cost breakdown by identifying potential buckets</u> <i>Type of operation (manufacturing or assembly-only): Primarily assembly.</i> <i>Change in finished part prices: Finished part prices have gone up.</i> <i>Change in raw material prices for suppliers: Not to client's knowledge.</i> <i>Change in supplier labor costs: No change. Also, no change in suppliers.</i> <u>Candidate should then probe on why finished part prices have gone up.</u> <i>Reason for suppliers charging higher prices for the same products: They're not--the prices have increased as a result of product improvement efforts. Client has tightened tolerances and improved the durability of component parts.</i> <i>Reason for product improvements: Client strives to sell the world's best tractors.</i> <i>Customer willingness to pay for product improvements: Client assumed yes.</i>

Case 9: Slick Hick Farm Equipment

Profitability

Analysis	<i>Prices have been raised to cover the costs of improvements, but customers do not place a high value on the improvements, so the price increase has resulted in a drop in sales. The client needs to incorporate a cost/benefit analysis procedure into its product improvement process. The client should also evaluate their marketing plans to ensure their customers are aware of product improvements and understand their value. Before scaling back their product improvement process, the client needs to evaluate competitor's R&D and product improvement positions.</i>
Performance Evaluation	Expected: - Profitability framework - Market share probing Good: - Identify need to understand profitability decline in terms of changes in revenue and cost levers - Key in on variable cost increases and identify key buckets that go into building a tractor Excellent: - Asking probing questions on why part prices have increased and if these increases have been passed to the customer - Making recommendations for cost repositioning and assessing market risks

Case 10: Strathmore Hall

Profitability - Non-Profit

Prompt	Your client is Strathmore Hall, a nonprofit performing arts center located just outside Washington, DC. Strathmore Hall's business model is based on a public-private partnership with the county in which it operates. Although the county owns and maintains the mansion and surrounding buildings, Strathmore runs the day-to-day artistic operations of the buildings. Strathmore generates revenue through licensing its facilities to outside producers for concerts and performances and through its gift shops, tea room, and art consignment sales. Strathmore Hall has been approached by an event planning company, RSVP to Me, which proposes to rent out the mansion for weddings and corporate events. You have been hired to help Strathmore evaluate this business opportunity.
Guidance	<i>This is a basic profitability case, with the added twist that the client is a nonprofit organization and is subject to additional pressures from the county, donors, and a mission to provide the public with quality artistic programming.</i> Competitors: <i>There are numerous competing event spaces in the DC/Maryland area. Competitors include several facilities with which RSVP to Me has similar arrangements. Strathmore would be competing only with these facilities (i.e., it would not rent to any individual or corporation who does not go through RSVP to Me).</i> Differentiation: <i>Strathmore Hall is a beautiful historic building, recognized by numerous societies for its fine architecture and restoration. Although Strathmore Hall is new on the private events "scene," RSVP to Me believes Strathmore's high profile within the community will attract business.</i> Market size: <i>Push the candidate to think through different types of market opportunities. Examples include: weddings, corporate holiday parties, fundraising events, conventions, birthdays, sports banquets, school dances, etc.</i> Revenue: <i>Candidate should go on to explore the revenue streams from each event. Allow the candidate to brainstorm facility charge, tables and chairs rental, catering, personnel, etc.</i>

Case 10: Strathmore Hall

Profitability - Non-Profit

Guidance	Costs: Candidate must probe into the fixed and variable costs of this venture, including (importantly) the commission it must pay to RSVP to Me. Candidate should understand that the start-up costs (e.g., purchasing catering buffets, stage lights, chairs, linens, etc.) will be one-time and on-going costs will include personnel, catering, utilities, etc.
Analysis	After brainstorming revenue streams, the interviewer should show the candidate Exhibits 1-2. From this, the candidate should proceed to calculate total revenue in each of the first three years. After brainstorming fixed and variable costs, the interviewer should show the candidate Exhibit 3. The candidate should notice that commission to RSVP to Me is high and might come up with ways to negotiate a lower commission (e.g., interviewing other event companies to see what the going rates are, work out tax benefits to RSVP to Me for working with a nonprofit organization, etc.). Potential conclusion: The profitability information suggests that working with RSVP to Me to bring private events to Strathmore Hall is a good idea. Strathmore already has the event space maintained by the county, and it is a well-known landmark within the community. Although Strathmore would face stiff competition from surrounding event venues, the partnership with RSVP to Me shelters Strathmore from competition and will likely help it grow market share. Potential concerns might include a market that does not appear to be growing and working with a partner that demands a disproportionate share of the revenue.

Case 10: Strathmore Hall

Profitability - Non-Profit

Performance Evaluation	Expected: Candidate should recognize that this is a profitability case with the added twist of Strathmore Hall being a nonprofit. Candidate should put together a framework, ask relevant questions along the way, and make accurate calculations. Good: The candidate should look beyond the internal factors and information given in the exhibits to examine the external context of the case (e.g., competition, nonprofit). Excellent: The candidate will go into extended commentary on the pros and cons of working with an event company like RSVP to Me and will discuss other ways in which Strathmore Hall could use its assets to generate revenue. Other Tips: Remember that non-profit entities still seek to generate profit, however they typically must balance the profit motive with the mission or objective of the organization. A strong candidate will recognize both motives and elaborate on whether the changes under consideration help to advance the organization's charitable goals in the best possible way.
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Case 10: Strathmore Hall

Profitability - Non-Profit

Exhibit 1 – Projected Market Share at Strathmore Hall

		Strathmore Market Share		
Event Type	Total	Year 1	Year 2	Year 3
Weddings	500	10%	12%	15%
Corporate	250	20%	30%	30%
Other	100	10%	10%	10%

Exhibit 2 – Projected Revenue at Strathmore Hall

Event Type	Facility Fee	Avg. Guests	Per Person Charge
Wedding	\$5,000	250	\$100
Corporate	\$10,000	300	\$100
Other	\$5,000	250	\$100

Case 10: Strathmore Hall

Profitability - Non-Profit

Exhibit 3 – Costs at Strathmore Hall

Category	Year 1	Year 2	Year 3
Fixed costs	\$1,000,000	\$50,000	\$50,000
Per person costs	\$20	\$20	\$20
Commission to RSVP to me (per event)	\$10,000	\$10,000	\$10,000

Case 10: Strathmore Hall

Profitability - Non-Profit

Solution – Do not show to candidate

	Year 1	Year 2	Year 3
Revenue			
Weddings			
Facility Fees	\$250,000	\$300,000	\$375,000
Guest Charges	\$1,250,000	\$1,500,000	\$1,875,000
Corporate			
Facility Fees	\$500,000	\$750,000	\$750,000
Guest Charges	\$1,500,000	\$2,250,000	\$2,250,000
Other			
Facility Fees	\$50,000	\$50,000	\$50,000
Guest Charges	\$250,000	\$250,000	\$250,000
Total Revenue	\$3,800,000	\$5,100,000	\$5,550,000
Costs			
Fixed	\$1,000,000	\$50,000	\$50,000
Variable	\$600,000	\$800,000	\$875,000
Commission	\$1,100,000	\$1,450,000	\$1,600,000
Total Costs	\$2,700,000	\$2,300,000	\$2,525,000
PROFIT	\$1,100,000	\$2,800,000	\$3,025,000

Case 11: Bank Commissions

Profitability

Accenture

Prompt	Your client is a regional commercial bank and your task is to make a recommendation to improve the profitability of the retail segment of their business operations. Specifically you are required to evaluate the merits of a proposal made by the CFO - a commission-based incentive program targeted at the bank's tellers with the objective of increasing product sales. How much commission should the bank pay its tellers per unit of product sold?
Guidance	<i>This information should only be given if asked (or if the candidate is struggling).</i> Product Mix: The bank has four products it wants to sell in this program - CDs, Checking accounts, Mutual funds, and IRAs. <i>[The Interviewee should ask for more information about the products, without which we cannot ascertain the profitability of each product in the mix.]</i> Revenue Streams: If the interviewee asks for the bank's sources of revenue for the products, first ask the interviewee to list what he/she thinks are the specific sources of revenue for the bank's four products. The answers are not important to the case. However, it will 1) illustrate the interviewee's creativity and 2) check the candidate's poise. <i>Possible answers : Interest generated, commission earned, perhaps an overnight float option, synergies or economies of scale from cross selling.</i> Profit Margins: The interviewee should ask for the profit margin on each of these products in order to estimate a commission structure. Information to be given if asked: <i>The profitability is as follows:</i> ▪ <i>CD's: 2% with an average \$4,000 initial deposit</i> ▪ <i>Checking: 4% with an average \$2,000 initial deposit</i> ▪ <i>Mutual Funds: 1% with an average \$8,000 initial deposit</i> ▪ <i>IRA's: 2% with an average \$4,000 initial deposit.</i>

Case 11: Bank Commissions

Profitability

Accenture

Guidance	Incentive Program Options – The Interviewee should arrive at a profit margin of \$80 per product and constrain his incentive program within this range. Explore at least four different incentive options. <i>Answer: A fixed fee per product, a percentage of the profits, a fixed fee for a certain number of products sold that would decline after a threshold, or a variable commission depending based on products and spreads.</i>
Analysis	Criteria for selection of incentive program - Ask the Interviewee what information he would need to determine the best incentive program for the bank . <i>Answer:</i> Profitability - The ease of sale, whether all tellers are equally effective sellers, profit per teller or per customer, estimated commission as a percentage of current salary, cost of incentive program Human Capital – The program that best motivates employees to sell products and increases retention rate. Tell the interviewee that his/her choices can be narrowed down to one. In this case, the assumption is that all the tellers are equally effective and that all the products can be sold with roughly the same effort. So what would you base the commission on then? Why? Answer: Fixed fee option as it is a straightforward incentive and has a large upside for employees. Also administration costs are relatively less. [Note: It is possible that the interviewee comes up with an even better answer than this. If that is the case, acknowledge the answer and tell them the client would like to proceed with the fixed fee option]

Case 11: Bank Commissions

Profitability

Accenture

Round 2

Analysis	Cost of incentive program - Steer the Interviewee toward discussing the cost structure of the fixed fee incentive program. The Interviewee should ask about the present salaries of the tellers and the expected sales/teller. Information to be given if asked: ▪ Average Salary per year per teller: \$25,000 ▪ Expected sales/teller: five products per week. Thus: Annual sales/teller = 250 products (5 products per week * 50 weeks per year) ▪ Commission Fee = \$10 ▪ New profit margin = (\$80-\$10) = \$70 Ask the interviewee to wrap up. "I have a meeting with the CFO in 5 minutes. Tell me your final recommendation."
Performance Evaluation	Expected: ▪ You understood the interviewee's framework / plan to solve the case ▪ Referred to framework often to ask questions ▪ Asked for help when lost. ▪ Calm and collected Good: ▪ Made a final recommendation and included data. ▪ Integrated data well and reached insights by seeing the big picture ▪ Drove the case Excellent: ▪ An excellent candidate will do all the above and will mention risks or practical implications of recommendation: ▪ Tracking field in their accounting system to associate correct teller ID with sales made ▪ Changes in payroll systems ▪ Sales training program for tellers ▪ Effectiveness study to measure impact on employee retention/satisfaction

Case 12: Electronics Co.

Profitability

Bain

Prompt	Your client is Electronics Co., an audio/video sales and repair retailer with 500 stores located primarily on the West Coast. In 2001, revenues were \$520M: \$120M from repairs of equipment (e.g. TVs, VCRs etc.) and \$400M from sale of equipment (primarily TVs). Electronics Co. has been in business for 30 years and is known for its fast, professional service. However, profits have been flat for the past 4 years and competitors have not seen similar problems. The client wants to know why its competitors are outperforming Electronics Co. Also, they want to know how Electronics Co. can improve its profitability.
Guidance	<i>Provide the following exhibits as the candidate asks specifically for each piece of information:</i> <u>Exhibit 1</u> • Information provided: A/V Sales and repair markets • Expected insights: E Co's sales are flat despite a market that is growing at nearly 4% annually, and repairs are down despite overall market growth <u>Exhibit 2</u> • Information provided : Competitor profitability for A/V repair • Expected insights: Labor is a big cost bucket. The candidate should seek more information here – more is provided on the following page <u>Exhibit 3</u> • Information provided: Electronics Co cost structure • Expected insights: E Co's profitability is very low, indicating that costs are out-of-line

Case 12: Electronics Co.

Profitability

Bain

Guidance	<i>Additional Information to be provided if the candidate asks for it specifically:</i> <u>Performance v. Competition:</u> E Co.'s stock price increased only 2% from 1998 to 2001, while competitors have achieved 15% growth. <u>Market Growth / Size:</u> Encourage the candidate to think through possibilities using the stock price information (i.e., competitors are grabbing a larger share of a growing market, competitors have found a way to grow margins substantially). <u>Financial Benchmarks:</u> The client wants to quantify the potential profit improvement but the client is looking for the interviewee to determine that number.
Analysis	<u>Labor</u> • E Co has 2 repair people per store, vs. its competitors that have 0.5 – 1 repair person per store • Each store has 10 jobs per week, which average about 2.5 hours to complete • Each store is open M-F 8am – 6pm and repair people are paid \$60K annually

Case 12: Electronics Co.

Profitability

Bain

Performance Evaluation

Expected:

Candidates should know to look at revenues and costs. Since competitors are mentioned in the prompt, candidates should also ask for market related information.

Good:

Excellent/Deeper Insights:

These candidates will show an ability to offer practical solutions. For example, in Exhibit 2, great candidates will ask how E Co.'s profitability compares to its competitors and seek WHY. They will calculate utilization of the repair people to determine if cuts can be made and will calculate the profit impact of savings from labor (25 hours of work per week; 100 hours of labor available per week – only 0.5 repair person needed per store; savings of \$90K per store * 500 store = \$45M in savings). If a candidate attempts these calculations, provide Exhibit 4.

Case 12: Electronics Co.

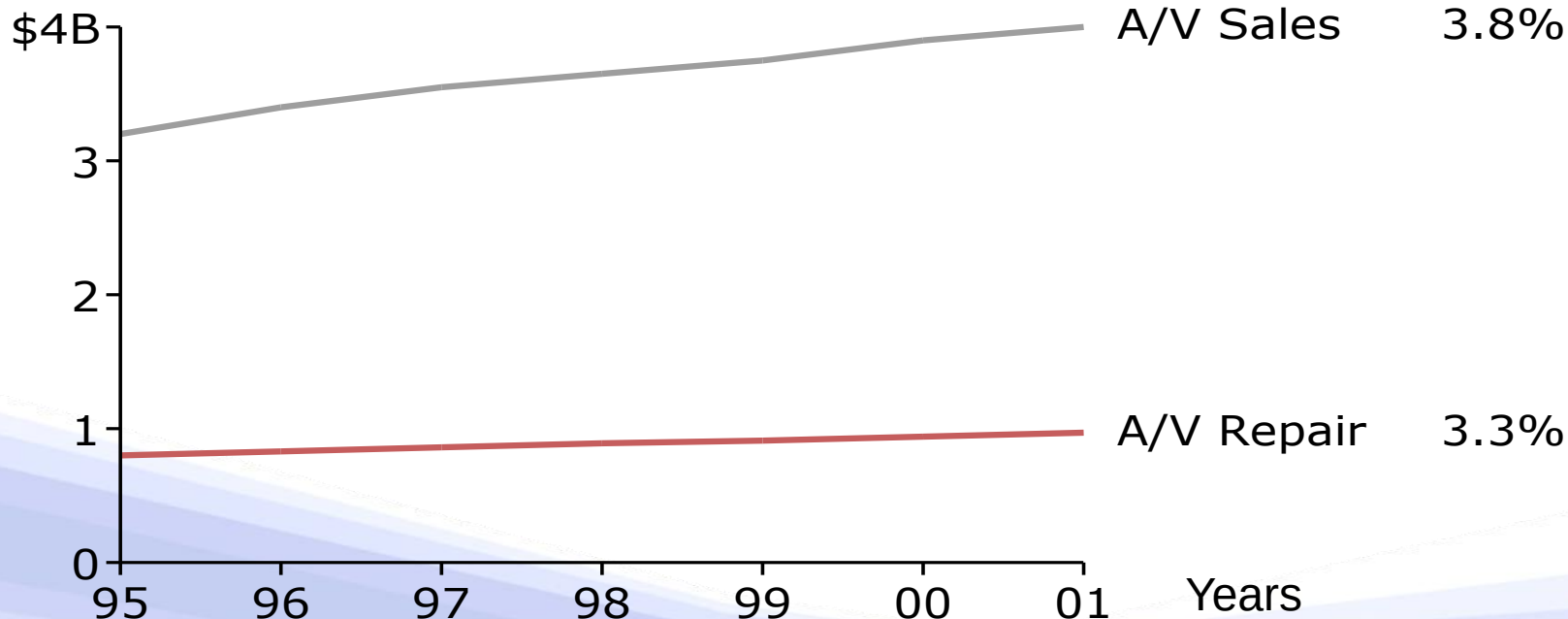
Profitability

Bain

Exhibit 1 – A/V sales & repair markets

Market size

Annual Growth
95-01



Sales	10.3%	10.2%	10.1%	10.2%	10.4%	10.3%	10.4%
Repair	13.0%	12.8%	13.2%	13.3%	12.9%	13.1%	12.2%

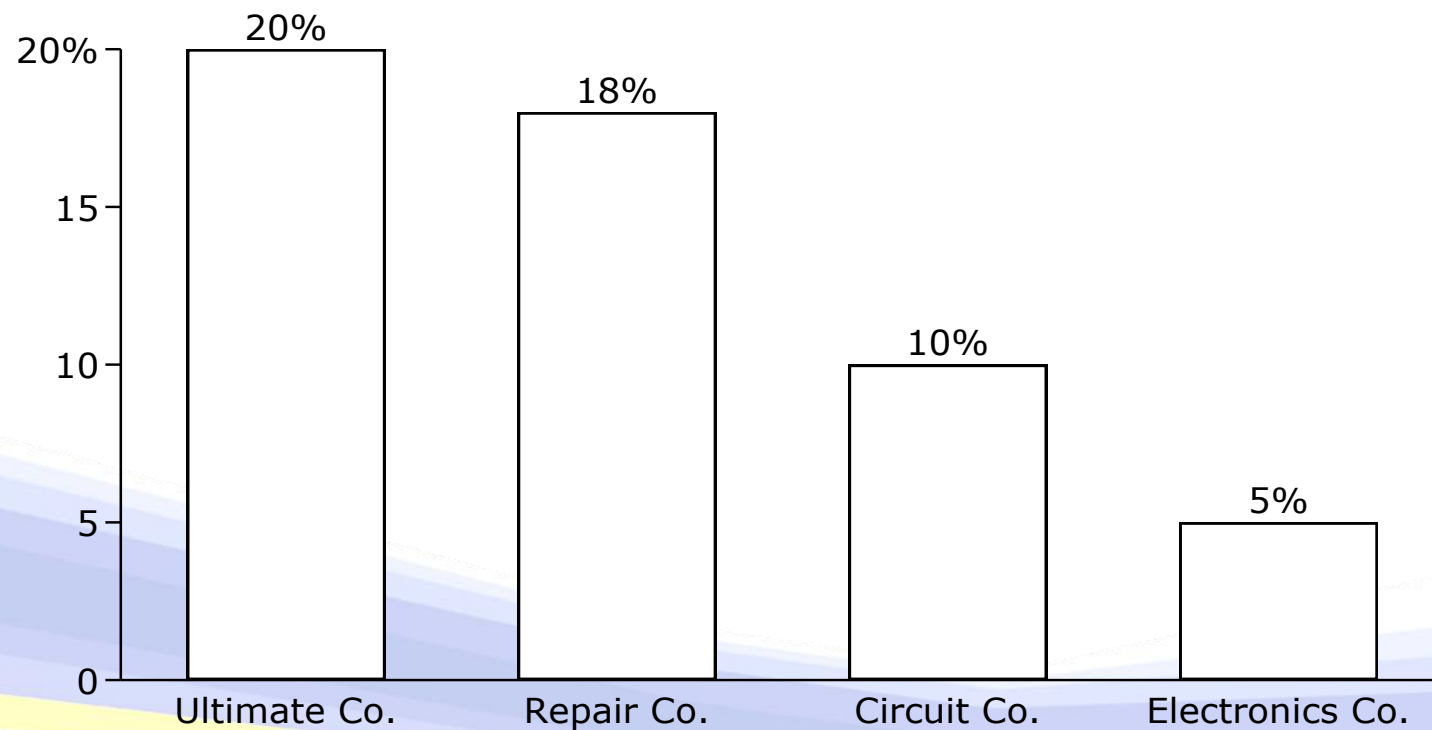
Case 12: Electronics Co.

Profitability

Bain

Exhibit 2 – Competitor profitability for A/V repair

Profit margin (A/V repair)



Total A/V
Revenues

\$24M

\$80M

\$50M

\$120M

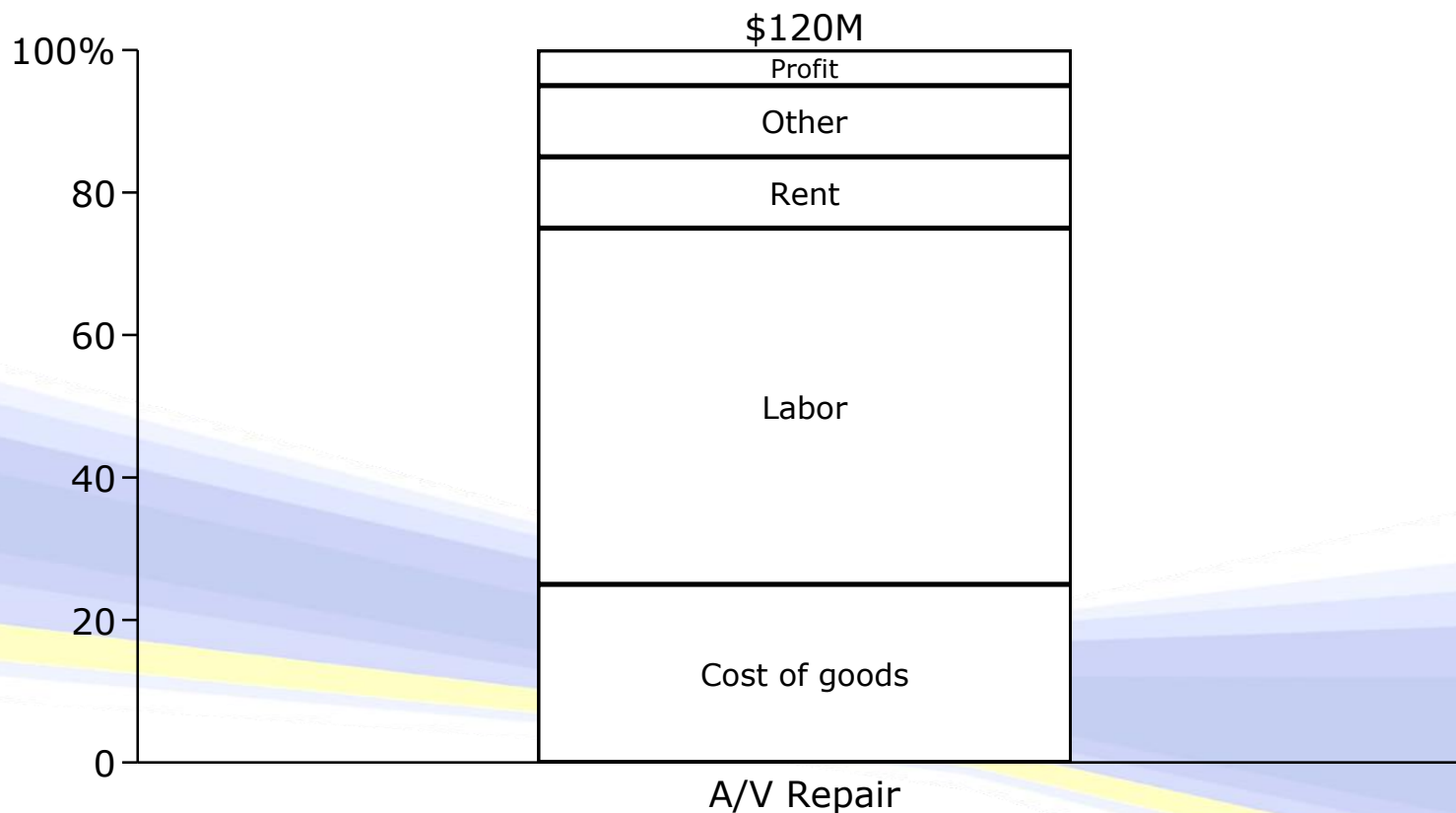
Case 12: Electronics Co.

Profitability

Bain

Exhibit 3 – Electronics Co. cost structure

Percent of total revenue



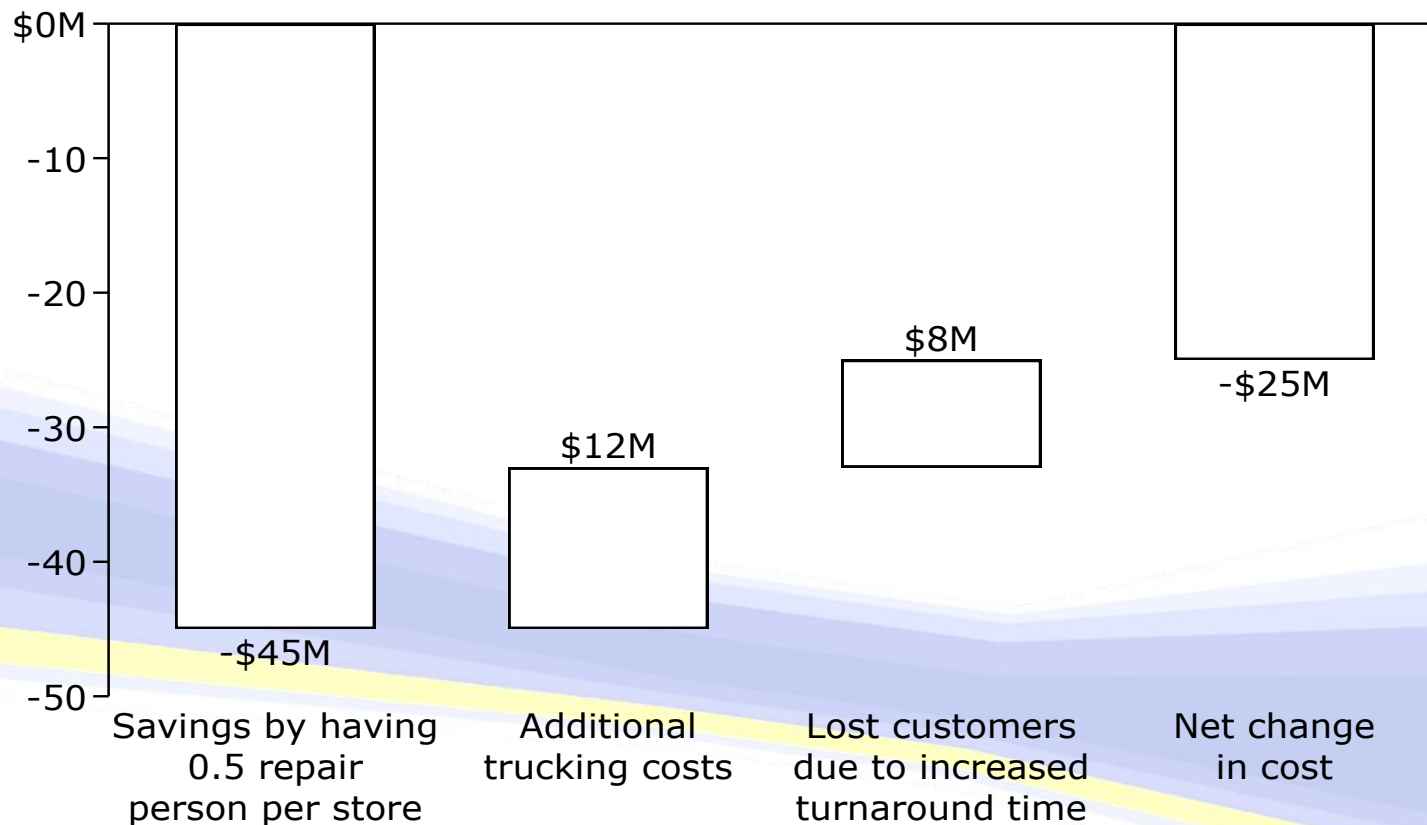
Case 12: Electronics Co.

Profitability

Bain

Exhibit 4 – Savings opportunity

Change in costs



Case 13: Convenience Store

Profitability

BCG

Prompt	Our client is a major convenience store chain with 5,000 stores in the US and \$25B in annual revenues. About one year ago the CEO hired our firm to help increase profits. Since then, we have worked with the client to aggressively control costs through negotiating larger discounts from suppliers, restructuring the client's labor force, and cutting other operating expenses by 10%. As a result of our work, our partners believe there is little room for cost reductions going forward. How else can we increase profits for our client?
Guidance	1) <u>Background data (TO BE GIVEN ONLY IF ASKED):</u> • There are 4 major companies (including the client) in the industry that control 95% of the market. Each has a roughly similar share of the market. • Client is not interested in expanding/changing product line. • Client does not want to expand internationally due to logistical concerns. • We studied possible M&A activities, but there are no desirable targets. • Client charges same price per item in each of its stores. (i.e. no difference between prices of one item in Manhattan versus Durham) • Consumers consider Motrin and Tylenol to be very different brands, with each having very loyal customers. It would take a substantial change in price of one brand to convince customers to switch to the other. Buyers of both brands would consider the store brand product, however they feel that it is a slightly inferior product and would need to be incentivized to do so. • Advil and Motrin suppliers charge the same price to every convenience store chain • All other costs (overhead, etc.) should be considered the same across the 4 major chains 2) <u>Case delivery:</u> Initially try to get candidate to brainstorm about how they might be able to increase profits. Present candidate with Exhibit 1 if they inquire about pricing, products sold, or sales volumes. Depending on whether candidate wants to focus on Food&Bev or Pain Relievers first, present them with Exhibits 2 or 3 respectively.

Case 13: Convenience Store

Profitability

BCG

Analysis

Exhibit 1: Candidate should immediately focus on Pain Relievers and Food & Beverage segments. Pain Relievers have lowest margin and are almost inelastic, which suggests opportunity to increase prices. Food&Bev is our best seller in terms of Sales and Scan Margin, so look for ways to sell more or gain share. Cleaning Product sales are \$4B. Price elasticities are meant to be illustrative and are not needed for any calculations. (Note: Scan Margin is essentially the same thing as profit margin, however it also includes funding from producers. It is a term frequently used by retailers).

Exhibit 2: Candidate should recognize that client has highest unit price and lowest volume/share relative to competitors in Food&Bev segment. This would imply that there is little room to increase prices in this category. He/she should recognize that this is not the solution and should go explore Pain Relievers .

Exhibit 3: Candidate is presented with Total Dollar Sales, Price and Cost data for each of the three brands of pain relievers. He or she can then calculate profit per unit, total unit sales, and total \$profit per brand

Exhibit 4: The key insight is that our client charges a lot less for Advil than the competition. We charge the same for Motrin and slightly more for Store Brand. A good candidate will inquire about market share data at this point, and should be presented with Exhibit 5

Exhibit 5: Candidate should determine that we have a very strong share in Advil (which accounts for over 50% of industry-wide pain reliever sales). This combined, with our significantly lower price and profitability in Advil, as well as slim likelihood that customers would switch brands or to our competitors, means that we should raise prices.

Case 13: Convenience Store

Profitability

BCG

Performance Evaluation

Expected:

- Candidate recognizes that we need to focus on revenues going forward
- Identify that revenues are a function of price, quantity, and mix and ask for more data on each component
- Recognize that priority should be on investigating Food&Bev and Pain Relievers when viewing Exhibit 1 and ask for more information on each
- Determine that raising price of Advil is critical to the case

Good:

- Quickly determine that Food&Bev and Pain Relievers drive profitability
- Candidate performs calculations quickly and accurately
- Recognize that Food&Bev is not the solution after viewing Exhibit 2
- Candidate will ask about competitor prices and market share data when viewing Exhibit 3

Excellent:

- Quickly recognize that client has highest unit price and lowest volume/share relative to competitors in Food&Bev segment. No need to perform market share calculations
- Inquire about shifting share to Store Brand to generate more profits (since it has highest profit per unit)

Deeper Insights (Second Years)

- Attempt to determine profit impact of increasing price of Advil
- Have insight that charging higher prices for same item in certain markets would be an opportunity to generate additional profits

Case 13 : Convenience Store

Profitability

BCG

Exhibit 1 - Products Sold by Client

Category	Total Client Sales	Total Scan Margin	Price Elasticity
Pain Relievers	\$10 B		0.3
Cleaning Products		\$0.5 B	1.1
Food & Beverage	\$9 B	\$3 B	1.4
Other	\$2 B	\$0.4 B	1.8
Total	\$25 B	\$4.9 B	

Case 13: Convenience Store

Profitability

BCG

Exhibit 2- Convenience Store Industry Food & Beverage Sales

	Average Price/Unit	Total Unit Volume	Total \$ Sales	Share
Client	\$1.50		\$9 B	
Competitor 1		10 B	\$14 B	
Competitor 2	\$1.35	12 B		
Competitor 3	\$1.45	8 B		
Total		36 B	\$50.8 B	

Case 13 : Convenience Store

Exhibit 2 **ANSWER KEY – DO NOT SHOW CANDIDATE**

Profitability

BCG

Round 2

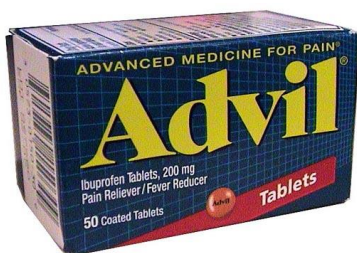
	Average Price/Unit	Total Unit Volume	Total \$Sales Volume	Share of Total Market
Client	\$1.50	6 B	\$9 B	~18%
Competitor 1	\$1.40	10 B	\$14 B	~28%
Competitor 2	\$1.35	12 B	\$16.2 B	~32%
Competitor 3	\$1.45	8 B	\$11.6 B	~22%
Total		36 B	\$50.8 B	

Case 13: Convenience Store

Profitability

BCG

Exhibit 3 - Client Pain Reliever Sales



	Total \$ Sales	Price/Unit	Cost/Unit
Advil	\$8 B	\$3.99	\$3.79
Motrin	\$1 B	\$4.99	\$4.49
Store Brand	\$1 B	\$1.99	\$1.29

Case 13: Convenience Store

Exhibit 3 **ANSWER KEY – DO NOT SHOW CANDIDATE**

Profitability

BCG

Round 2

Brand	Total \$ Sales	Price/Unit	Cost/Unit	Profit/Unit	Total Units	Total Profit
Advil	\$8 B	\$3.99	\$3.79	\$0.20	~2 B	\$0.4 B
Motrin	\$1 B	\$4.99	\$4.49	\$0.50	~200 M	\$0.1 B
Store Brand	\$1 B	\$1.99	\$1.29	\$0.70	~500 M	\$0.35 B

Case 13: Convenience Store

Profitability

BCG

Exhibit 4- Convenience Store Pain Reliever Prices

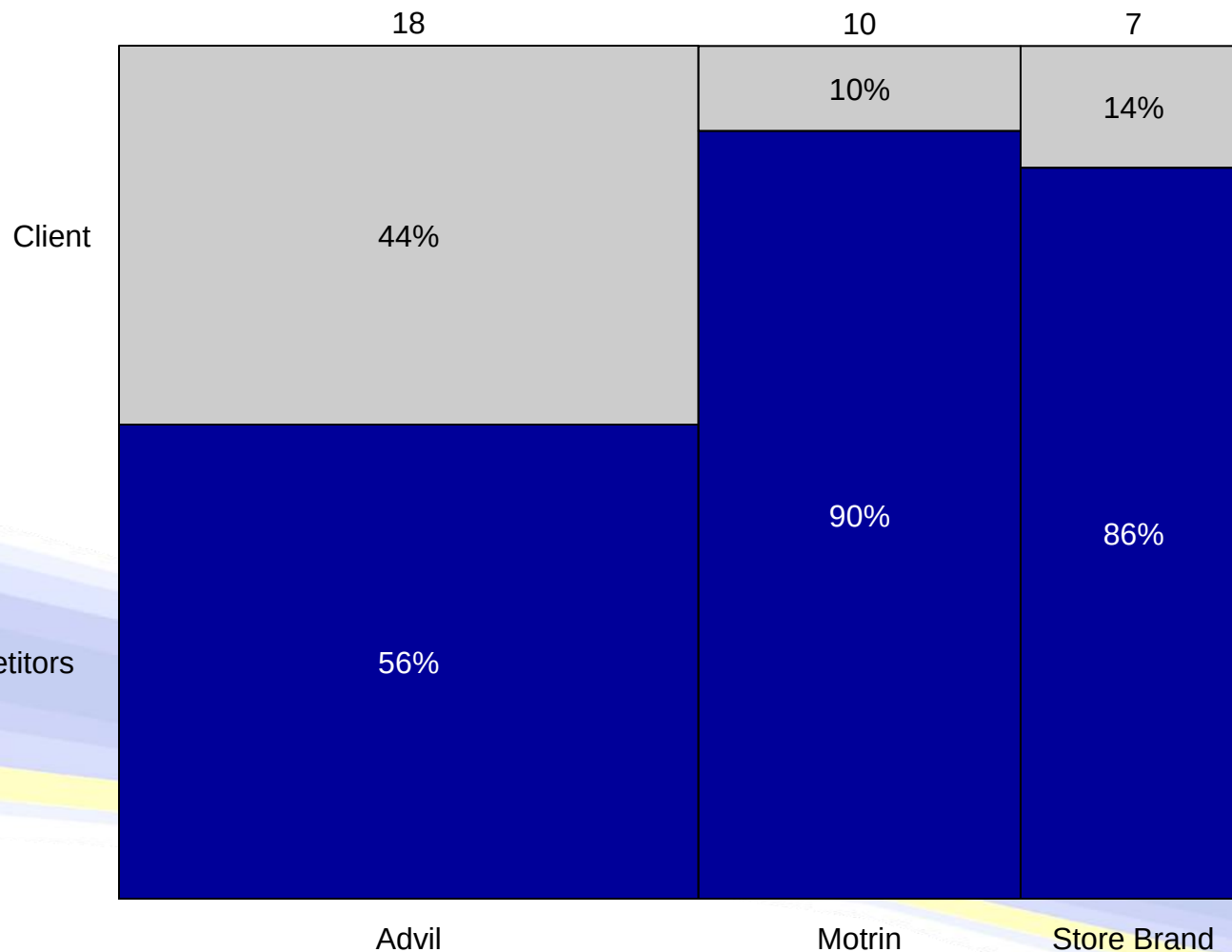
Brand	Client Price	Average Competitor Price
Advil	\$3.99	\$4.69
Motrin	\$4.99	\$4.99
Store Brand	\$1.99	\$1.89

Case 13: Convenience Store

Profitability

BCG

Exhibit 5 - Pain Reliever Market Share \$ by Brand



Case 14: The Super Cola Company

Profitability

Prompt	The client is the largest beverage company in the world. The CEO came to us last week and expressed his disappointment with this year's financial results. You are asked to identify the reason behind this performance and recommend ways to improve it.
Guidance	• Interviewee is expected to calculate profits for last year and this year • Interviewee is expected to identify opportunities to increase profits in the future 1)Company Information: • The company makes the syrup and sells it to the bottlers, who are in charge of adding water, bottling, and distributing • The company employees 3,000 people • The company has 71 bottlers but one of them represents 60% of its business • The company has 3 products: cola, diet cola, and cola zero • Cola and diet cola products are available almost everywhere in the world • The cola zero product still has limited distribution, and is sold primarily in North America • Market was flat this year • No new competitors 2)Revenues: • Volume * Price • No change in volume or price in the past two years • 3 products as described above • Last year, price remained flat across the globe for all products • Volume for Cola: 1 billion gallons at an average price of \$2.13 (price sold to bottlers) • Volume for Diet Cola: 0.75 billion gallons at an average price of \$2.00 (price sold to bottlers) • Volume for Cola Zero: 0.25 billion gallons at an average price of \$2.75 (price sold to bottlers) • Total Revenues: \$4.317 billion (Rounding is OK)

Case 14: The Super Cola Company

Profitability

Guidance (Continued)

3) Costs

- 3 main types of costs
- COGS (cost of making the syrup): \$1.25/gallon for all three products
- Marketing Expense: last year we spent \$0.75 billion in advertising and this year we spent \$0.825 billion
- Overhead (administrative and people cost): last year our average cost per person was \$200,000 and this year this number increased to \$213,000.
- Last year's costs: \$3.850 billion; This year's costs: \$3.964 billion
- Last year's profit: \$0.467 billion; This year's profit: \$0.353 billion

Introduce after interviewee performs profit calculations

The marketing analysts just performed a sensitivity analysis and indicated that we could have spent 15% less in marketing this year and still achieved the same volume results. Calculate profit in this scenario:

- 15% of 0.825 = \$0.12 billion (rounded)
- New profit = $0.353 + 0.12 = \$0.47$ billion

4) Recommendations

Lead the interviewee on ways to improve profits after he has done the calculations

- We increased marketing spending last year due to the World Cup and Winter Olympics
- Our competitor also increased marketing expense significantly so we ended up offsetting each other
- COGS is expected to increase slightly in the new future, particularly due to the increase in price of commodities
- Increase in OPEX is due to inflation
- We cannot cut personnel or overhead
- There are ways to increase price, we don't know how much at this point
- We cannot enter new markets with cola and diet cola, but there are opportunities to expand with cola zero
- Our main bottler will **not be** able to expand its distributions
- Smaller bottlers have capabilities to enter **new markets**

Case 14: The Super Cola Company

Profitability

Performance Evaluation

Expected:

- Recognize that it's a profitability issue
- Develop the basic profitability structure in the framework
- Ask questions to better understand the business and the market

Good:

- Identify key drivers of revenues and costs
- Solve the profitability portion of the case
- Identify what caused the decrease in profitability
- Random ideas about fixing the profitability issue

Excellent:

- Work well with numbers and round where appropriate
- Identify key areas of opportunities via a well-structured framework
- Identify that distribution is done via the bottlers
- Need to expand market share with cola zero product through smaller bottlers
- Nothing can be done with OPEX
- Recommend strategic ways to increase price (e.g., pricing analysis, sensitivity analysis)
- Identify creative ways to capitalize on marketing based on increased competition

Case 15: Euro Seafood

Profitability

Bain

Prompt	One of our private equity clients recently acquired a leading European seafood restaurant chain. The chain owns and operations 700 restaurants across Europe. Same store sales (SSS) declined last year. The private equity parent has aggressive expectations for improved business performance. How can the client improve SSS?
Guidance	When the candidate asks about SSS and the main driver of that, please hand them Exhibit 1. The main takeaway here should be that customer traffic is highly correlated with SSS growth. When the candidate asks for competitor information, please hand them Exhibit 2. The main takeaway here should be that there is limited opportunity to increase price or bill size. When the candidate asks about the current table configurations, please hand them Exhibit 3. The main takeaway here should be that there is opportunity to reconfigure the restaurants to accommodate more parties of one or two.
Analysis	The data shows that 4-seater tables are ~50% utilized during peak hours [Look at the chart. It is hard to read on purpose. About $\frac{1}{4}$ of the 4-seat tables are occupied by 3 people. About $\frac{3}{4}$'s of the 4-seat tables are occupied by 3 people. Thus, $\frac{1}{4}(75\% \text{ occupancy}) + \frac{3}{4}(50\% \text{ occupancy}) = \sim 50\%$ utilization]; there are on average 2 people sitting at a 4-seater (4-seat capacity*50% utilization). Lets assume we reconfigure each restaurant so that one 4-seater is separated into two 2-seaters, effectively adding 2 seats. When the candidate suggests this, prompt him/her by asking “What is the bottom line impact of adding 2 seats per restaurant?” Additional Seats: 2 Peak Hours: 2 (let the candidate make this assumption) Table turns per hour: 2 (let the candidate make this assumption) Additional meals per restaurant= $2 \times 2 \times 2 = 8$ meals 8 meals/restaurant x 700 restaurants (give this number when requested) = 5,600 meals total 5,600 meals x \$50/average meal (give this number when requested) = \$280,000 revenue \$280,000 revenue x 30% margin (give this number when requested) = \$84,000 additional profit/day \$84,000/day x 360 days/year (let candidate make this assumption) = ~\$30 M additional profit/year⁷⁷

Case 15: Euro Seafood

Profitability

Bain

Analysis	Synthesis of the case facts: Customer Traffic ▪ Traffic is the biggest contributor to SSS growth ▪ Client should focus on initiatives that add the most value with minimal investment ▪ Improved seat utilization could deliver an extra \$30M annually in profits Number of items ▪ Average check size and margins are higher than competition Price per menu item ▪ Client already priced at a premium over competitors
Performance Evaluation	Expected: The candidate will interpret handouts and offer insights while viewing them. The candidate will also recognize the opportunity to optimize the table configurations. Good: The candidate will do all of the above while also probing about the table configurations without the interviewer's assistance. The candidate will begin to calculate the bottom-line impact without the interviewer's assistance. Excellent: Candidate will do all of the above while also remembering to synthesize the entire case before closing out. Making sure to educate the client on our findings and not focusing on the opportunity to optimize the tables.

Case 15: Euro Seafood

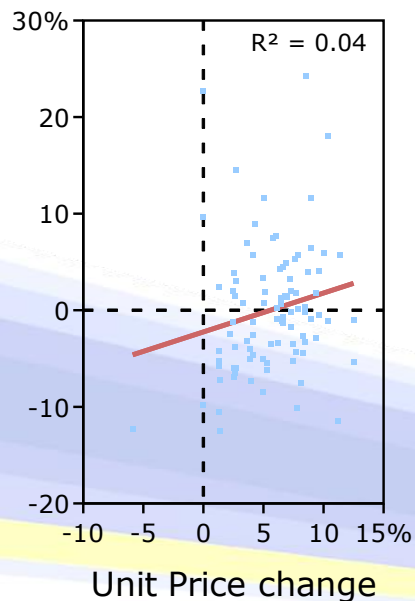
Profitability

Bain

Exhibit 1 – Selected Euro Seafood Store Information

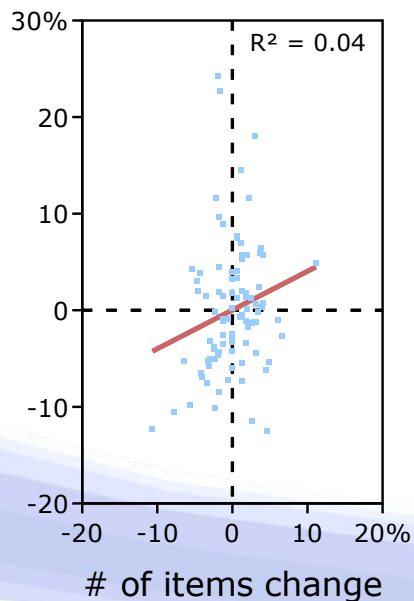
Price per item

SSS change



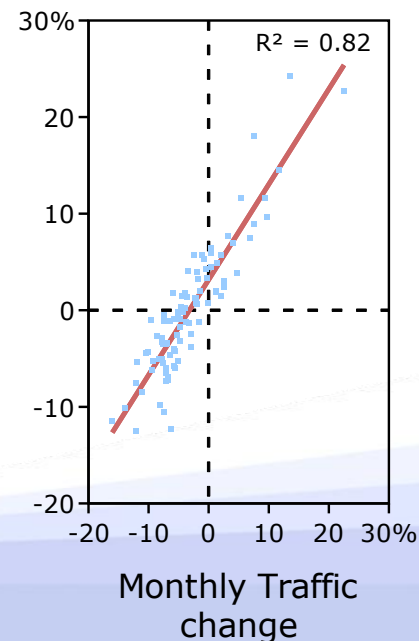
Number of items

SSS change



Customer traffic

SSS change

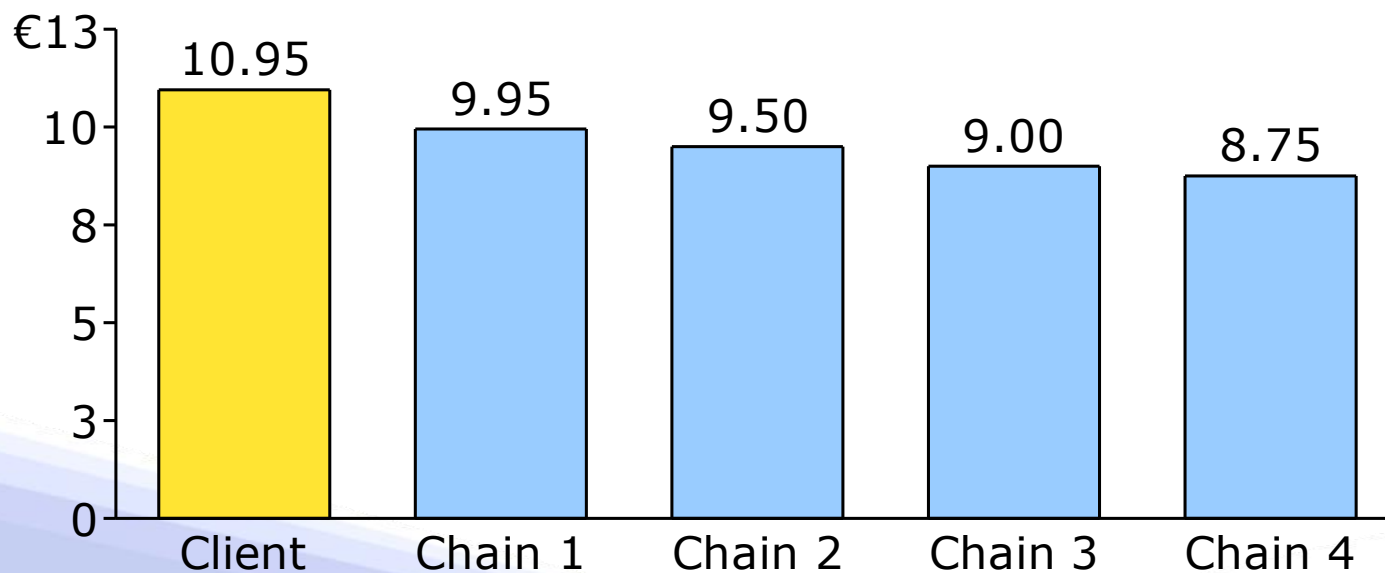


Case 15: Euro Seafood – Exhibit 2

Profitability

Bain

Average price per menu item



Items
per bill

4.4

4.6

4.1

4.7

3.9

Margin

30%

28%

27%

27%

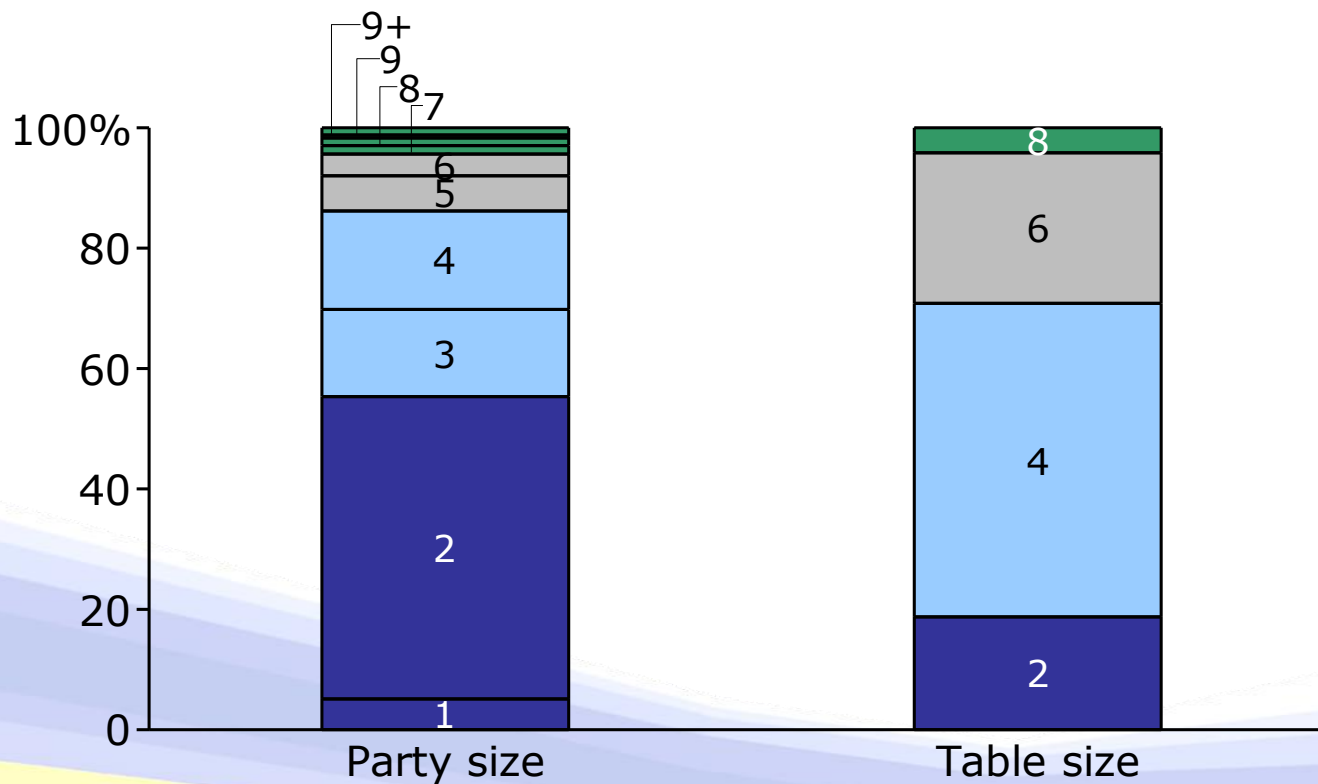
16%

Case 15: Euro Seafood - Exhibit 3

Profitability

Bain

Occupancy During Peak Hours

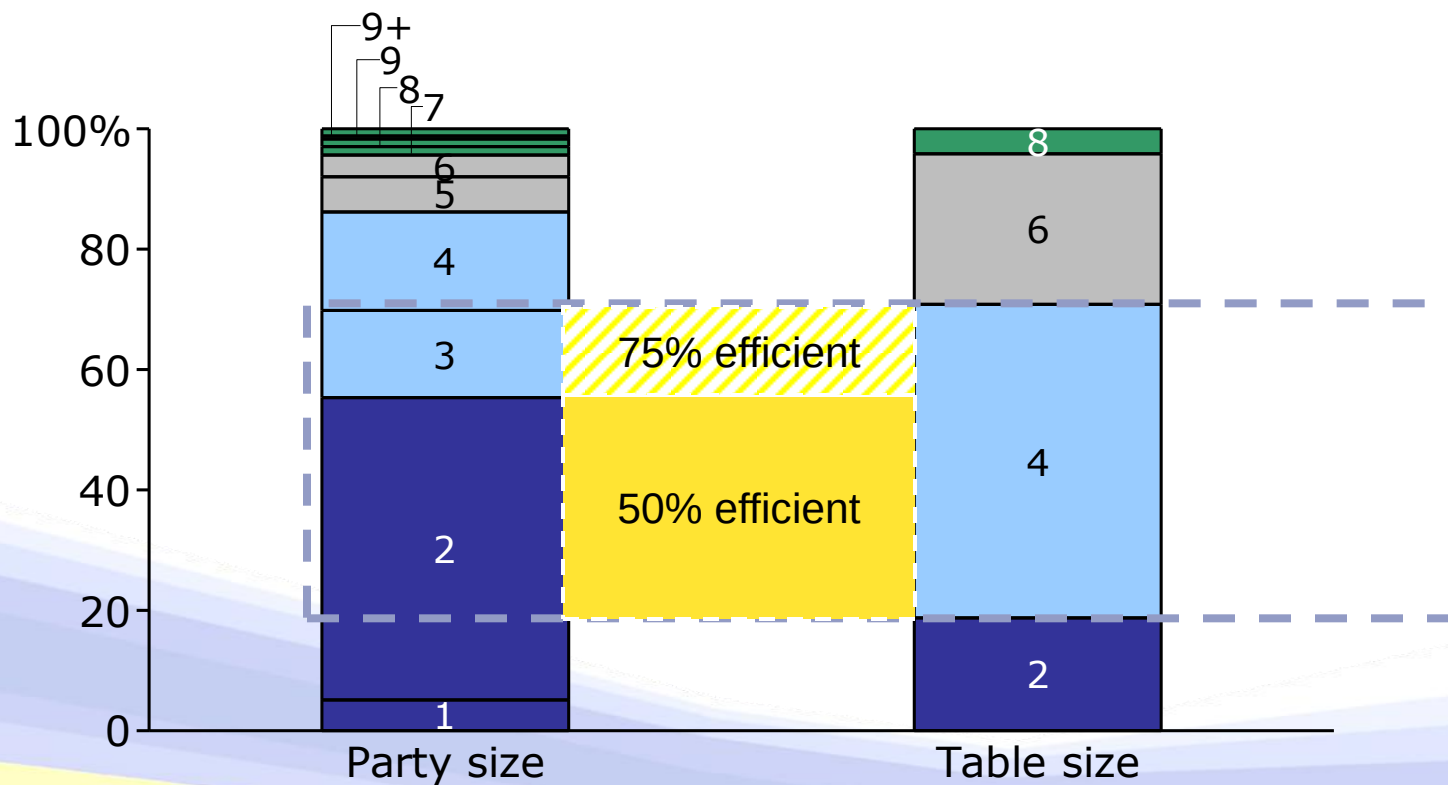


Case 15: Euro Seafood – Exhibit 3

Profitability

Bain

Interviewer Copy. DO NOT GIVE CANDIDATE



Case 16: Argentinean Wines (AW)

Profitability

Deloitte Consulting

Opening Prompt	An Argentinean vineyard has seen their market share decline over the past three years. Currently, this vineyard produces white wines and red wines, which they sell in-country as well as export to the US. The CEO wants to know how to address this issue.
Guidance	<i>Provide this information to the interviewee only if they ask</i> 1) Revenues – AW's revenues have been stable for the past 3 years 2) Costs – Costs have already been optimized through an initiative last year and that should be kept out of the scope for this analysis 3) Market Information – the wine market has been growing (for more market info. look at Prompt #2) 4) Consumer Preferences – Consumer preferences have not changed, and they still love this wine 5) Prices – prices for the wine bottles have been stable for past 5 years, and don't want to change them now 6) Competition – the number of competitors in the market remain the same, however they have been able to meet market demands better than AW 7) Production – AW is at their maximum capacity for wine production (for more info. Look at prompt #3)
Prompt # 2	Let's calculate the market size and share for AW to see if that shows anything. What is the expected market size and the market share for AW for 2012?
Guidance	1) The market size in 2009 for wines was \$3.5B, and AW's revenues have been steady at \$500M. 2) The market growth for 2010, 2011 has been 5% and 10%, respectively and 2012 is expected to grow at 25%.

Case 16: Argentinean Wines (AW)

Profitability

Deloitte Consulting

Prompt # 3	What is the firm's current daily production of wine?
Guidance	<i>The wine production process is very complicated, however for the purposes of this case let's just keep it to 3 steps that take place on a daily basis. 1) Grapes are bought or produced 2) The grape juices are then put through fermentation machines 3) Wine is taken from the fermentation machines and put into barrels. AW buys 32M grapes a day, and it takes 50 grapes to make an ounce of wine, and each bottle can hold 64 ounces of wine per bottle.</i> <i>The firm has 6 fermentation machines which can each house up to 100,000 ounces of wine</i> <i>There are 75 barrels available for bottling, and each barrel can hold 5,000 ounces. Assume that any left over production is waste and cannot be reused.</i>

Prompt # 4	If AW solved for capacity constraints, how much more revenue can AW bring in?
Guidance	<i>Assume that AW produces wine 250 days a year, and that each bottle produced is sold.</i> <i>Ignore the capital costs of new machinery</i>

Analysis	Initial Structure: Good structure will consider all the different areas for analysis. A good structure will diagnose if the firm's market share is down due to internal reasons such as price and quantity reduction, or if it's due to market reasons such as increased competition. The structure should also consider if the market share is decreasing because the firm is growing slower than the overall market (firm revenues are steady, but market is growing) or are the firm's revenues decreasing? The structure should also consider any changes in market conditions (supply of grapes, customer preferences for different types of wines)
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Case 16: Argentinean Wines (AW)

Profitability

Deloitte Consulting

Market Share and Share Calculations in \$MM (rounding is okay)

	<u>2009</u>	<u>2010</u>	<u>2011</u>	<u>2012</u>
Market Size	3,500	3,675	4,043	5,053
Market Growth		5%	10%	25%
AW Revenue	500	500	500	500
AW Market Share	14%	14%	12%	10%

Current Capacity Production:

1. # of ounces produced per day = 32,000,000 grapes/ 50 grapes per ounce = 640,000 total ounces produced
2. 640,000 ounces produced/64 ounces per bottle = 10,000 bottles of wine can be produced each day
3. There is capacity to ferment 600,000 ounces of wine. 6 ferment machines X 100,000 ounces each
4. 75 barrels avail. daily X 5,000 ounces per barrel = 375,000 ounces of wine can be bottled, or 375,000 ounces/64 ounces a bottle = 5,859 bottles of wine bottled daily (can round to 6,000 bottles a day)

Insight: The first production constraint is the wine barrels. Due to that, there is a wastage of 640,000 – 375,000 = 265,000 ounces daily. The second capacity constraint is the fermentation machines. There are 640,000 ounces are produced, but only 600,000 ounces can be fermented. Therefore, 40,000 oz are wasted

Revenue Calculation:

1. AW's revenue are \$500M yearly, and 1.5 bottles for sale yearly (there are 6,000 bottles that are produced X 250 days a year).
2. Price per bottle is \$500M/1.5M = \$333 per bottle. (can round up to \$350 or down to \$300)
3. After meeting all capacity constraints, AW can produce 265,000 ounces more daily, or ~4,100 bottles more daily.
4. Annual increase of ~1M bottles, at a price of \$333 per bottle, for annual incremental revenue of ~\$341M

Insight: Revenues would be increasing by almost 62%

Analysis
(contd.)

Case 16: Argentinean Wines (AW)

Profitability

Deloitte Consulting

Performance Evaluation

Expected:

Candidate has a thoughtful initial structure, and thinks about drivers of market share
Candidate follows the prompts as guided and does not try to optimize cost or change type of wines produced
Candidate correctly performs the math calculations.

Good:

Candidate will display a thoughtful structure that discusses company considerations, market considerations, as well as non-quantitative metrics such as grape supply, and change in customer preferences.
Candidate will also accurately perform mathematical calculations.
Candidate will drive the conversation, as well as draw insights from different analysis.

Excellent:

All the qualities of a good candidate
Additionally, candidate gives a final recommendation to purchase more barrels but also provides thoughts on risks and other considerations, including:
-With increased supply, can the prices be sustained
- Would want to analyze the capital investment required for these purchases, to ensure a good ROI
-Explore possibility to sell wines in other countries as well

HUMAN CAPITAL

Note about nature of the Human Capital Cases: A Human Capital Case contains an approach much different from the usual “Strategy” case. However the candidate should not abandon the use of a framework. Here the focus isn’t so much on the bottom line as it is on the approach needed to manage the proposed changes in the organization. The case should be carried out in a conversational format with hints and clues to push the candidate alongside the case prompt.

Case 17: Edoceo

Human Capital: Outsourcing

Deloitte

Prompt

Edoceo is a leading global provider of integrated information solutions to business and professional customers. Customers depend on Edoceo for the information and information applications they need to make the right decisions to run their businesses. Edoceo provides information solutions for professionals across a broad range of industries and disciplines.

Edoceo decided to outsource select HR processes including: Recruiting, Benefits Admin, HRIS, HR Admin, L&D, Compensation, Domestic Relocation, Expatriate Admin, Payroll, HR Contact Center. Edoceo is working with one of Deloitte's competitors to implement the outsourcing transition. The initiative's objective is to realize cost savings of 10%-20% of total current annual costs over five years, while maintaining equivalent levels of service.

In parallel, Edoceo intends to transform the retained HR organization, creating internal Centers of Excellence (COE) and developing HR Business Partners to support with outsourced services. Edoceo has hired your team to provide best practice guidance and implementation leadership. How would you design and implement optimal COEs and HR business partner capability for this organization and how would you structure the project? How would you describe a successful outcome for this project?

Note about nature of the Case: This is a Human Capital Case and thus contains an approach much different from the usual "Strategy" case. However the candidate should not abandon the use of a framework. Here the focus isn't so much on the bottom line as it is on the approach needed to manage the proposed changes in the organization. The case should be carried out in a conversational format with hints and clues to push the candidate alongside the case prompt.

Guidance

- There was a cost reduction effort that the organization was undergoing that required an evaluation and shift in HR support. Finance and IT were to follow.
- Inefficiency and complexity of the existing HR organization were the driving forces of the outsourcing.

Case 17: Edoceo

Human Capital: Outsourcing

Deloitte

Guidance	▪ <i>The functions intended for COEs are: Benefits, Compensation, Recruiting, Talent Management, HR Decision Support, L&D, Org Development, Diversity, and Policy, Compliance and M&A.</i> ▪ <i>There is no current assessment of the HRBP role today, and each Market Group runs its own entity. The vision for the HRBP is to be: provide business unit specific and consultative services to executives and line managers for the people-related issues</i> ▪ <i>Impacting their business unit. Business Partners “broker” technical talent from the COEs to deliver HR solutions.</i> ▪ <i>Considerable job redesign and capability assessment will be conducted for retained positions</i> ▪ <i>There is significant concern among staff in retained functions about the long term safety of their jobs</i> <i>Candidate should discuss the business perspective and specifically the role of retained HR in an outsourced environment.</i>
Analysis	<u>How to structure project:</u> Follow some type of Plan, Build, Run approach, for example: Plan & Assess ▪ As-Is Inventory ▪ Define staffing strategy COE & Business Partner strategy ▪ Reporting & metrics strategy ▪ Stakeholder analysis ▪ Change readiness assessment ▪ Communication and change strategy Design ▪ Process design, COE and Business Partner development ▪ Build communication, change and training materials and implementation plan Build & Implement ▪ Build out process designs and COE structure ▪ Deliver training materials for the new positions and processes Support & Integrate ▪ Ensure effective interactions with outsourced functions and larger organization

Case 17: Edoceo

Human Capital: Outsourcing

Deloitte

Prompt— Part II	Ask the candidate following question: What else should Edoceo be considering as it implements the outsourcing and development of the COEs?
Guidance	<i>Let the candidate deliberate and answer this question. There is not much information to be given to the candidate.</i>
Analysis	Apart from other considerations the candidate should touch upon these: <i>How to prevent/deal with: Service disruption, Performance/morale issues, Attrition (loss of key talent), Links to other initiatives</i>
Performance Evaluation	Expected: The candidate touches upon all the major points recognized in this case. Good: The candidate not only touches upon all the major points but also provides his/her analysis and reasoning behind those considerations in a structured way with use of a framework. Excellent: The candidate explains all the scenarios in a well-planned, structured and thoughtful manner providing logical reasoning behind his/her statements. The candidate also provides good explanation for the question in Part II and shows in-depth understanding of the change management process and human capital concepts.

Case 18: Smith Financial CRM

Human Capital: CRM

Deloitte

Prompt

A major U.S. financial services company has just implemented a Client Relationship Management (CRM) system. The goal: To give leadership a real time view into the organization's sales channel.

For years, sales teams have maintained client sales information in separate excel spreadsheets. This prevented leadership from having visibility into and a holistic view of sales opportunities, which meant sending multiple requests to sales teams for the latest and greatest information. By the end of fiscal year, all sales teams are expected to migrate their sales data onto this new system, and use it to manage all sales information.

You are the change management lead for this project. How would you get everyone on the system? Who are the various stakeholders? How would you communicate to these stakeholders?

Note about nature of the Case: This is a Human Capital Case and thus contains an approach much different from the usual "Strategy" case. However the candidate should not abandon the use of a framework. Here the focus isn't so much on the bottom line as it is on the approach needed to manage the proposed changes in the organization. The case should be carried out in a conversational format with hints and clues to push the candidate alongside the case prompt.

Guidance

Here are some guiding questions that will help the candidate analyze the situation:

- 1) Who will be affected by this change?
- 2) What are some ways that you can think of to best announce/communicate this change? Is it a single person's role, or should multiple individuals of different capacities be involved?
- 3) Do you think everyone will be happy with this change? How will you handle dissention?

Case 18: Smith Financial CRM

Human Capital: CRM

Deloitte

Analysis	▪ Definition of Stakeholders: Leadership, Sales teams, & the rest of the organization ▪ Find out how people in organization like to receive communications ▪ Identify a change champion (leads one-on-one sessions) ▪ Technical support/training: how to contact the help desk ▪ Create a central place for feedback/comments ▪ Create honest communications (share both the bad and the good) ▪ Generate excitement/ engagement through a fun and well- branded communications campaign (all communications/ marketing should use this brand/identity) ▪ CEO Webcast (announcing the change initiative)
Prompt— Part II	Do you see any other change issues? How would you address them?
Guidance	<i>Here are some guiding questions that will help the candidate analyze the situation:</i> 1) <i>How do you think on-boarding will work? Will people automatically know how to use the system?</i> 2) <i>How will we keep people using this new system? What is the benefit to them? (if candidate struggles, mention the word 'incentivize' or 'benefit')</i> 3) <i>How do we know we made the right decision in making these changes?</i>
Analysis	▪ Training (web based and classroom based) for sales team and technical support ▪ Design and implement incentives/ tie to Performance Management ▪ Create success metrics

Case 18: Smith Financial CRM

Human Capital: CRM

Deloitte

Prompt— Part III	How do you measure success? What do you do if leadership digs in their heels and resists the change? <u>(After the candidate answers that question, please follow-up with the following question and change the direction of the case)</u> Now, let's change things up. Say the system was implemented - without the help of change management - and it failed (i.e., the people have not adopted the new technology). The team brings you on to salvage the project. What would you do?
Guidance	1) <i>When/how will you set goals for the outcome of this project?</i> 2) <i>How would you respond if senior management calls you into a meeting to tell you that they refuse to use this new system?</i>
Analysis	- Set measurable goals at the onset of the project: ex. 75% usage by the end of the project, reduce number of manual excel reports by 50% within the first 3mo of the CRM launch - Share with management the other projects that can now be tackled to improve company performance, now that less time is being spent on maintaining excel spreadsheets.
Performance Evaluation	<i>Ask the candidate to synthesize all information analyzed in case</i> Expected: The candidate will recognize that this change affects employees at all levels of the organization and will plan the change accordingly. Good: The candidate will touch on the major points mentioned. Excellent: The candidate will acknowledge and preemptively address and lay out a contingency plan in the event that the CRM rollout does not go as planned.

Case 19: F2D Electronics

Human Capital

Deloitte

Prompt

Problem Definition: Your client is the nation's largest distributor of electrical and communications products. The 150-year old company distributes more than one and a half-million products (1.5 million SKUs) made by multiple manufacturer/suppliers through 256 branches and warehouses in the US. Given that they are the middle-men, margins in the distribution industry are very thin. F2D has been generally decentralized with a high degree of branch autonomy (branch and district managers are kings of their own domain). Each branch has its own processes with considerable off-system accounting and record keeping on Excel spreadsheets, etc. Given growth over the last decade, the home-grown mainframe computer system can no longer effectively handle the volume of transactions. In addition, the time required to reconcile and report sales, inventory, and financial information from the branches to corporate is hindering senior management's ability to make timely business decisions. To address these issues, the client is undertaking a major business transformation program. They will reengineer most business processes (sales, marketing, forecasting, logistics, finance, customer service) and are implementing one system for everyone in the company that will provide real-time information and a 360 degree view of the business. Senior management anticipates a high degree of resistance from the branches. Branch leadership feels the system and processes from corporate will not understand their needs and threatens their autonomy. Past initiatives have struggled because people were not adequately prepared for the changes. Employees are worried about how their jobs will change and whether they will have the skills to do their jobs within the new system.

Question: How would you assist the client to successfully manage this large scale change program?

Note about nature of the Case: This is a Human Capital Case and thus contains an approach much different from the usual "Strategy" case. However the candidate should not abandon the use of a framework. Here the focus isn't so much on the bottom line as it is on the approach needed to manage the proposed changes in the organization. The case should be carried out in a conversational format with hints and clues to push the candidate alongside the case prompt.

Guidance

Note: Remember that this case is intended to be carried out in a conversational manner.

Case 19: F2D Electronics

Human Capital

Deloitte

Analysis

- Leadership Alignment and Visibility/Sponsorship: Facilitate leadership at corporate to “sing from the same page.” Then, enable corporate leadership to engage district and branch leaders. Clearly explain why the changes are required in the competitive business environment, why their leadership is needed and how they will be rewarded. In times of large scale changes, there should be a high degree of leadership visibility.
- Buy-In: Employees need to know that their leaders (at corporate and branches) are behind this effort and they need to hear this directly from their leaders. Provide talking points and support to make it easier for them to communicate to employees.
- Communications: Develop a comprehensive communication strategy for internal and external audiences. Explain to employees the business case for change, “what is in it for them,” and how their jobs will change. Communications should be timely and consistent to stem rumors. Similarly, there should be a communications strategy for suppliers and customers to explain how service will improve to assure them there will be no disruptions.
- Workforce engagement: Engage employees from as many branches as possible in the design and implementation of the new process and system. Gather input on their business requirements throughout the lifecycle of the project. Conduct roadshows out to the branches. Use trainers from each of the branches to train end users. Engage branches and employees so they take ownership of the system.
- Organizational Reinforcement/Incentives: Make sure those who are providing input, championing and adopting the system are recognized, rewarded, and utilized as change agents.
- Training: Profile how jobs will change and train employees thoroughly on the new process and system. Hands-on training close to the launch and relevant to employees’ jobs tends to be most effective.

Case 19: F2D Electronics

Human Capital

Deloitte

Performance Evaluation

Expected:

The candidate touches upon all the major points recognized in this case.

Good:

The candidate not only touches upon all the major points but also provides his/her analysis and reasoning behind those considerations in a structured way with use of a framework.

Excellent:

The candidate explains all the scenarios in a well-planned, structured and thoughtful manner providing logical reasoning behind his/her statements. The candidate also provides good explanation for the question in the prompt and shows in-depth understanding of the leadership, alignment and buy-in process as well as Human Capital concepts.

MARKET ENTRY

Case 20: Professional Car Racing

Market Entry

Accenture

Prompt	Your client is the owner of UPS #88, a racecar on the NASCAR tour. It races in the Nextel Cup, a points-based championship where the season winner has accumulated the most points over the course of the racing season. There are 36 races in total, running from February to November. Dale Jarrett, a well-known celebrity driver, races for the team. Dale helped win the Nextel Cup three years ago, and so far this year is eighth in a field of 43 drivers. A close friend who is the VP of marketing at Home Depot recently contacted the client. She inquired about sponsoring a second racing team with the client. She recognizes that NASCAR is the fastest growing segment among males ages 18-45. She also has talked to a successful driver from a regional drag racing circuit to try out as the driver of the team. Evaluate the potential of this opportunity.
Guidance	<i>The candidate should present an overview of his/her approach to the case and develop a framework. A profitability analysis should follow, with the candidate requesting revenue and cost information. Interviewer should probe candidate on the sources of revenue in this market before providing the following information.</i> Revenue information: included in Exhibit 1; before giving to candidate, ask what revenue buckets they can think of, then give remaining Cost information: included in Exhibit 2; before giving to candidate, ask what cost buckets they can think of, then give remaining

Case 20: Professional Car Racing

Market Entry

Accenture

Analysis	Revenue – Give candidate Exhibit 1 after buckets are outlined \$50K-1000K per race winnings. Assume average of 200K (other assumptions are ok) 36 races per year. Assume driver qualifies for 30. → $\\$200K \times 30 = 6000K$ or 6M Race winnings are 25% of total revenue → $6M / .25 = 24M$ total revenue Cost - Give candidate Exhibit 2 after buckets are outlined Tell candidate that total costs are \$20M Profit $24M - 20M = 4M$ profit
Guidance	<i>Since total revenue is not given, the candidate should recognize that the only way to calculate it from the revenue information given is by estimating total race winnings and extrapolating based on the percentage of total that these represent.</i> <i>After being told the total costs, the candidate should revisit the revenue estimation and adjust the average winnings assumption, if necessary (e.g. 100K avg would be unrealistic loss, while 500K average would be unrealistic profit)</i>

Case 20: Professional Car Racing

Market Entry

Accenture

Analysis	Marginal cost of adding a new team Total Costs = \$20M Race-facing costs = $40\% / 2 * 20M = \\$4M$ Equipment costs = $25\% * 20M = \\$5M$ Travel costs = $5\% * 20M = \\$1M$ → Marginal costs of adding new team = $4+5+1 = \\$10M$
Guidance	<i>The candidate should now turn his/her attention to the cost of adding a new team. If interviewer observes that the candidate needs direction, prompt him/her by asking: "What is the minimum amount of money that the client should ask for from Home Depot?"</i> <i>Information to be given with respect to adding a new team.</i> <i>The costs affected w.r.t. addition of a new team are Salaries, Equipment, and Travel. The other two cost components are associated with the engine shop.</i> <i>Specifically,</i> ▪ Race-Facing costs will double ▪ Equipment costs will double ▪ Travel costs will double

Case 20: Professional Car Racing

Market Entry

Accenture

Prompt – Part II	Should the client charge a premium to Home Depot for sponsorship?
Analysis	Option 1: Yes, we should charge a premium — Home Depot seems to have already made some commitment to the deal by conducting initial negotiations with the potential driver. Therefore client has bargaining power. Premium can be justified by providing Home Depot with an acceptable Return on Investment analysis. Option 2: No, we should not charge a premium —Home Depot has several other options to sponsor, including 1) another race team, 2) another sport (e.g., baseball), 3) another racing circuit (e.g., Formula One)
Guidance	<i>Potential for charging premium – The interviewer should ask candidate to evaluate the possibility of charging a premium to Home Depot for the sponsorship. Note that there is no right/wrong answer here; rather interviewer should evaluate response basis candidates' rationale.</i> <i>Multiple answers are acceptable here. This answer key is not exhaustive.</i> <i>After this question, ask candidate to wrap up case.</i>

Case 20: Professional Car Racing

Market Entry

Accenture

Performance Evaluation

Expected:

- Accurate arithmetic
- Profitability framework

Good:

- Identify need to calculate marginal cost of new team

Excellent:

- Candidate discusses risks of adding new team. For example,
 - Other potential points include the natural tension between adding a new team and the allocation of resources (e.g., high quality mechanics from Dale's team may work with the Home Depot car, thus diluting the quality of performance of Dale).
 - Potential risks certainly include adding a new driver who has only drag racing experience. This driver would probably not contribute to merchandising revenue, due to his relative anonymity.
- Candidate discusses validity of cost assumptions for new team. For example,
 - There is some validity, however, to the point that salaries for the new team may be lower because the new driver lacks the name recognition of Dale Jarrett.
 - The total cost of equipment may be lower than average due to the ability to leverage the engine shop technology. Some candidates might recommend closing the engine shop, but we have no margin information to substantiate this.

Case 20: Professional Car Racing

Market Entry

Accenture

Exhibit 1

Revenue Sources	% of Revenues	Description
Sponsorships	60%	UPS dominates, other sponsors include Outback Steakhouse and 3M
Nextel Cup Race Winnings	25%	One can win from \$50K - \$1MM depending on how one finishes and the significance of the particular race
Selling Engines	10%	Strong R&D shop. Engines are sold to professional drivers domestically
Merchandising	5%	License out production to third-party. T-shirts and caps are a small revenue source

Case 20: Professional Car Racing

Market Entry

Accenture

Exhibit 2

Revenue Sources	% of Costs	Description
Salary	40%	'Race-facing' costs make up 50% (Mechanics and Dale Jarrett); 'Non race-facing' costs make up the remaining 50% (engine shop technicians, HR, accounting etc)
Equipment	25%	Race cars, engines, parts (sheet metal)
Travel	5%	Getting to and from races
Leisure, engine shop	10%	Leasing of land in rural North Carolina
R&D	20%	Engine shop technology improvements

Case 21: Lizette's Luxury Properties

Market Entry

A.T. Kearney

Prompt	Your client is a real estate developer, Lizette's Luxury Properties, and is currently assessing a new project idea in Costa Rica. Costa Rica has a beautiful coastline which has historically been difficult to access. The nearest airport was over six hours away. As of last year, a new airport was constructed only a half hour away. There has been an investment boom in the region due to the increasing number of tourists (popular with Americans and Asians). The Mandarin Oriental and The Four Seasons, two prominent luxury hotel chains, were the first to enter this market with a 250-room hotel each. Should your client invest in the tourism opportunity created by the new airport? Would you recommend that s/he enter the market?
Guidance	<i>The framework developed by the candidate may explore a variety of issues including: Core Competencies, Market Attractiveness, ROI, and Project Success Factors. Here is some information that will help the candidate analyze the situation:</i> <u><i>Client's Core Competencies:</i></u> <i>- The client has focused on hi-rise apartments (50%) and luxury condominiums (50%) in the past but wants to enter the hotel arena.</i> <i>- They have focused on world-class beaches, such as Playa del Carmen, Marbella, Coral Beach, Tahiti, Fiji, Maldives, Mikonos, etc.</i> <i>*The key insight here is that the client has past experience in construction of a similar type, but has no direct experience in the hotel industry or service operations. Additionally, the client probably has good judgment in spotting travel locations and has a successful track record with the construction of prime properties.</i>

Case 21: Lizette's Luxury Properties

Market Entry

A.T. Kearney

Guidance	<u>Market Attractiveness / Five Forces Analysis</u> ▪ Market size - 875,000 tourists per year (assume 350 days in a calendar year) ▪ Average duration of stay per tourist - 4 nights ▪ Average hotel check - \$2,000. ▪ Others - In terms of tourists, you depend on government spend on advertising, on travel agents, and on the network effect of the existing hotels in the area. ▪ Competitiveness - Other hotels chains that are thinking of entering the market are Starwood, Peninsula, and Imperial Hotels. ▪ Supplier Power - The local labor market offers a huge supplier of workers (very positive) ▪ Substitutes - You are fighting with every other "paradise-type" destination, from Disneyland to Vegas to Bermuda. Interest in this area, however, is sky high. ▪ Barriers to Entry - Government regulations, high capital requirements, unavailable beachfront property. ▪ Buyer Power – The recent consolidation among travel agencies and proliferation of e-vendors put buyers in a powerful position.
Analysis	Quantitative takeaway: $3.5 \text{ million tourist nights} / 350 \text{ days} = 10,000 \text{ tourists / night}$ $\\$2,000 \text{ average check} / 4 \text{ days average stay} = \\$500/\text{night}$ Qualitative takeaway: Despite the competitive nature of the market it is large enough to be profitable, and client has desired capabilities to successfully compete. The level of resources required would be a barrier to entry and maybe there are others that need to be investigated--such as government permits, access to sewage, water, etc.

Case 21: Lizette's Luxury Properties

Market Entry

A.T. Kearney

Guidance

ROI Analysis – If the candidate brings up ROI, tell them that client has already short listed three available lots. Ask him/her to recommend one of the three such that Return on Investment is maximized?

	Land Cost	Cost/Room	Operating Cost	Room Capacity	Price/Night
Lover's Lair	\$2 MM	\$30 K	\$250	500	\$450
Paradise Lost	\$4 MM	\$28 K	\$200	1000	\$400
Fookwah Heights	\$6 MM	\$25 K	\$150	1500	\$350

- Average occupancy 50%
- No. of operating days in a year: 350
- Operating expenses are 100% variable
- At ROI 10%, company target is to recover investments within one year

Analysis

ROI Analysis:

ROI = Profit/Investment.

Revenue = Revs per night * number of nights * number of rooms * nights per year * occupancy rate

Option 1: Lover's Lair

- Operating Profits: ((((\$450 revenue – 250 operating costs) * 500 rooms)* 350 nights/year) * 50% occupancy rate) = \$17.5 million operating profits/year (a)
- Initial Investment: 30,000 cost/room * 500 rooms + \$2,000,000 land = \$17 million (b)
- Net Profit: (a)-(b) = \$500,000 (c)
- ROI: (c) / (b) = \$500,000/17 million = 2.9%

Case 21: Lizette's Luxury Properties

Market Entry

A.T. Kearney

Analysis	<u>ROI Analysis (Continued):</u> Option 2: Paradise Lost • Operating Profits: $((((\\$400-200) * 1000) * 350) * 50\%) = \\35 million • Initial Investment: $28,000 \text{ cost/room} * 1000 \text{ rooms} + \\$4 \text{ million land} = \\32 million • ROI: $\\$3,000,000 / \\$32 \text{ million} = 9.4\%$ Option 3: Fookwah Heights • Operating Profits: $((((\\$350-150) * 1500) * 350) * 50\%) = \\52.5 million • Initial Investment: $\\$25,000 * 1,500 \text{ rooms} + \\$6 \text{ million land} = 43.5 \text{ million}$ • ROI: $9 \text{ million} / 43.5 \text{ million} = 20.7\%$
Guidance	<u>Factors determining project feasibility</u> – Ask the candidate to list factors to be considered in determining the feasibility of the project
Analysis	<u>Good Concerns:</u> Competition (what are they focusing on? will it flood the market?) Strategy (Where will you compete--low cost, high service, best in class, packages?) How should the developer finance the building? Since the hotel will bring jobs maybe the government can help with some tax deductions, free services, etc... <u>Great Concerns:</u> • How can they leverage their experience, what values from their other business can they leverage? • Would they manage the hotel or build it and then find an operating partner like Starwood or Hilton? • What are the existing barriers to entry, how would you change them to insure a greater degree of success?

Case 21: Lizette's Luxury Properties

Market Entry

A.T. Kearney

Final Prompt	After the candidate offers his/her insights, tell him/her to focus on ROI first with the room prices specified in table and then with the market room price (\$500). Finally: Ask the candidate to conclude the case with a “go/no go” decision, supporting it with the insights drawn through out the case. Probe into additional concerns the client needs to address.
Performance Evaluation	Expected: Candidate will develop a structured framework that touches on some if not all of the categories described. Candidate will exhibit accurate arithmetic in ROI analysis. Good: The candidate will be able to provide the qualitative takeaways regarding market attractiveness and/or core competencies. Excellent: In addition to the above, the candidate will also identify the key concerns regarding the project feasibility and provide a go/no go decision with supporting evidence from insights drawn from the case.

Case 22: Napoleon's Pizza Pies

Market Entry

Prompt	Napoleon's Pizza Pies ("Pizza fit for an Emperor") has recently tried to establish the best home pizza delivery business in Paris. Pizza Hut, however, has a virtual monopoly on the pizza home delivery market. Napoleon's has asked your consulting firm to analyze the issues that will determine the likelihood of successful entry in the Parisian pizza market. What information would you need and how would you analyze the pizza delivery market?
Guidance	1) <i>Candidate needs to estimate the size of the Parisian home pizza delivery market. If the candidate asks for market information, introduce <u>Exhibit 1</u> and <u>Exhibit 2</u>.</i> 2) <i>Other information available upon request:</i> ▪ <i>Percentage of Pizza Hut's business that is delivery is ~50%</i> ▪ <i>Almost 90% of deliveries take place outside the city centre</i> ▪ <i>City centre Pizza Hut stores offer predominantly restaurant service</i> ▪ <i>The market for pizza is growing at 5% annually. The submarket for pizza delivery is growing at 8%</i> 3) <i>Candidate should do a market sizing, market attractiveness and segmentation and then look at the cost structure of the industry to find a potential competitive advantage.</i>
Analysis	<u>Overall Pizza Delivery Market:</u> $50\% \text{ of business is delivery } \times [\\$1.2\text{M} / \sim 90\% \text{ market share}] = \\667k <u>Of that, city centre's delivery market is:</u> $\\$667\text{k} \times 10\% \text{ of delivery business is done in city centre} = \\67k

Case 22: Napoleon's Pizza Pies

Market Entry

Performance Evaluation	Expected: It is expected that all candidates will complete a market sizing with realistic assumptions and a basic market and cost analysis (similar to what is provided above). Good: Good candidates will remember that Pizza Hut has a virtual monopoly position in home delivery but that the market for the city centre seems underserved. A good candidate will also ask for and identify the different growth rate of the delivery market versus the pizza market in general. Excellent: Excellent candidates will complete a market sizing and quickly move into a complete industry analysis for market segmentation and cost structure understanding. The candidate will identify the opportunity in the city centre market and identify the low barriers to entry for Pizza Hut in that market. The candidate should also consider that the execution of the delivery service may have more complexity within a market like city centre.
Prompt— Part II	<u>Follow up prompt for Good & Excellent candidates:</u> Napoleon launches his pizza delivery business and wins a customer service award. Pizza Hut responds (Show <u>Exhibit 3</u>). What should Napoleon do? Napoleon calls you from his moped for answers. What can you tell him?
Guidance	1) <i>Candidate should consider price war implications and Pizza Hut's position as a near monopoly in the market</i> 2) <i>Determine if there are considerable differences in cost or quality of delivery service for Napoleon</i>

Case 22: Napoleon's Pizza Pies

Market Entry

Performance Evaluation

Expected:

Recognize the potential for a price war with Pizza Hut and explain implications

Good:

Good candidates will identify Pizza Hut's reaction as an over-reaction based on their position in the market. The candidate should avoid the price war in his recommendations and potentially focus on key products or sub-segments of the city centre segment.

Excellent:

Excellent candidates will identify the over-reaction and look for ways to take advantage of this strategic mistake made by Pizza Hut. The candidate should probe about any substantial differences between the quality and speed of delivery for Napoleon and look to exploit any of them. Ultimately, the candidate should recommend that Napoleon continue to focus on the premium market and continue to execute on points of differentiation like customer service.

Case 22: Napoleon's Pizza Pies

Market Entry

Exhibit 1

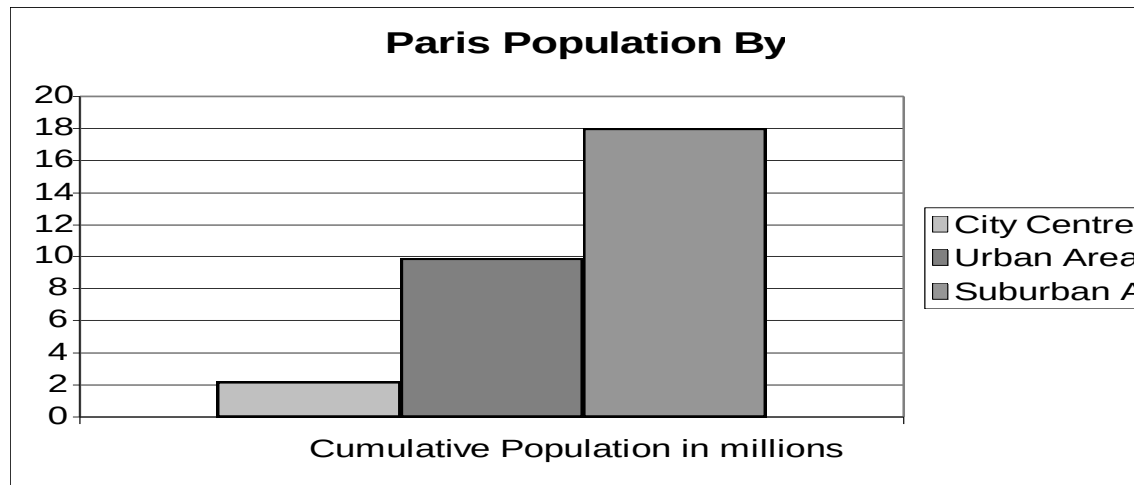


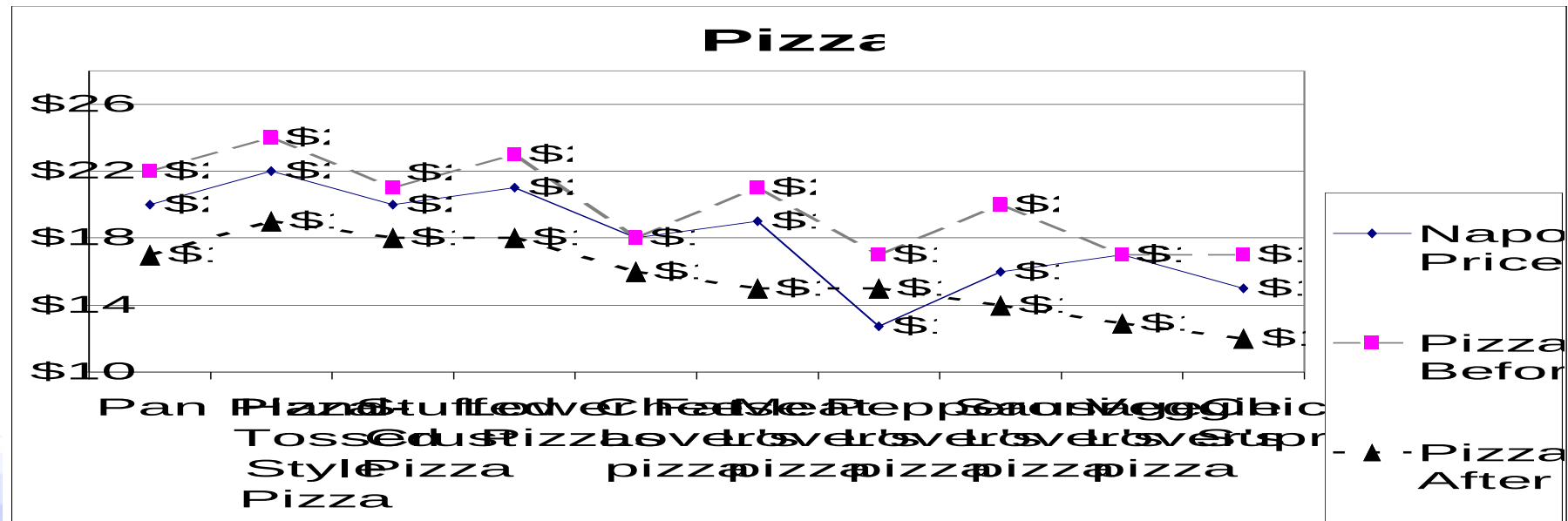
Exhibit 2

Pizza Hut Information	
Sales in millions (Pizzas)	1.2
Stores	95
Market Share	85-95%
Market Segments, % of sales	
Paris City	20%
Metropolitan Areas	35%
Paris Suburban Areas	45%

Case 22: Napoleon's Pizza Pies

Market Entry

Exhibit 3



Case 23: K. Grace Hospital Chain

Market Entry: Entry / Exit Decision

McKinsey & Co.

Prompt	Your client is a large hospital chain, K. Grace. There have been proposed legislation changes to Medicare that will affect your client. For example, some surgeries will no longer be reimbursable at the same rate. As a result, this has caused the hospital to consider a strategy that would shift its focus toward less profitable surgeries by using alternative therapies. However, the client is concerned about the decreased revenue potential from this proposed shift in strategy. Currently the client has a \$4 billion top line. Surgeries represent half of this total. Half of the hospitals in the chain perform all of these surgeries. For this case, let's say that all patients are on Medicare (private insurance is not a factor). Should we close part of the chain? All of the chain? None of the chain? What drivers will help us arrive at a close / no close decision?
Guidance	Allow the candidate some time (<1.5 min) to create a structured framework. Some issues to discuss could be the profitability (revenues and costs) of the surgeries. Look for a basic framework that includes a revenue breakdown into prices and quantities and a simple cost structure with fixed and variable costs. Next, ensure that the candidate is considering the percentage of surgeries that is actually impacted. <i>Prompt the candidate by asking: Maybe we should explore whether the hospital chain has any capabilities in providing alternative therapies—could we make money there?</i> <i>Let's see external things, too, like the ability to influence the regulatory environment, the needs and preferences of our end users (would they pay out-of-pocket?).</i> Lastly, the candidate should not fail to address the strategies competitors are adopting.

Case 23: K. Grace Hospital Chain

Market Entry: Entry / Exit Decision

McKinsey & Co.

Guidance	Steer the candidate toward profitability information. What does he/she want to know? Allow the candidate to make assumptions regarding profitability (guide them if their assumptions are way off base). This case is not about the specific numbers, rather the analysis conducted.
Analysis	Typical impacted hospital (annual): Patients: 1,000 Price (revenue) per patient: \$1,000 Cost per patient: \$800 Fixed Cost of facility: \$100,000 <i>If the candidates numbers are very different, suggest they use the numbers provided above for simplicity.</i> Simple breakeven calculations should be made—The hospital must serve at least 500 patients to remain open. Each patient delivers a \$200 contribution margin.
Prompt— Part II	How many patients would you have to lose below breakeven (500) to close the hospital?
Guidance	The candidate needs information on the cost of exiting the business. Let them ask for it. Once they request the information, you can give them the following: <i>The exit cost is \$50,000.</i>
Analysis	The profitability over time, discounted back to today, minus the PV of the exit costs, should equal zero to breakeven: $Q \times \\$200 - \\$100,000 = -\\$50,000$. $Q = 25$ Another way to look at this is the value of lost customers to the business over time, taken as a perpetuity. Or, loss / hurdle rate = exit cost. Assume a discount rate of 10%. Loss / .10 = 50,000. Loss = \$5,000, which equals 25 patients that you would have to lose below breakeven to close the hospital. $500 - 25 = 475$ patients to remain open

Case 23: K. Grace Hospital Chain

Market Entry: Entry / Exit Decision

McKinsey & Co.

Prompt— Part III	If fixed costs change to \$150,000, how many patients will you need to break even? How many patients would you have to lose to close the hospital?
Analysis	$\\$150,000 / \\$200 = 750$ patients to stay open Loss / .10 = \$50,000. The loss of future value that one gives up by incurring the exit costs equals 25 patients. Below 725 patients, the facility should close.
Prompt— Part IV	The hospital does some research and finds that 3/8 of its surgeries will not be reimbursable. A government report says it will save 6-9% by passing the new legislation. You know that someone has botched the research. How is the information contradictory?
Guidance	The candidate should ask for the national market share of the company. Otherwise, the data above is like comparing apples to oranges. <i>The market share for your client is 20%.</i> This means that, according to your client, 7.5% ($.375 * .20 = .075$) of the government savings will come from its surgeries, which represent only 20% of the total national market.

Case 23: K. Grace Hospital Chain

Market Entry: Entry / Exit Decision

McKinsey & Co.

Performance Evaluation

Candidate should provide a crisp recommendation – By McKinsey standards, a crisp recommendation should be roughly 30 seconds long and should include clear bullet points that support an overall recommendation. For example, “Close the chain for reasons 1, 2, and 3.”

Expected:

- Accurate arithmetic
- Solid profitability and breakeven calculations

Good:

- Framework that includes exploration of all possible options
- Clear recommendation that summarizes key findings in under 30 seconds

Excellent:

- Considered possibility of alternative therapy surgery market entry
- Understanding of, and clear answer to, the final question (Note: this question is very complicated)

Case 24: Stew's Connections

Market Entry

BCG

Prompt	Our client is a start-up with the ability to deliver broadband internet to commercial airlines. How would you help them think about their offering?
Guidance	About the case: This is a market entry case where candidate are required to evaluate the feasibility of a new product in conjunction with the airline industry. The candidate should use a comprehensive framework, walk the interviewer through it and be prepared for analytical detours throughout the flow of the case. The calculations represented here are only one approach and interviewees may take other approaches, depending on the assumptions made. The interviewer should be mindful of this and allow for flexibility. Industry & Market Size Discussion: The interviewee should have mentioned this as a major bucket in his/her framework. <i>Use the information below to provide guidance as necessary.</i> <u>Broadband for the airlines</u> There is general interest in broadband internet from the airline industry. The start up would have to invest relatively little up front and would keep most of the revenues. They would charge the customers on a per flight pricing model. <u>Size of the Market</u> Ask the candidate to estimate the market size and hand over <u>Exhibit 1</u>. Inform the candidate that there are 3,000 planes. Full answer in chart below <u>Pricing</u> In order to finish the market size, the candidate should ask for the price per flight. Hand out <u>Exhibit 2</u> and ask candidate to set the price.

Case 24: Stew's Connections

Market Entry

BCG

Analysis	Class	First	Coach
	Seats/Plane	20	180
	Load Factor	.75	.75
	Full seats/plane	15	135
	Biz Travelers	100%	30%
	Laptop users/plane	15	40.5
	Total laptop users/plane	55.5	
	3000 planes x 2000 legs/plane x ~50 laptop users/plane = 300,000,000 approximate annual potential user-legs.		

Case 24: Stew's Connections

Market Entry

BCG

Analysis	Assume 100 passengers (for ease) at the various price/penetration combinations. 30 users at \$5=\$150/flight 25 users at \$10=\$250/flight 20 users at \$15=\$300/flight 10 users at \$20=\$200/flight 5 users at \$25=\$125/flight Set price at \$15.
Guidance	Breakeven Analysis Given the information already revealed in the case and the information below the candidate should calculate a break-even point. <u>Information to be given if asked:</u> <i>The company has discovered that if they can generate \$250,000 per plane in annual revenue, they will be profitable installing the technology on that plane.</i>
Analysis	$250,000 / 2,000 \text{ legs/plane} = \\$125/\text{leg}$ $\\$125 / \\15 about 8 users/leg 50 laptop users/leg, and at \$15, there's a penetration rate of 20%, so we estimate 10 users/leg. Response: Yes, they should break even.

Case 24: Stew's Connections

Market Entry

BCG

Guidance	<u>Other factors</u> <i>Probe the candidate for breadth and understanding of new market entry. Ask him/her about the following aspects of this project.</i>
Analysis	Competition The interviewer should probe deeper into the competition especially with regard to Intellectual Property. For this case, the company has the patent on the high speed connection. What about low-speed internet connections? Risks Ask the candidate which risks are associated with the business model. Use your judgment when considering their answers.
Performance Evaluation	Candidate should provide a crisp recommendation – A crisp recommendation should be roughly 30 - 45 seconds long and should include clear bullet points that support an overall recommendation. For example, “Enter the market for reasons 1, 2 and 3” Expected: Accurate arithmetic with solid profitability and breakeven calculations. Good: Candidate provides a framework that includes exploration of all possible options and offers a clear recommendation that summarizes key findings in under 30 seconds. Excellent: Candidate considered sufficient number of other factors while maintaining poise through “what else” line of questioning at the end of the case.

Case 24: Stew's Connections

Market Entry

BCG

Exhibit 1

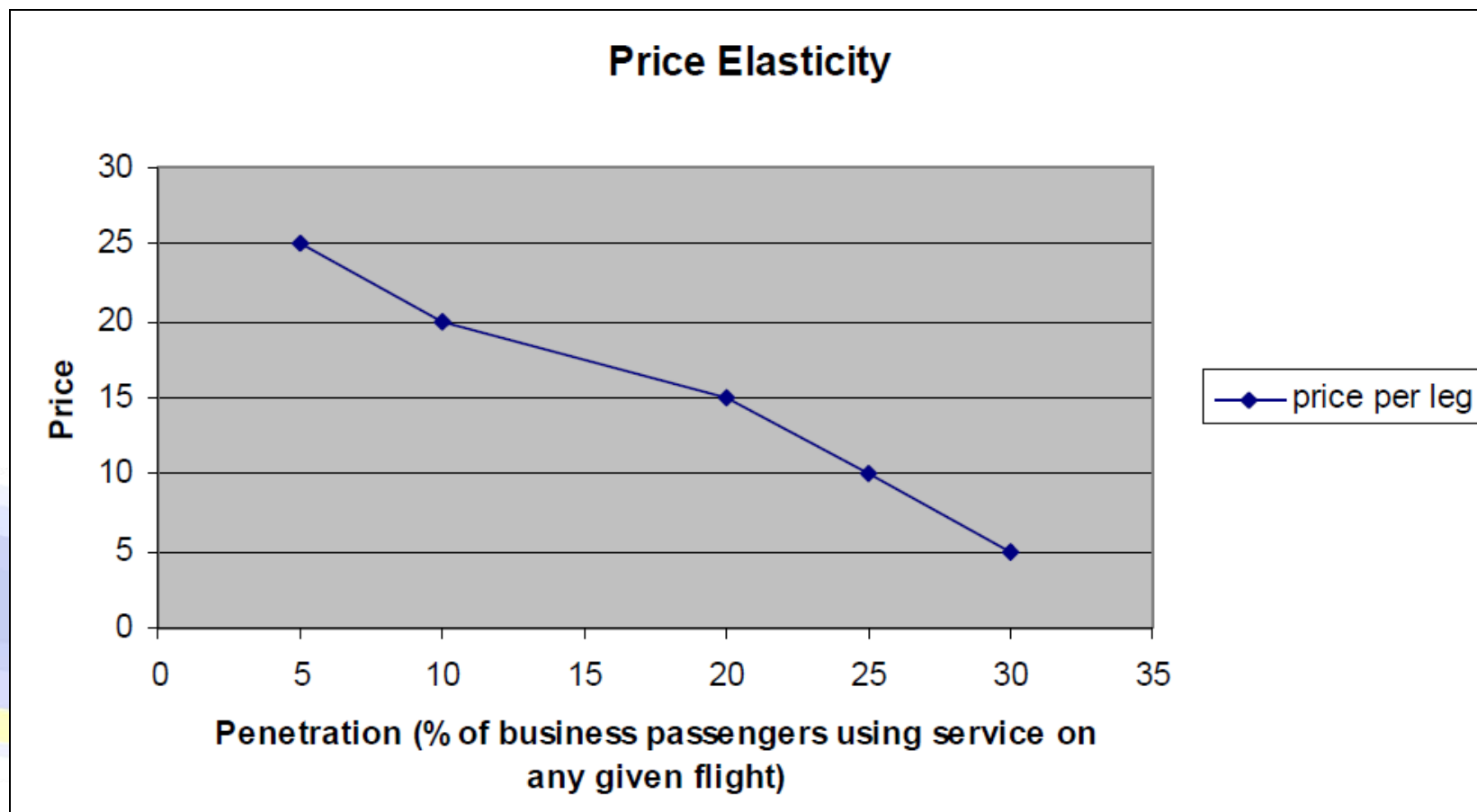
Exhibit 1			Passenger mix by cabin	
			First	
Annual flights legs per plane	2000		Business	100%
Average seats per plane	200		Leisure	0%
Average load factor	75%			
Cabin seating:			Coach	
First class	10%		Business	30%
Coach	90%		Leisure	70%
Note: 90% of business travelers carry laptops; 0% of Leisure travelers carry laptops				

Case 24: Stew's Connections

Market Entry

BCG

Exhibit 2



Case 25: One for the Road, Inc.

Market Entry: Life Sciences

Prompt	<u>Problem Definition:</u> A small life science technology startup, One For The Road, Inc., (ORI), has invested a huge amount of money in R&D and was recently granted a patent for a new breakthrough product. The client wants to know what approach it should take to commercialize the product.
Guidance	This is a “Go to Market” case combined with a piece on M&A. The case is structured on the 3C’s framework and combines the following two questions: ▪ What are the core competencies of this company? ▪ Do they have the funds to develop the capacity in-house, or should they be looking for a partner or buyer for the patent? <i>This section of the case is exploratory in nature so make sure that the candidate has come up with a healthy list of questions before proceeding.</i> <u>Information to be given if asked:</u> ▪ How long is the patent protection? - 10 years ▪ Are there any competitors? - No. This product would create a new market ▪ Market potential? - The client expects sizable immediate demand ▪ How much money has been invested in R&D? - Substantial amounts
Prompt— Part II	Market Strategy – Discuss the following aspects with the candidate: ▪ Managing hyper growth ▪ Optimal acquisition strategy (new customers) ▪ Appropriate pricing via EVC analysis

Case 25: One for the Road, Inc.

Market Entry: Life Sciences

Prompt— Part III	<u>Operations Strategy</u> – Discuss the following aspects with the candidate: ▪ Costs: fixed and variable ▪ R&D Resources/Strengths ▪ Required Capabilities: Buy, Build, or Partner? ▪ Manufacturing: in house vs. outsourcing ▪ Marketing & Sales ▪ Distribution Channels
Prompt— Part IV	<u>Finance Strategy</u> – Discuss the following aspects with the candidate: ▪ Debt vs. Equity to finance growth ▪ Timeline to break even
Prompt— Part V	<u>External Factors</u> – Discuss the following aspects with the candidate: ▪ Legislation ▪ Suppliers of raw materials
Prompt— Part VI	<u>M&A potential</u> – Ask the candidate to discuss various entry strategies available to the client w.r.t introducing the product in the market.
Analysis	Candidate should assert that the client has several options: ▪ Acquire a company that provides manufacturing and marketing capabilities ▪ Joint venture with another company ▪ Outsource manufacturing, marketing and distribution channels ▪ Grow skill sets organically, ergo more slowly

Case 25: One for the Road, Inc.

Market Entry: Life Sciences

Prompt— Part VII	<u>Evaluating M&A options</u> – Ask the candidate to evaluate the pros and cons of the different strategies suggested above												
Analysis	Given that the client is a small R&D lab, its core competency is not in the area of manufacturing, marketing, and sales. ORI should certainly pay attention to the profitability of these strategies, but also bear in mind the risk (while going alone may allow ORI to keep all the profits, it has many more pitfalls than teaming with an established player in the industry). The following comparison matrix presents the pros and cons of the various strategies (do not hand this to the candidate, rather allow them to form their opinion and then guide them where necessary) <table><tr><th>Criterion</th><th>Develop capability internally</th><th>Get external partners</th></tr><tr><td>Speed</td><td>Slow</td><td>Fast</td></tr><tr><td>Cost Benefits</td><td>Expensive</td><td>Cheap</td></tr><tr><td>Growth / Future capabilities</td><td>Fast and sustainable growth</td><td>Slow growth</td></tr></table>	Criterion	Develop capability internally	Get external partners	Speed	Slow	Fast	Cost Benefits	Expensive	Cheap	Growth / Future capabilities	Fast and sustainable growth	Slow growth
Criterion	Develop capability internally	Get external partners											
Speed	Slow	Fast											
Cost Benefits	Expensive	Cheap											
Growth / Future capabilities	Fast and sustainable growth	Slow growth											
Prompt— Part VIII	<u>Patent pricing strategy</u> – Inform the candidate that ORI has decided to sell the patent to an established pharmaceutical firm and ask him how he might derive an acceptable price for the product from the pharmaceutical company.												
Analysis	▪ Conduct Economic Value to the Customer (EVC) analysis ▪ Surveys to potential customers in order to conduct a conjoint analysis ▪ Chance to price discriminate among segments (if it can tweak product attributes) ▪ Analyze past introductions of new products for historical sales trends ▪ Focus group experiments in separate, comparable regions (to find price elasticity): ▪ Lower the price in one and raise the price in the other ▪ Compare the sales volume over a period of time												

Case 25: One for the Road, Inc.

Market Entry: Life Sciences

Prompt— Part IX

Consumer segmentation - Inform the candidate that the new market has two segments, healthcare providers and home users and ask him to list some differing characteristics between the two groups that might affect the client's marketing strategy.

Analysis

Again, do not hand this to the candidate, rather allow the candidate to form his/her own opinion and then guide them where necessary

Criterion	Healthcare Provider	Home User
User's preferences	Cost, Maintenance	Ease of use, reimbursable costs
Who is the Decision Maker?	Doctor / Procurement Manager	User / Parent / Spouse
Contact strategy	Trade shows, Direct marketing	Doctor(push) / TV, or print ads (pull)
Resource requirements	Experienced sales force to convince doctors or procurement manager	Convenience, ease of use

Case 25: One for the Road, Inc.

Market Entry: Life Sciences

Performance Evaluation

Expected: Accurate arithmetic with solid calculations while keeping track of information/data from earlier parts of the case throughout the entire interview. This is a long case, they need to stay organized and composed.

Good: All of the above, while also anticipating some of the prompts before the interviewer needs to suggest the next step. Really piecing this case into real life and coming up with some real life next steps.

Excellent: Candidate considered all of the prompts throughout the case, while constantly keeping track of earlier information and referring back to the situation at hand. Never losing site of the big picture. Lastly, maintaining poise through the extensive line of questioning throughout the case.

Case 26: Constraco

Market Entry

Prompt	The CEO of a small US construction products company, Constraco, is looking at international expansion as a source of future profit growth. Based on a desire to expand into the South American market and on promising economic and demographic trends, the CEO has determined that she would like to enter Brazil. The CEO has identified three products existing in the company's US product portfolio that she has asked you to evaluate for introduction into Brazil. She would like you to recommend an entry strategy for these products, including whether or not to introduce any of the three products, and in what order.
Guidance	<i>Offer this information only as the candidate makes specific requests. The candidate should ask for information on the products individually (push the candidate to dig deeper than simply asking "do we know anything about competition"):</i> Products: 1)<u>Sidewalk & Roadway Caulking</u> •This product is used to prevent cracks in the pavement when it expands and contracts in response to changes in temperature and weather. This product is used in all roads and sidewalks in the USA. In Brazil, this product already exists, and is currently used in 65% of Sidewalks, and in 25% of Roads. 2)<u>Air Conditioner Insulation</u> •This is a safety product used to combat corrosion from condensation that forms on air conditioners, which could lead to dangerous chemical leaks or explosions. This type of insulation product is new to the US, but considered to be the best and its use is thus expected to expand rapidly. In Brazil, no one uses or knows of this product. 3)<u>Pre-Cast Concrete Slabs</u> •These are a newer, high-quality product used in the USA acting as the foundations of a house. They are superior for ease of use, but offer no safety advantages. In Brazil, cheap concrete bricks have always been used for this purpose.

Case 26: ConstraCo

Market Entry

Guidance

Method of Entry into Brazil

- The CEO will only enter via a partnership. She has identified a Brazilian construction products company with a good national reputation and sizeable market share. Preliminary discussions reveal that the local company's CEO shares the desire to enter into a partnership. This partnership will give ConstraCo local manufacturing, distribution, supply chain, etc. needed to run the business.

Competition:

1) Sidewalk & Roadway Caulking

- While there are a few competitors already existing in this market, ConstraCo has a patented product in the US that is superior to products currently in the market. ConstraCo could get a patent in Brazil & the product would be difficult to reverse engineer.

2) Air Conditioner Insulation

- ConstraCo's insulation product is currently not used in the Brazil market; it would be a substitute for another type of insulation material which is significantly cheaper and significantly less safe. It is unclear whether the product could be easy to reverse engineer.

3) Pre-Cast Concrete Slabs

- Currently, the Brazil market only uses concrete bricks, which are much cheaper than the ConstraCo product. ConstraCo's product is significantly more expensive, and offers greater ease of installation but no safety advantage. This product would be easy to reverse engineer.

Brazil Consumer Preferences

- Extremely price sensitive
- Less litigious than the USA
- Slow adoption curve for new products

ConstraCo's Goals for International Expansion

- ROI of 150% within 2 years

Case 26: Constraco

Market Entry

Analysis

Analysis I: MARKET SIZE for each of the three products

(Ask the candidate to brainstorm ways to size each market and give data in bold font as it is requested rather than just reading the information)

1) Sidewalk & Roadway Caulking

Miles of Sidewalk in Brazil: 30,000

→ Of which 66% use caulking product = 20,000 mi. sidewalk w/product

Miles of Roadway in Brazil: 200,000

→ Of which 25% use caulking product = 50,000 mi. roadway w/product

→ Total Miles of Roadway in Brazil using caulking product = 20,000 + 50,000 = 70,000 mi.

Caulk needed per mile: 700 sq. ft.

→ Total caulk needed = 700 * 70,000 = 49,000,000 sq. ft. (can round up to 50M)

Caulk per canister: 10 sq. ft.

→ Total canisters needed = 49,000,000/10 = 4.9M canisters

Price per canister of caulk: \$0.50 per canister

Market Size of Sidewalk & Roadway Caulking: = 4,900,000 * \$0.50 = **\$2,450,000**

2) Air Conditioner Insulation

air conditioning units in Brazil: 30,000,000

Insulation per A.C. unit: 5 sq. ft.

→ Total insulation = 150,000,000 sq. ft.

Price per sq. ft.: \$.20

Market Size of Air Conditioning Insulation: = 150,000,000 * \$.20 = **\$30,000,000**

3) Pre-Cast Concrete Slabs

Houses with foundation in Brazil: 20,000,000; of which 75% small, 20% medium, and 5% large

→ Respectively: 15M, 4M, 1M

Prices: Small \$8.00 per home, Medium \$13.00 per home, Large \$15.00 per home

Market Size of Pre-Cast Concrete Slabs: = (15M*8)+(4M*13)+(1M*15) = **\$187,000,000**

Case 26: Constraco

Market Entry

Analysis

Analysis II: ROI for each of the three products

(The candidate should ask for (a) addressable market, (b) expected growth, (c) investment required for each product, and (d) discount rate.)

***Discount rate = 0 (for all products)**

1) Sidewalk & Roadway Caulking

Addressable Market in Y1: 33%

Growth: 1%

→ Addressable Market Y1 = $(2,500,000 \times .33) = \$825,000$

→ Cumulative Revenue Y2 = $(825,000 \times 1.01) + (825,000) = \$1,658,250$

Investment Required: \$1,000,000

ROI Caulking: $(1,658,250 / 1,000,000) = 166\%$

2) Air Conditioner Insulation

Addressable Market in Y1: 4%

Growth: 10%

→ Addressable Market Y1 = $(30M \times .04) = \$1,200,000$

→ Cumulative Revenue Y2 = $(1.2M \times 1.1) + (1.2M) = \$2,496,000$

Investment Required: \$1,500,000

ROI AC Insulation: $(2,496,000 / 1,500,000) = 166\%$

3) Pre-Cast Concrete Slabs

Addressable Market in Y1: 0.5%

Growth: 2%

→ Addressable Market Y1 = $(187M \times .005) = \$935,000$

→ Cumulative Revenue Y2 = $(935,000 \times 1.02) + (935,000) = \$1,870,000$

Investment Required: \$2,000,000

ROI Concrete Slabs: $(1,870,000 / 2,000,000) = 94\%$

Case 26: Constraco

Market Entry

Analysis	<u>RECOMMENDATION:</u> <i>(Just a suggested recommendation; other recommendations acceptable as long as they logically follow from the facts of the case)</i> •Introduce Sidewalk & Roadway Caulking first. Consider introduction of AC Insulation product second. Do not introduce Pre-Cast Concrete as the ROI is lower than 150% goal. •For Caulking product, important to get a patent and lots of marketing to show value in superior product. •For AC Insulation product, heavy marketing campaign and lobbying government for better safety standards required to induce purchase of the new product. Consider Constraco's risk tolerance before making initial investment. Also consider IP risk and sustainability of competitive advantage if product were successful. •For Pre-Cast Concrete, although 2 year ROI is lower than goal, the market is extremely large. Consider whether there are other ways to enter this market, or other actions Constraco could take to change the growth and investment predictions.
Performance Evaluation	Expected: Candidate should be able to compute the market size & ROI aspects of the case correctly. Good: Candidate should look outside of the numbers aspect of the case for more qualitative aspects of market entry, such as competition, risks (such as IP risk, sustainability of competitive advantage, marketing not effective and product adoption fails), method of local entry (JV, partnership, acquisition), etc. Excellent: Candidate pushes beyond facts presented in the prompt and case, and suggests ways the CEO could influence the numbers given in the case (ie, ways to increase projected addressable market or growth rate). Candidate will also consider additional aspects of the problem such as: Exit options, ease of expansion into new products, ease of expansion into other South American countries, why Brazil, why these 3 products (are there other products that could be a better fit), why international expansion (could growth be achieved domestically, as international expansion carries a lot of risk).

Case 27: Global Pharma Inc.

Market Entry

BCG

Prompt	A pharmaceutical company produces a drug that has been very successful in the US for treating depression. They are looking to further capitalize on this success and roll the product out to various foreign markets. They need to determine the best market to enter next, the optimal way to enter that market, and to assess any potential risks with the recommended plan.
Guidance	The candidate should approach this case by attempting to quantitatively select the best market by determining the level of demand in each respective country. The structure of this analysis may vary by candidate. Give 1 minute for the candidate to create a framework. Markets under consideration (Give upon request after hearing framework): Latin America, Canada, France and the Middle East
Analysis	See second page for detailed analysis:

Case 27: Global Pharma Inc.

Market Entry

BCG

Analysis

- **Incidence of Depression:** Approximately 1% of the population under 25 will suffer from clinical depression, 2% of the population 26-55 and .5% of the population 55+. The drug is based off of a newly discovered opiate compound, therefore it is not for use for women who are pregnant.
- **Insurance coverage varies by market:**
- Latin America and the Middle East: Most people will expect to pay out of pocket. Due to the cost, only 20% of the affected population in Latin America will be able to pay for the drug. This number rises to 40% in the Middle East. Global Pharma would earn \$2 per patient for these markets.
- Canada and France: Universal healthcare in these countries results in one government dictated formulary. The company's lawyers have determined that because of the higher cost of the drug, it is possible that it may not be covered under the current formulary. They have determined that there is a 20% chance that the drug would not be covered under the formulary, in which case 10% of the affected population will pay for the drug anyway out of pocket. If covered under the formulary 50% of the affected population would use the drug. Under a formulary, Global Pharma would receive \$1 per patient, but \$2 if out of pocket.

Data

- **Information to be given only if candidate is stuck:**
 - Populations: Canada, France: 30M. Middle East: 200M. Latin America: 400M.
 - Use a 1/3 split for population under 25, 25-55 and 55+. 50% of the total population is female, and at any given time 2% of women are pregnant.
- **How to solve (using Canada as an example):**
 - Canada: 2.5M suffer from depression. Less 250k pregnant women equals population of 2.25M candidates for drug. 20% chance of earning \$500k, 80% chance of earning \$1.125M, which equals an expected value of \$1M. Things to consider would be a low threat of counterfeit drugs, and given market similarities (same language, etc.) it would be easier to distribute and capture market share. However, some risks would include the chance of the government not covering the drug under formulary and a competitor's drug being added to the formulary instead.

Case 27: Global Pharma Inc.

Market Entry

BCG

Analysis (cont.)

Two Distribution Options:

1. Partnering with a local distributor.

- Risks: Recall or fine due to improper marketing and training by the local sales force. Less effective sales efforts as the distributor will also be selling the competitor's anti-depressant.
- Benefits: Faster rollout of the product and a larger customer base.

2. Building a sales force from scratch.

- Risks: Requires more upfront costs and a longer lead time due to hiring and training a sales force in a foreign market.
- Benefits: Low threat of recall and a longer product lifespan due to a trained sales force selling one type of anti-depressant to psychiatrists.

After the candidate has discussed the distribution options and outlined the issues involved with each, ask him/her to discuss other issues or considerations that the company should consider outside of the quantitative analysis. These might include:

- Regulation** (does the drug have to undergo clinical trials or is there little regulation that will allow fast access to the market)
- Sunk costs** (Pharma companies routinely spend billions on R&D. This is a sunk cost and should not be a consideration when determining which market to expand into)
- Patent expiration** (How long will the drug have exclusivity for? If the patent is due to expire, low cost generic manufacturers would take market share away)
- Threat of counterfeit goods** (Emerging markets tend to have more of a threat of counterfeit products that would reduce markets share)

Case 27: Global Pharma Inc.

Healthcare/Market Entry

BCG

Performance Evaluation

Expected: Candidate identifies the need to calculate the market size for the various markets under consideration, and is able to perform the calculations accurately with some prompting. He/she mentions some of the fundamental issues, including insurance, distribution, regulatory issues, and pricing.

Good: Candidate identifies the need to calculate the market size for each market and is able to outline the data required and complete the calculations with minimal prompting. He/she brings up most of the fundamental issues and provides some insight about how he/she thinks they might impact the situation in the case.

Excellent: Candidate should offer a MECE framework listing the various aspects of determining the market size as well as the different ideas on how to capture the market. The candidate should brainstorm the potential market sizes and offer suggestions on the percentages of the population that fall into each demographic without being prompted to do so. The candidate should be able to take the pieces of information given and synthesize them into a clear market size for the five regions as well as the pros and cons of each. Finally, the candidate should mention the various market forces at play when marketing a pharmaceutical product, such as regulation, patent expiration, sunk costs, threat of counterfeit goods, etc.

Case 28: Starbucks

Market Entry

BCG

Prompt Part 1	It's 1995 and Howard Schultz, the CEO of Starbucks, comes to you asking for help. I'm not sure how familiar you are with Starbucks in 1995, but the company gets virtually all of its revenue from ~1,000 retail company-owned and operated cafes in the U.S. As you probably know Starbucks gets most of its revenue from selling hot coffee and other hot beverages (tea, hot chocolate, etc.). But they also have a small business selling other goods in their stores, especially coffee beans that a consumer can take home and prepare coffee with at home. "My VP of marketing suggested we should start selling Starbucks coffee beans through grocery stores. It seems like an interesting idea but a pretty big change for the company. Help me figure out whether or not this is a good idea."
Guidance	The candidate should consider the following issues: -Revenues, include volume and price of coffee beans sold -Costs, including raw materials, packaging and distribution -How the above might vary between Starbucks stores now, Starbucks stores after grocery launch, and in grocery stores Provide the information provided in the following two exhibits ONLY when the candidate has laid out a relevant framework and asked for it.

Case 28: Starbucks

Market Entry

BCG

Exhibit 1 – Facts about the Coffee Bean Business

Category	Number
Number of Starbucks retail locations	1,000
Price of 1 lb bag of Starbucks coffee beans	\$12
Costs per 1 lb bag	
• Raw materials	\$3
• Packaging	\$2
• Distribution	\$1
Number of bags sold	20 per day per location

Case 28: Starbucks

Market Entry

BCG

Exhibit 2 – Projected Forecast for the Coffee Bean Business

Category	Grocery channel	Starbucks stores today	Starbucks stores future
Number of locations	1,000	1,000	1,000
Price of 1 lb bag of Starbucks beans	\$10	\$12	\$12
• Revenue Starbucks receives	\$8	\$12	\$12
Costs per 1 lb bag			
• Raw materials	\$3	\$3	\$3
• Packaging	\$2	\$2	\$2
• Distribution	\$2	\$1	\$1
Number of bags sold	40 per day per location	20 per day per location	25% fewer than today

Case 28: Starbucks

Market Entry

BCG

Guidance

Starbucks today has a very lucrative business selling coffee beans in its stores:

- \$12 revenue – (\$3+2+1) = \$6 profit for each bag sold in our stores
- \$6 profit per bag * 20 bags/store/day * 1000 stores = \$120 K/day in profit
- Note: revenue is twice that = \$240 K per day

Although margins are much narrower in grocery stores, incremental profit outweighs cannibalization (by a small amount):

- \$8 revenue – (\$3 + \$2 + \$2) = \$1 profit for each bag sold through grocery channel
- Total profit from grocery stores = \$1 per bag * 40 bags / day * 1000 grocers = \$40 K / day
- But from cannibalization, we lose 25% of sales in Starbucks stores = 5 bags / store / day
- \$6 profit * -5 bags * 1000 stores = -\$30 K/day decreased profit due to cannibalization
- So in aggregate, we make \$10 K/day more in profit (~\$3.5 M per year)
- And our revenues go up substantially more

Seems like a pretty good idea so far –
but is there anything we can do about cannibalization?

Case 28: Starbucks

Market Entry

BCG

Prompt Part 2 (Synthesis)

- Okay, it's time to wrap up. You're riding on the elevator in Seattle one day and who happens to step in behind you but Mr. Schultz. He recognizes you from the project kickoff and asks you how the project is going. (assume he knows the problem you're trying to solve but hasn't had an update to this point).
- Let's role-play this exchange. You have one minute to synthesize your findings for Mr. Schultz and I want you to cover three things
 1. The key insights
 2. Your recommendation, if any, at this stage
 3. Most important next steps you'd propose
- Take 30 seconds to prepare your thoughts and then we'll do the role-play.
Note: Please stick to the 1 minute limit
- Possible ideas to avoid cannibalization (not exhaustive, candidate should be creative)
 1. Market product to those who drink other brands to generate new customers
 2. Launch promotions around holidays to encourage coffee sales as gifts

Case 28: Starbucks

Market Entry

BCG

Performance Evaluation

Expected:

Determine the profitability of Starbuck's coffee bean sales today and in the future.

Good:

Determine the profitability of Starbuck's coffee bean sales today and in the future – with cannibalization .

Excellent:

Provide insights on a strategic approach to evade cannibalization .

Case 29: Book in a Box

Market Entry

Prompt	Video in a Box is a company which distributes DVDs for rental. The company works with various retailers to place a large DVD dispensing station (much like a soda machine) outside of their stores. Consumers then search online or at the machine for the movie title they are looking for. Consumers both pickup and return the DVD to the machine and rentals are allowed for 24 hours after which time a late fee is charged. Video in a Box is considering expanding its offerings within the United States to books and have retained you to determine if this is a viable strategy.
Guidance	<u>Available information (if solicited):</u> •Both adult and children's books will be rented •A machine that dispenses DVDs cannot also dispense books, a new machine costs \$1000 •The machine will dispense hardcover books only •A book can be used 10 times before it must be replaced •Video in a Box would like a two year payback period •The labor cost is expected to be \$50k per person (number of people servicing/filling machines). Labor is the only variable cost. A tech can service/deliver to 5 machines each half hour and should ideally visit each machine to re-stock every two weeks. •On average, a person takes 2 weeks to read a book <u>Ask candidate to make reasonable assumptions for (if asked):</u> •Cost of a book •Number of machines that will be needed Expected areas to be considered include product, customers, profitability analysis, competition.

Case 29: Book in a Box

Market Entry

Analysis

Because the case relies on the candidate for some information, calculations cannot be done ahead of time, but one might expect the following profitability analysis.

•Revenues

- A sensible way to break the market down would be by age (parents buy more books for small children, fewer books for teens, and perhaps a similar number for adults).
- Pricing strategy:
 - A cost+ strategy may make sense in this case (where cost is calculated based on the ten uses as given in the assumptions). Competitor/substitute pricing should also be considered. This is a case in which value based pricing actually might make less sense.

•Costs

- A sensible way to calculate the number of machines would be to use the “neighborhood” method. For example, my town of 10,000 has 5 machines, therefore, there are 2,000 Americans/machine and about 150,000 machines in the US.
- Fixed costs should include the price of having new machines deployed around the US.
- Variable costs should include only the additional labor costs.
- Cost of books

Case 29: Book in a Box

Market Entry

Performance Evaluation

Expected:

The candidate should perform a profitability analysis and make a supported conclusion. The candidate should also recognize the competitors/substitutes which are important in the case.

Good:

The candidate should recognize that the business model for books is different than that of videos (longer rental timelines, different machinery, etc) and adjust calculations appropriately.

Excellent:

The candidate should perform all calculations correctly, provide a recommendation based on breakeven analysis and should consider risks and opportunities in the conclusion.

STRATEGY

Case 30: The Helicopter Company

Strategy

Prompt

Our client is a manufacturer of helicopters. It competes in a global market with three other competitors. For the purposes of this analysis, we will call them Competitors A, B, and C. It's a very global market and all of the manufacturers deliver products all over the world. There are two main products that they all produce: the TSX and the Global Combat. The TSX is a helicopter used mostly for day-to-day activities such as tourism and corporate purposes. It sits 4 people, not counting the 2 pilots. In some rare occasions it can sit 5 people. However, there have been accidents in the past where TSX was carrying 8 total people and all 8 of them tragically died. The Global Combat is a helicopter used by national defense teams. It is mostly used in combat. In the U.S. for instance, the U.S. Air Force is the biggest consumer of the Global Combat. Our latest figures indicate that the Air Force currently has 182 Global Combats. While the Global Combat is constantly updated, the basic structure has not changed. It sits over 30 people and can carry large amounts of ammunition. We have been hired to look into the financial performance and strategy of our client. During our first meeting, the CEO and CFO were both present. Jim Doyle, the CEO, expressed concern. He claims he is not happy with the results for FY 2011. Dan Loyd, the CFO, did not agree with Jim and claimed that Revenues were up this year, thus indicating that our client has grown, despite the sluggish economy. Both Dan and Jim suggested that Competitor A has done extremely well in the past 2 years. Competitor A's stock has doubled in the last 12 months and there is a lot of optimism regarding that company on Wall Street. Both do not seem to understand how Competitor A has performed so well in the past year, especially given that our client has gained market share in North America, the largest market for helicopters. Four key questions have been posed to us, and it is your task to answer these questions:

1) Who is right about the financial performance (the CEO or CFO)? 2) Should our client be concerned? 3) What has been the growth in Asia and Africa? Should we focus on either of these markets? 4) Why is Competitor A performing so well? 5) What is your recommendation to both the CEO and CFO?

Please take a moment to analyze what we have before answering the questions. Show the attached data after the taker has completed and walked through their framework.

Case 30: The Helicopter Company

Strategy

Guidance

Additional information that can be provided, if asked:

- Competitors B and C have remained flat
- Global Combat is more expensive to the customer but not necessarily more profitable
- TSX and Global Combat generate the same net income contribution to the client
- No new competitors are expected to enter the market
- We are very worried about the momentum gained by Competitor A
- The client spends most of its advertising budget on the largest market

Answers:

Question 1 (force candidate to give specific numbers)

- While the CFO has a point, net income has gone down from 8.8 to 8.5 billion
- That represents a 3% decrease so we should be concerned
- **Rounding is OK**

Question 2 (ask for specific numbers)

- 15% in Asia and 5% in Africa
- Africa should not be a concern, still too small
- Asia represents a large market, almost surpassing North America

Question 3

- Competitor A has grown tremendously in South/Central America and Asia
- Our client has lost market share in those two markets

Question 4

- Net income has gone down
- Small increase in revenue cannot offset increase in expenses
- Asia and South/Central America are regions with a lot of growth
- Shift attention to those two markets
- Competitor A has **already** shifted its focus to those 2 markets and is one step ahead
- There will be an expected shift in demand for TSX Helicopters
- We need to prepare ourselves for that shift in demand
- Shift marketing focus to Asia and South/Central America

Case 30: The Helicopter Company

Strategy

Performance Evaluation

Expected:

- Identify that all the data is available to answer questions
- Do not get overwhelmed by the amount of information given

Good:

- Effectively summarize the information given
- Work with the data to answer questions
- Ask good clarification questions
- Identify most areas of opportunities

Excellent:

- Recognize that a lot of the information given during the prompt is useless
- Carefully go through the data and give real numbers to back the answers
- Identify all key recommendations with data to support
- Summarize all of the findings at the end of the case
- Provide additional creative ideas

Case 30: The Helicopter Company

Strategy

2010 Market Share (\$ dollars)				
	Client	Competitor A	Competitor B	Competitor C
North America	43.45%	20.00%	0.77%	35.78%
South and Central America	12.45%	35.97%	19.00%	32.58%
Asia	13.56%	31.00%	27.89%	27.55%
Europe	25.00%	25.00%	34.00%	16.00%
Africa	27.00%	22.98%	29.98%	20.04%
Australia	21.00%	23.56%	31.00%	24.44%
2011 Market Share (\$ dollars)				
	Client	Competitor A	Competitor B	Competitor C
North America	45.98%	21.32%	3.00%	29.70%
South and Central America	9.73%	38.98%	18.98%	32.31%
Asia	11.34%	34.67%	28.89%	25.10%
Europe	24.75%	23.00%	33.33%	18.92%
Africa	31.98%	22.98%	30.00%	15.04%
Australia	31.29%	22.34%	30.99%	15.38%
Income Statement (\$ billions)		Client		
	2010	2011		
Revenues	\$36.1	\$37.7		
COGS	19.2	20.1		
Expenses	8.1	9.1		

	Market Size	
	\$ Billions	
	2010	2011
North America	\$45.3	\$45.6
South and Central America	32.3	42.0
Asia	39.5	45.4
Europe	22.2	22.1
Africa	2.0	2.1
Australia	4.3	4.3

	Projected Global Demand Growth			
	2012	2013	2014	2015
TSX Helicopter	1%	3%	3%	12%
Global Combat Helicopter	1%	3%	4%	5%

Case 31: Apple-A-Day

Strategy

Deloitte

Prompt	Your client is one of many regional healthcare plan providers, Apple-A-Day (AAD). They provide healthcare plans through employers as both PPOs and HMOs. PPOs allow greater flexibility for members to choose their doctors and specialists. HMOs restrict members through gatekeepers, known as primary care physicians, to create greater coordination and control of care. AAD also offers plans for Medicare, senior citizens, and Medicaid, poor families and children. The doctors that provide services through these plans may be paid as Fee For Service or Capitation. In FFS, the doctor receives a pre-negotiated amount per service. In Capitation, the doctor receives a fixed amount per member to provide all services. Doctors provide services to members across multiple plans. The US government's Center for Healthy People examines metrics from each plan such as how many members stopped smoking, how many members have diabetes and receive proper medication, how many flu shots are given, how many members exercise daily, etc. Information to determine these metrics is gathered by the health plans. The data is based on claims from FFS doctors, semi-voluntarily provided data from capitated doctors, pharmacies, labs, etc. The data is collected by companies called clearinghouses that compile and submit to AAD. From there AAD's technology department processes the data and passes it to the quality control team. They then prepare the reports for each metric. The executive committee at AAD is concerned that their scores are reporting lower than they should be. Focusing on a high-level strategy, how would you investigate this and advise them?
Guidance	<i>Additional Info:</i> 1) There are many other companies whose members use the same doctors. 2) Semi-voluntary means the doctors are paid even if they do not fully report the services they provide. <i>Suggestions about how the case is to be delivered:</i> 1) Make sure the person focuses on high-level strategy.

Case 31: Apple-A-Day

Strategy

Deloitte

Analysis	<i>No calculations</i>
Performance Evaluation	Expected: Benchmarks against other companies Identifies capitation as an issue Focuses on a few areas Follows a partially structured thought process Good: Identifies the difficulty of measuring some metrics (i.e. daily exercise) Thinks through the entire process, very structurally Prioritizes Is not flustered by the amount of background data and lack of further specific data Excellent: Draws a diagram of the process, not just buckets/notes Identifies gaps where more information is needed Explains why he/she chose his/her prioritization Offers insightful next steps

Case 32: Motorco Inc.

Strategy

Deloitte

Prompt	Our client is a large multinational firm that builds and sells gas and diesel engines for the use in farm equipment, generators, motorcycles, scooters, large trucks and ships. While they were originally founded as a builder of diesel engines for use in farm equipment, they have expanded both organically and through a series of acquisitions to become the largest manufacturer of diesel engines for any application in the world. They own a double digit market share in all of their divisions: ships, farm equipment, large trucks, medium/small trucks and other applications. Their revenues from 2004-2009 increased by 10% annually to \$2B worldwide, (North America, Europe/Africa/Middle East and Asia/Australia) in 2009. Recently, due to an increased focus on global warming and a spike in oil prices, the client has experienced stagnant growth and has hired you identify their growth opportunities. First, the client wants to know their net income by segment. Second, the client would like to know which segments should potentially be divested and how much the client could expect to receive. Finally the client would like to know how it can expand further into the Asia Pacific market.
Guidance	The purpose of this long prompt is to “overwhelm” the candidate with information. State the entire prompt and then give 1 minute for the candidate to create a framework. The candidate should create a MECE framework that focuses on the three questions in order, focusing on the business topics that affect net income, methods of valuing a business segment and how the client would be able to value their businesses and growth strategy topics on how the client could expand into Asia Pacific. If needed, repeat only certain aspects of the prompt for the candidate. Do not restate the entire prompt. Only after the candidate has laid out a <i>relevant</i> framework should you then provide the exhibit slide.

Case 32: Motorco Inc.

Strategy

Deloitte

Analysis

Part 1: Net Income

The candidate should identify that he/she needs revenue and both fixed cost and variable cost data in order to calculate net income by segment. Once the candidate requests these items, provide the exhibit slide and allow them a few minutes to review the information and begin calculating the net income by segment.

How to Solve:

Take the revenue by segment and multiply by 1 less the variable cost % of revenue to get the gross margin. Take the total S&GA costs and allocate to each segment by the percentage of total revenue for each segment. Subtract S&GA from gross margin to get net income.

• **Gross margin:**

Ships \$80M, Farm \$168M, Large Trucks \$180M, Small Trucks \$68.75M, and Other \$33M.

• **Fixed Costs:**

Total fixed costs of \$250M. Allocate FC to segment by percentage of total revenue. Ships \$50M, Farm \$70M, Large Trucks, \$75M, Small Trucks \$34.375M, Other \$20.625M.

• **Net Income:**

Ships \$30M, Farm \$98M, Large Trucks \$105M, Small Trucks \$34,375, Other \$12.375M

Once the candidate has completed the correct calculations and arrived at the NI numbers, prompt him/her to provide some commentary on the result. Observe that ships and other applications have the highest variable costs and thus have the smallest portion of net income for the company.

Case 32: Motorco Inc.

Strategy

Deloitte

Analysis (cont.)

Part 2: Segment Valuation & Analysis

The candidate should take a structured, logical approach to determining which segment(s) to divest. They should discuss possible criteria to use for this analysis, and provide some commentary about why they would or wouldn't want to use it in this case. Some possibilities are as follows:

- Quantitative analysis: lowest growth, thinnest margins, highest potential value
- Qualitative analysis: high fuel prices (current or projected), aggressive competitive environment, different market preferences for different products
- An ideal conclusion here would be to use an approach that incorporates the most relevant elements from both lists, though the candidate may need more information to determine which items should be considered relevant.

The candidate should pull relevant information from the exhibit to prove their case. The primary conclusion is that the combination of lower fuel prices (and lower growth rates in the cost of fuel) in Asia/Australia and North America combined with high expected growth in Asia/Australia and high expected growth in farm equipment means that this region will be driving a majority of the growth for Motorco going forward, and that farm equipment will be a major driver of that growth. Divesting their ship segment would improve gross margins (ships have a high variable cost), and have little impact on growth given the low growth rate and low total population of ships relative to the other segments.

Case 32: Motorco Inc.

Strategy

Deloitte

Analysis (cont.)

The candidate should move on to analyze an appropriate valuation for the segment(s); prompt them to do so if necessary.

There are several approaches to valuing a segment. Some common ones are:

- A multiple of the annual revenue
- Comparable transactions
- Industry ratios

The candidate should be able to walk you through their thinking in determining the valuation of the division. Some important issues they should take into account include growth prospects, the associated PP&E with that segment and any intangible value.

Value of ship segment: Use a multiple of 10x the annual revenue for that segment (\$4B). A multiple of 20x could be used, but given the low growth rate relative to other segments 10x would make more sense in terms of a fair valuation in the open market. To be absolutely certain, benchmarking this multiple against comparable transactions would be important.

Step 3: Expansion in Asia Pacific

The candidate should move on to brainstorm ideas on how the client can expand further into the Asia Pacific market.

Ideas might include:

- Increased sales presence in the farm and ship divisions (if the problem involves a lack of demand)
- Acquisition of a local manufacturer (if the problem involves a lack of supply)
- Identifying and seeking out large, institutional customers

Case 32: Motorco Inc.

2009 Financials by Segment

	Ships	Farm Equip.	Large Trucks	Small Trucks	Other
Revenue (\$MM)	400	560	600	275	165
Variable Costs % of rev)	80%	70%	70%	75%	80%

Price Per Gallon of Diesel Fuel

	North America	Europe/Africa/Middle East	Asia and Australia
2007 Price	\$4.20/gal	\$4.85/gal	\$4.10/gal
2008 Price	\$4.45/gal	\$4.96/gal	\$4.12/gal
2009 Price	\$4.40/gal	\$5.10/gal	\$4.15/gal

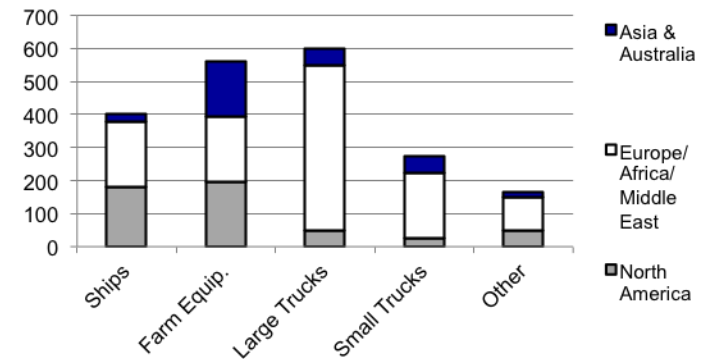
Regional Segments Overview

	2009 Revenue Distribution	5-yr Projected Growth (CAGR)
North America	25%	4%
Europe/Africa/Middle East	60%	-2%
Asia and Australia	15%	6%

2009 Fixed Costs Allocation

	PP&E	SG&A	Other
Costs (\$MM)	155	35	60
% Change from 2008	4%	-2%	1.5%

2009 Revenue Breakout by Region



Growth by Segment

	Ships	Farm Equip.	Large Trucks	Small Trucks	Other
Current Pop (MM)	2	85	600	850	1200
5-yr Projected Growth (CAGR)	6%	12%	1%	2.5%	4%

Case 32: Motorco Inc.

Strategy

Deloitte

Performance Evaluation

Expected: The candidate will calculate net income but with some assistance in identifying the relevant data points. The candidate should know the basic NI calculation. Some of the methods of valuating a segment will be mentioned, but the candidate should at least have sound judgment behind their method. When brainstorming ideas on how to grow the Asia Pacific market, all ideas mentioned should be related to a growth strategy, in terms of growing revenue organically or through an acquisition. There should not be any ideas related to cost cutting or consolidation given.

Good: The Candidate requires an occasional prompt or clarification in terms of trying to determine how to calculate the net income. The candidate will identify the relevant data points required to calculate net income but may take prompting to do so. Most of the different methods of valuation will be mentioned and the candidate will walk you through the explanation of which segment to divest. Finally the candidate will offer some, but not all recommendations on how to expand the Asia Pacific market.

Excellent: The Candidate is able to calculate the Net Income using the financials by segment. The candidate will be able to walk you through his or her math and inspire confidence with their calculations. The candidate will take only the relevant parts of the data in the exhibit to use in calculating net income by segment. The candidate should be able to walk you through their thinking in determining the valuation of the division taking into account growth prospects, the associated PP&E with that segment and any intangible value. The candidate should brainstorm with multiple, MECE, insightful ideas on how the client can expand further into the Asia Pacific market, through innovative ideas such as expansion of a particular segment, acquisition of a manufacturer, increased sales and advertising presence, switch to different types of engines (gas, etc.).

Case 33: Pharma Juggernaut (PJ)

Strategy

ZS Associates

Prompt	Your client is Pharma Juggernaut, a multinational pharmaceutical research, production, and distribution company. Pharma Juggernaut has a number of products treating ailments from high blood pressure, to depression, to severe pain, to neurological disorders like Parkinson's Disease and Multiple Sclerosis, however the client is most interested in analyzing their Parkinson's Disease treatment – known as Product D. Product D has lost market share and revenues are below forecast despite increased spending on sales force promotion. The client wants to know how they can improve sales, and achieve greater ROI from their promotional efforts.
Guidance	Although the candidate may want to look at a number of areas including competitors, customer preferences, pricing, and regulatory/product effectiveness, the case is centered on Pharma Juggernaut's promotional efforts and you should steer the candidate toward that. A primary goal of this case is to identify whether the candidate can quickly digest information (graphs) and present a logical story based on that evidence so make sure the candidate sees all charts and graphs. It is preferred to have the candidate ask for the information contained on the graphs, but if (s)he does not, provide the information anyway. The following answers can be given if the candidate raises associated questions: 1. There are 7 products in direct competition with Product D. Losses in Product D market share are split evenly among all products. 2. Product D has 4 years remaining on patent. 3. Parkinson's Disease is primarily treated by Neurologists, however non-Neurologists do treat patients as well. All non-Neurologists are grouped together into "other physicians" 4. Product D is approved for sale in the US, EMEA (Europe, Middle East, and Africa), Latin America, and Japan. Provide Exhibits 1 and 2 if the candidate mentions anything about sale locations. 5. Provide Exhibit 3 if the candidate mentions trend. 6. Provide Exhibits 4 and 5 if promotional program costs are discussed. 7. Provide Exhibit 6 to address effectiveness of the promotional programs.

Case 33: Pharma Juggernaut (PJ)

Strategy

ZS Associates

Analysis

• Exhibit 1 and 2:

Expected: Accurate math. Recognition that Neurologists are key in this market (bonus pts for calculating % of total revenue that comes from US = 62%)

Good: Recognize the relative size of US vs rest of world for Product D. Point out selling price is the same regardless of whether Neuros or Other MD's sell the product. (Selling price = Revenue / # of prescriptions)

Excellent: Highlight that a price premium is being commanded in EMEA & Japan and Latin AM has a low price

Note: for this analysis, you can assume 1 prescription = a 1 month supply of the product.

• Exhibit 3:

Good: Point out that EMEA sales among Neurologists continue to grow.

Excellent: Identify that Japanese sales were 0 in '07 and offer suggestion why (product wasn't approved yet)

• Exhibit 4:

Expected: Identify that EMEA spends much more on speaker series relative to other promotional programs.

Good: Highlight the fact that EMEA spends more on Neurologists compared to other physicians.

Excellent: Compare promotional program spending with revenue (provided in Exhibit 1)

• Exhibit 5:

Expected: Note that US costs are higher than other countries.

Good: Identify why US has higher cost → due to a higher fixed costs as shown by events with 1 attendee

Excellent: Estimate the fixed costs in US compared to other countries (fixed cost for US is around \$850, for EMEA = \$500, Latin Am = \$625, Japan = \$725) Variable Cost can be estimated from events with 8 attendees.

• Exhibit 6: *Note: Market Research was only conducted in EMEA and US*

Expected: Identify that patients prefer specialists (i.e. Neurologists) over PCPs. Note that there is little difference in ratings between those who are prescribed Product D and those who are not.

Good: Realize that there is little difference in awareness between those who go on Product D and those who go on a different Parkinson's Disease treatment → thus advertising has little impact.

Excellent: Connect the lower awareness in EMEA with the lower advertising cost in Exhibit 4.

Case 33: Pharma Juggernaut (PJ)

Strategy

ZS Associates

Performance Evaluation

General Comments:

The candidate should build a compelling story from the evidence provided along the following lines:

- The United States has far more sales than any other region and improving sales in the US will have a more beneficial result than any other region.
- Product D revenue growth has declined in all regions /specialties except for Neurologists in the EMEA.
- Sales are growing more rapidly in EMEA because they are focusing their promotion on the right areas: speaker series for Neurologists. This fact is shown in several areas including Exhibit 5 (which shows the amount of spending on each program) and Exhibit 6 (which shows that direct to customer advertising has limited benefit and that patients highly prefer specialists).
- Not only does the EMEA spend more on Speaker Series relative to other programs, but they also get more value from their speaker series expenses because they have lower fixed costs for that program.

Client Recommendations:

1. Find means of reducing speaker series fixed costs.
2. Increase spending on speaker series and reduce spending on other programs (online workshops and direct customer advertising).
3. Focus promotional efforts for Product D on Neurologists .

Next Steps and Other Areas to Explore:

1. Resolve why pricing is so different among different regions and consider pricing changes (check elasticity)
2. Find out how EMEA has significantly lower fixed costs than other regions. See if this is replicable.

Case 33: Pharma Juggernaut (PJ)

Strategy

ZS Associates

Exhibit 1 – Product D Revenue in 2010 (\$MM)

	US	EMEA	Latin Am	Japan	Total (\$ MM)
Neurologists	470		50	100	770
All Other MD's		10			60
Total (\$MM)			52	101	830

Exhibit 2 – Product D Total Prescriptions in 2010 (in thousands)

	US	EMEA	Latin Am	Japan	Total Rx's (000's)
Neurologists	235	60	50		385
All Other MD's	23.5		2.0	0.4	30
Total (\$MM)	258.5		52		415

Case 33: Pharma Juggernaut (PJ)

Strategy

ZS Associates

SOLUTIONS (DO NOT PROVIDE TO CANDIDATE)

Exhibit 1 – Product D Revenue in 2010 (\$MM)

	US	EMEA	Latin Am	Japan	Total (\$ MM)
Neurologists	470	150	50	100	770
All Other MD's	47	10	2	1	60
Total (\$MM)	517	160	52	101	830

Exhibit 2 – Product D Total Prescriptions in 2010 (in thousands)

	US	EMEA	Latin Am	Japan	Total Rx's (000's)
Neurologists	235	60	50	40	385
All Other MD's	23.5	4.1	2.0	0.4	30
Total (\$MM)	258.5	64.1	52	40.4	415

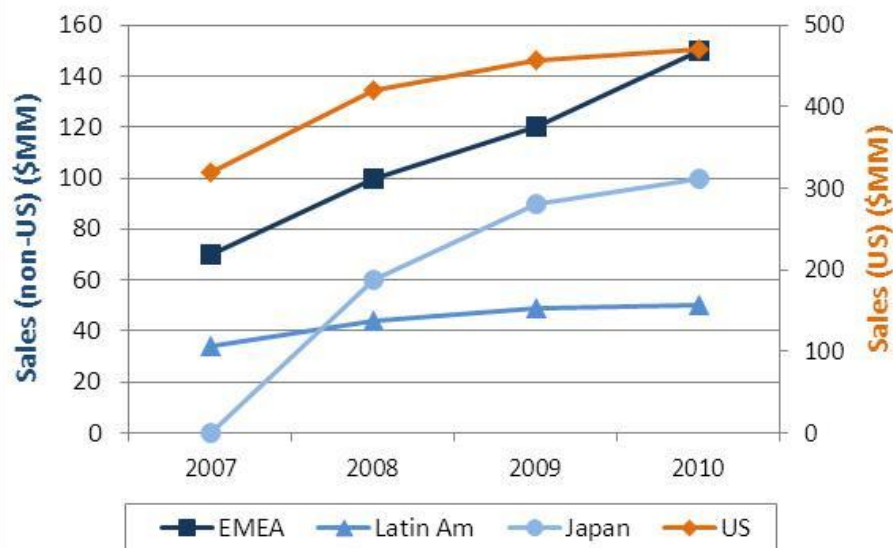
Case 33: Pharma Juggernaut (PJ)

Strategy

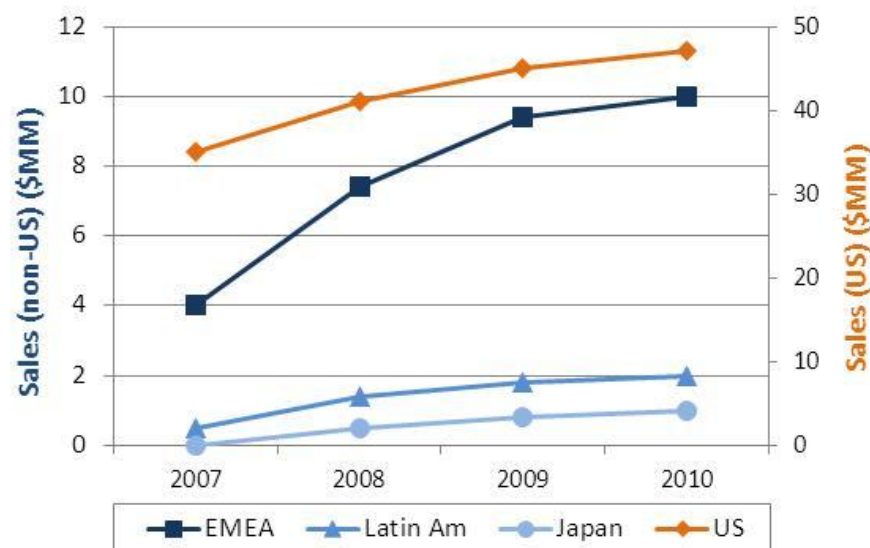
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Exhibit 3 – Product D Sales for 2007-2010

Product D Neurologist Sales



Product D Other Physician Sales

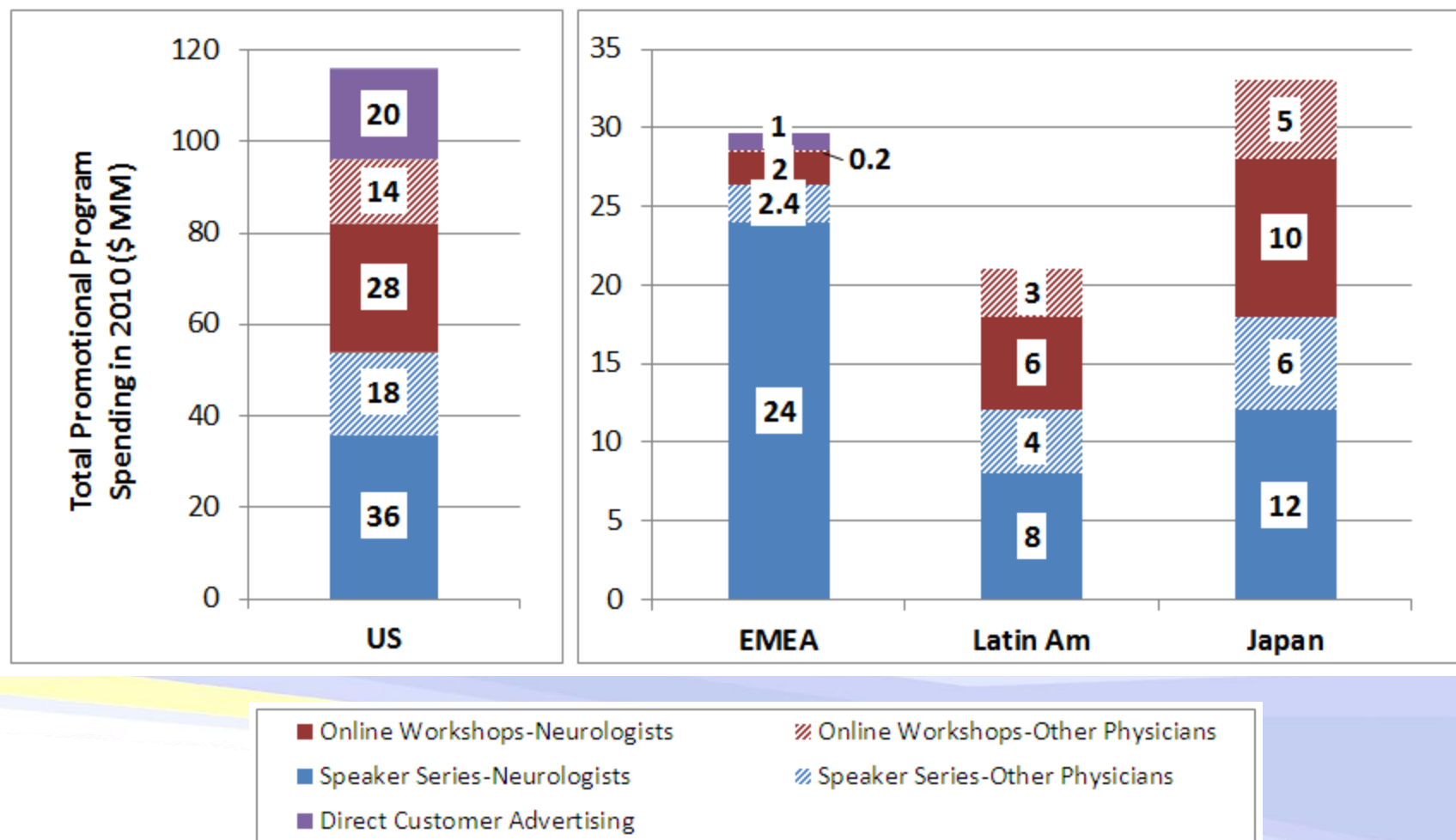


Case 33: Pharma Juggernaut (PJ)

Strategy

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Exhibit 4 – Total Promotional Program Spending in 2010 (\$ MM)

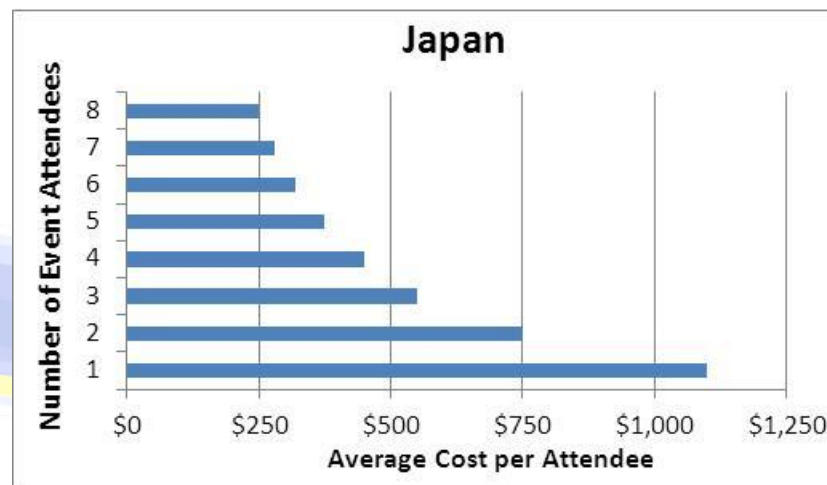
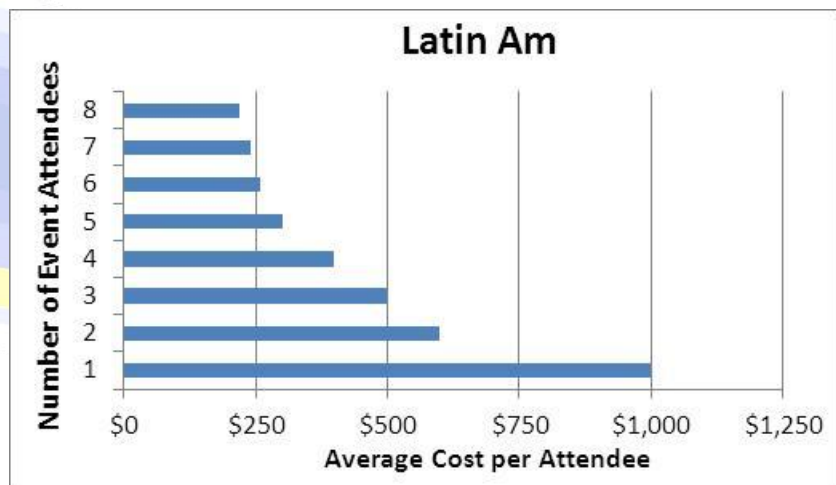
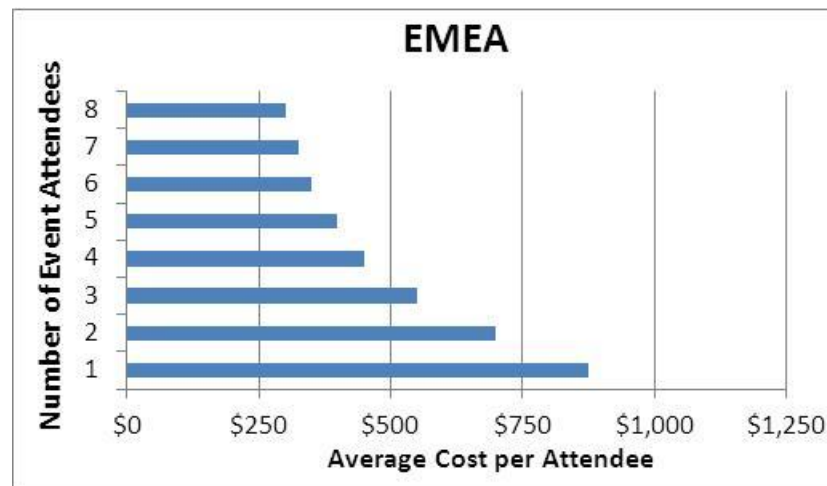
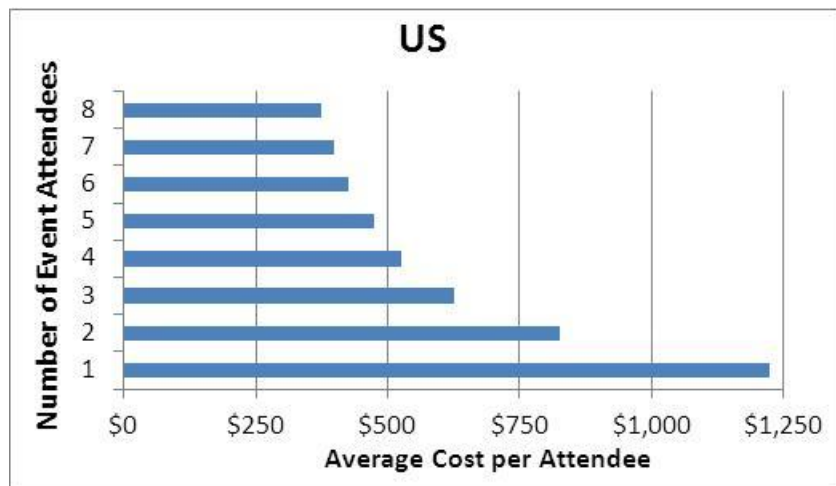


Case 33: Pharma Juggernaut (PJ)

Strategy

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Exhibit 5 – Neurologist Speaker Series Costs



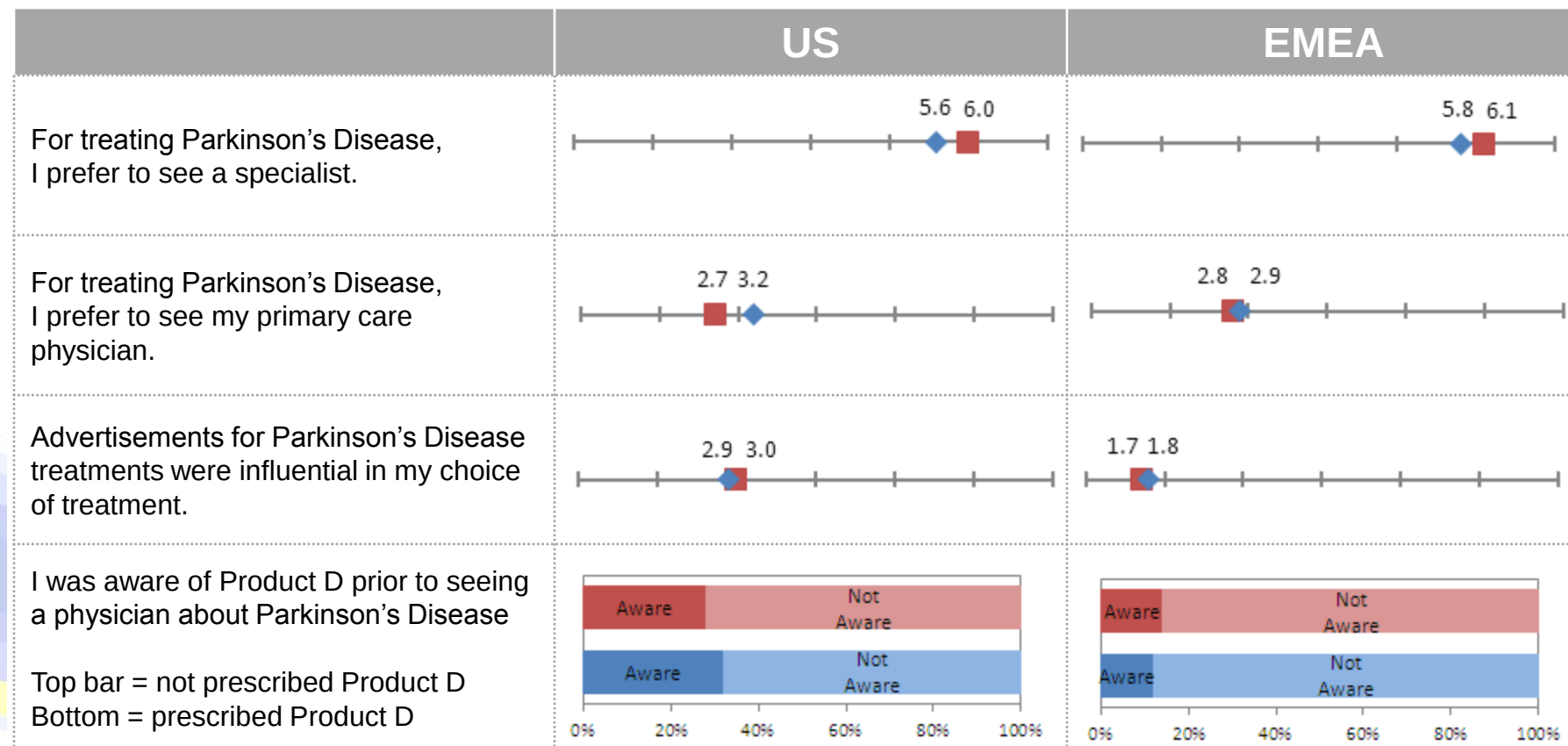
Case 33: Pharma Juggernaut (PJ)

Strategy

ZS Associates

Exhibit 6 – Market Research on Parkinson’s Disease and Product D

Sample size = 470 patients



Key:

- Went on a different Parkinson’s Treatment
- ◆ Went on Product D

Strongly Disagree

Strongly Agree

